

Don't invest unless you're prepared to lose all the money you invest. This is a high-risk investment and you should not expect to be protected if something goes wrong. [Take 2 minutes to learn more.](#)

Terms of Service

The following is a summary of the Kraken.com Terms of Service provided solely for your convenience and informational purposes. You must read the complete Terms of Service below for the legally binding terms.

Summary of Kraken.com Terms of Service

This summary provides an overview of our Terms of Service that apply to your use of our website, platforms, trading and other services. This summary isn't legally binding and is purely for informational purposes. While we hope this summary section is helpful, please read the complete Terms of Service below for the legally binding terms.

- **Applicable Terms.** These Terms of Service will apply to you unless you live in Brazil, Canada or the European Economic Area . We have separate [Canadian Terms of Service](#) that will apply to you if you reside in Canada. We have separate [EEA Terms of Service](#) that will apply to you if you reside in the European Economic Area (EEA). We have separate [Brazilian Terms of Service](#) for virtual asset services that will apply to you if you reside in Brazil.
- **Account and Eligibility.** The Terms of Service sets forth certain criteria for your eligibility to use our services and platforms. It also includes requirements about who may create an account and what you can't do with your account.
- **Our Services.** Below, you'll find terms about how you can use our services. There are fees associated with our services, and the Terms of Service provide more information on those fees and how they may be paid by you. There are also a number of ways in which you are prohibited from using our services or platforms, some of which are covered below.
- **Supported Digital Assets and Availability of Services.** Certain Digital Assets or services may not be available or may only be available in certain jurisdictions. We also may stop supporting certain Digital Assets or may stop providing certain services.
- **Changes.** The Terms of Service discuss changes we can make to our services, platforms, or the terms themselves, including how we can suspend or terminate the services or platforms or

your account. Changes to the Terms of Service, our services, or platforms may be made at any time, with or without notice. Continued use of our services and platforms is your consent to the Terms of Service and any changes to them.

- **Risks and Liability.** There are risks associated with using our services, and the Terms of Service cover some of these risks. The Terms of Service also cover your responsibility for taking on risk, limit our liability to you, and limit the remedies you may have against us and how you may seek those remedies.
- **No Insurance.** We are not a bank or other depository institution. Your account isn't a deposit account or bank account. Your account and digital assets are not covered by insurance against losses or subject to Federal Deposit Insurance Corporation or Securities Investor Protection Corporation protections or protections of any comparable organization in the world.
- **Annexes.** You may have the opportunity to use additional services we provide. The Annexes to the Terms of Service contain terms and conditions on additional services.
- **Dispute Resolution.** We hope to avoid disputes, but if there is a dispute, you are required to arbitrate disputes with us and the manner in which you can seek relief may be limited.
- **Terminate Account.** You may terminate your account at any time by transferring your Digital Assets and redeeming your Fiat Balances to a Financial Account and ceasing to use our services. Certain terms of our relationship survive terminating your account, and these terms are detailed below.

The following is the binding and enforceable Terms of Service.

Kraken.com Terms of Service

Last Updated: May 26, 2026

Please read these Terms of Service (including all Annexes, “**Terms**”) carefully, as they are binding and govern your use of our services, and our websites (including but not limited to kraken.com, and pro.kraken.com), and mobile applications through which you access our services and any other interfaces we make available, including third-party messaging applications, through which you may access or place instructions for our services (“**Platforms**”), along with any applicable third-party terms you may have agreed to as part of using or receiving our mobile applications (such as terms for the Apple App Store or Google Play, if applicable). If these Terms conflict with any such third-party terms, these Terms will control to the extent of the conflict. By accessing or using our services or Platforms, or by creating an account, you agree to these Terms. By agreeing to these terms, you also agree to abide by [Kraken's Exchange Trading Rules](#).

These Terms may change at any time and without notice, including updates to (1) reflect changes to our services and Platforms or how we do business; (2) reflect the addition of new services, features, technologies, or offers; (3) address legal, regulatory, or security developments; or (4) prevent harm to our services and Platforms or to those using our services and Platforms. These Terms can only be modified in writing, and any change will be effective as of the Last Updated date set forth above. You should frequently check these Terms for updates. If you continue to access or use our Platforms or services, after we change these Terms, you agree to all our changes.

We make our services and Platforms available for users in many countries. Because of this, not all services are available on every Platform or in every location, and the services and Platforms may be

provided to you by one of our affiliated entities.

These Terms are a legally binding agreement between “**you**” (an individual, or an entity acting through an authorized individual) and the entity listed below (including its affiliates, “**we**”, “**us**”, “**our**”, “**Kraken**”, or “**Payward**”):

- Payward Interactive, Inc., 106 E. Lincoln Way, 4th Floor, Cheyenne, WY 82001, USA (if you live in the United States of America); (except as noted below));
- Payward Accredited LLC, 1209 Orange Street, Wilmington, Delaware, 19801 if you live in the United States of America and have self-certified as an Eligible Contract Participant, for those services set forth in Annex A;
- Payward Ltd., 6th Floor, One London Wall, London, EC2Y 5EB, United Kingdom, if you live in the United Kingdom (except as noted below);
- Bit Trade Pty Limited, Unit 610, 478 George Street, Sydney, NSW 2000, Australia, if you live in Australia (except as noted below) and provided that, with respect to Annex F - Kraken Pay - the contract for the relevant service will be deemed to be entered into between you and Beaufort Fiduciaries Pte Limited, Unit 610, 478 George Street, Sydney, NSW 2000, Australia;
- Payward Trading Ltd, 2nd floor, Water’s Edge Building, Wickhams Cay II, Road Town, Tortola, VG1110, British Virgin Islands, if you live anywhere else in the world where we make our services available (except Canada, or as noted below);
- Payward Commercial Ltd., Road Town PO Box 4301, Tortola British Virgin Islands, for those services set forth in Annex C (except if you live in the United States of America);
- Payward Trading Ltd, 2nd floor, Water’s Edge Building, Wickhams Cay II, Road Town, Tortola, VG1110, British Virgin Islands, for those services set forth in Annex A (except if you live in the United States of America or Australia), Annex C, and Annex D;
- Payward Services Limited, a company registered in the UK with registration number 12861311 and registered address at 6th Floor One London Wall, London, EC2Y 5EB, United Kingdom, which is authorised by the Financial Conduct Authority as an Electronic Money Institution (“EMI”) under the Electronic Money Regulations 2011 with register number FRN 1010381 (“PSL”) for those services set forth in Annex I and Annex M if you are a retail customer living in the U.K.; and
- Kraken Continuance, Inc., C/O CO Services Cayman Limited, PO Box 10008, Willow House Cricket Square, Grand Cayman, KY1-1001 for those services set forth in Annex H.
- Payward Digital Solutions Ltd., an exempted company limited by shares, incorporated in Bermuda with registered number 202403268 and registered address at Park Place, 55 Par-la-Ville Road, Hamilton, Pembroke, HM11, Bermuda, for those services set forth in Annex J.
- Payward Oceanic, Ltd., Trinity Chambers, PO Box 4301, Road Town, Tortola, 1110, British Virgin Islands, for those services set forth in Annex K; provided that, for over-the-counter and prime trading services set forth in Annex K, Part 1 only, if you live in the United States, Payward Interactive, Inc. as noted herein shall apply instead.
- Payward Wallet LLC, a company registered in the United States of America with registered address at 1209 Orange St., Wilmington, Delaware, 19801 (“PWLLC”).

These Terms of Service will apply to you unless you live in Brazil, Canada or the European Economic Area (EEA). If you live in Brazil, the [Brazilian Terms of Service](#) are the binding agreement between you and Payward Brasil Sociedade Prestadora de Serviços de Ativos Virtuais Ltda. If you live in Canada, the [Canadian Terms of Service](#) are the binding agreement between you and Payward Canada, Inc. If you reside in the European Economic Area (EEA), the [EEA Terms of Service](#) are the binding agreement between you and Payward. **European Economic Area/EEA includes:** Austria, Belgium, Bulgaria, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany, Greece, Hungary, Ireland, Italy, Latvia, Lithuania, Luxembourg, Malta, Netherlands, Poland, Portugal, Romania, Slovakia, Slovenia, Spain, Sweden, Iceland, Liechtenstein, and Norway.

To make these Terms easier to read, we have organized them as follows:

Terms of Service

1. Eligibility; Account
2. Deposit of Crypto and Issuance of Fiat Balance
3. Withdrawal of Crypto and Redemption of Fiat Balance
4. Trades
- 4.A Kraken Points Programme
5. Layer 2 Transactions
6. Fees; Taxes
7. Supported Digital Assets and Fiat Currencies
8. Content; Feedback
9. Restrictions
10. Risks
11. Disclaimer of Warranties
12. Limitations on Liability
13. Indemnification
14. Dispute Resolution; Arbitration; Applicable Law
15. Suspension; Termination; Discontinuance
16. Intellectual Property
17. Legal Disclosures
18. Personal Data
19. Notices; E-SIGN Disclosure and Consent
20. General
21. Definitions

Annex A: Margin Trading

Annex B: On-Chain Staking Services

Annex C: Opt-In Rewards Program

Annex D: Stablecoin Rewards Program

Annex E: kBTC

Annex F: Kraken Pay

Annex G: Kraken+ Subscription Plan

Annex H: Kraken Verify

Annex I: Kraken UK E-Money Wallet Terms

Annex J: xStocks

Annex K: OTC and Prime

Annex L: Kraken Launch

Annex M: UK Krak Card Terms

Annex N: Wallet Access Service Terms

Annex O: Crypto Borrowing Product Terms

1. Eligibility; Account

Eligibility

To use most of our services, you need to create an account with us. Your account may hold Digital Assets or a Fiat Balance. To use any of our services, or to create an account, you must meet at least the following conditions (“**Conditions**”):

- if you are an individual, be old enough to legally form a binding contract in your jurisdiction (in the USA, that is 18 years old, but it may be different where you live),
- if you are an entity, be duly organized and validly existing under the applicable laws of the jurisdiction of your organization,
- have a current and valid email address, mobile phone number, and street address,
- have full power and authority to enter into these Terms without violating any other agreement you have made,
- not have been restricted from using our services,
- if you are an individual, not be located in, under the control of, or resident in—or, if you are an entity, not be directly or indirectly owned or controlled by any person located in, under the control of, or organized or resident in—any sanctioned or embargoed jurisdiction (including Crimea, Cuba, Donetsk, Iran, Luhansk, North Korea, Russia, Belarus, and Syria), or any jurisdiction where we may have restricted use of any services, and
- if you are an individual, not be listed on—or, if you are an entity, not listed on or be directly or indirectly owned or controlled by any person listed on—the Office of Foreign Assets Control of the U.S. Department of Treasury’s Specially Designated Nationals and Blocked Persons List (“**SDN**”), the U.S. Department of Commerce’s Denied Persons List, Consolidated Non-SDN Lists available [here](#), the United Nations (UN) Security Council Consolidated List available [here](#), or regional or foreign government watchlists.

In addition, you may be required to comply with additional requirements to open an account or use the services in the jurisdiction in which you are located. We will use reasonable efforts to notify you of such additional requirements, but your ability to open an account and use the services is subject to those additional requirements whether notice has been provided or not. By making an account or using the services, you represent and warrant that you meet all of the Conditions. If you stop meeting the Conditions, you must immediately notify us and stop using your account and the services. We may require proof that you meet the Conditions. Even if you meet the Conditions, we may, in our sole discretion, determine that you are not eligible to have an account or use the services.

You authorize us to make inquiries, whether directly or through third parties, that we consider necessary to verify your identity, to confirm the above eligibility requirements, to protect you or us against fraud or other financial crime, and as we determine may be necessary to facilitate compliance with these Terms and applicable laws. You understand and agree that we may take action we reasonably deem necessary based on the results of such inquiries, that we have no obligation to inform you of the results of any inquiry and that you expressly waive any obligation we (or are

affiliates) may have to take, or advise you of, any possible remedial measures. When we carry out these inquiries, you acknowledge and agree that your personal information may be disclosed to credit reference and fraud prevention or financial crime agencies and that these agencies may respond to our inquiries in full.

Third-party sign-in. We may allow you to create or access your account using third-party sign-in services (e.g., Google or Apple). Those services are provided by third parties and are subject to their own terms and privacy policies. We do not control those services and do not receive your third-party passwords. If you revoke Kraken's access in your Google or Apple settings, you may need to add another sign-in method to continue accessing your account. We may suspend or restrict access where a third-party provider indicates your sign-in is compromised or fraudulent. Your ability to use third-party sign-in depends on the availability of those third-party services. Interruptions or changes by Google or Apple do not constitute a Kraken breach; we may provide alternative sign-in methods where feasible.

If you use Apple's "Hide My Email," you agree that we may contact you at the private relay address for account, security, and regulatory communications. Using a relay address does not limit your responsibility to review communications we send. Where our applications offer third-party sign-in on iOS, we also offer Sign in with Apple as an equivalent option, subject to Apple's platform rules.

If you create an account with one method (for example, email and password) and later use a third-party sign-in tied to the same verified email or phone number, we may link or merge those sign-in methods for the same Kraken account, subject to our security checks. We may require additional verification (including multi-factor authentication) before linking or merging.

Your Activities

You agree to, and represent and warrant that you will:

- not use your account for the benefit of any person other than you,
- not share your account or password with anyone else,
- maintain the security of your account, including by using a strong password for your account that you do not use anywhere else,
- notify us immediately if you discover or suspect any security breaches related to your account,
- take responsibility for all activities that occur under your account, and accept all risks of any authorized or unauthorized access to your account, to the maximum extent permitted under applicable law, and
- provide accurate, complete, truthful, and updated information (including email address, mobile phone number, and street address) at all times when using any account or service, including when conducting a Trade, Deposit, and Withdrawal, and when otherwise prompted by any screen displayed within the services or on our Platforms.

We may, in our discretion, determine that it is necessary or appropriate to temporarily suspend or even terminate your account. Please see Section 15 below for information on the suspension or termination of an account.

Third-party service availability. Your ability to use third-party sign-in depends on the availability of those third-party services. Interruptions or changes by Google or Apple do not constitute a Kraken breach; we may provide alternative sign-in methods where feasible.

Platform parity. Where our applications offer third-party sign-in on iOS, we also offer Sign in with Apple as an equivalent option, subject to Apple's platform rules.

You are solely responsible for all acts and omissions that occur under your account, and you will be deemed to have made all actions taken using your account.

2. Deposit of Crypto & Issuance of Fiat Balance

Financial Accounts

Many of our services require you to have Digital Assets or a positive Fiat Balance in your account. To transfer Digital Assets into your account ("**Deposit**") or transfer Fiat Currency to a Designated Financial Institution to be issued a Fiat Currency balance in your account ("**Issuance**"), you need to be the actual or beneficial owner of a financial account or wallet maintained outside the services ("**Financial Account**"), and your Financial Account must be approved by us. We do not approve all Financial Accounts, and may revoke our approval of any Financial Account at any time without notice.

We are not responsible for the use, management, or security of any Financial Account. By using a Financial Account in connection with the services, you represent and warrant that (1) you're the beneficial owner of the Financial Account, (2) you are in compliance with all terms and conditions applicable to the Financial Account, (3) you have the authority to make deposits to the Financial Account and take withdrawals from the Financial Account, and (4) you have provided complete and accurate information to us regarding the Financial Account. We may require you to verify that you control a Financial Account before accepting any transfer from it, and you agree to provide us all necessary information to make such verification.

Our services only support certain types of Digital Assets. See Section 7 for more information. If you attempt to Deposit any cryptocurrency or Digital Asset that our services do not support or accept, you may permanently lose such cryptocurrency or Digital Asset and we will not be liable for your loss. We may, at our sole discretion, attempt to identify and return such assets, but we have no obligation to do so. If we choose to do so, we may charge you a fee to cover our costs and expenses related to the identification and return of such Digital Asset or cryptocurrency. Such fee may be withheld from the Digital Asset or cryptocurrency that was the subject of the improper Deposit attempt.

Execution

We do not control or make any guarantees about the amount of time it takes to complete a Deposit or Issuance. This time frame depends upon the performance of third parties, including third-party financial institutions or payment services.

Deposits and Issuances may not be cancellable once initiated. All Deposits and Issuances are final and non-refundable once made, but you may be able to Redeem Fiat Balances or Withdraw Digital Assets in accordance with Section 3 (Withdrawals & Redemptions). We may, at any time and without notice, reject any Deposit or impose limits on Deposits you can make (for example, in magnitude and frequency) or a Fiat Balance Issuance. Deposit limits and withdrawal hold durations are based on many factors, such as account history, payment activity, and transaction history. Deposit limits and withdrawal hold durations may adjust over time with no prior notice. If you reverse a Deposit, Issuance, payment, or other transaction made from a Financial Account, you authorize us, in our sole discretion, to cancel the transaction or to use alternate Digital Assets and Fiat Currency in your

account as necessary to complete the transaction or resolve any resulting shortfall or negative balance, including to exchange Digital Assets or Fiat Currency in your account for alternative types of Digital Assets or Fiat Currency and deduct any applicable fees.

We may charge you fees for Deposits and Issuances. See Section 6 for additional information on fees. There may also be third-party fees associated with use of Financial Accounts, and we are not responsible for any such third-party fees.

Fiat Currency

Whenever you instruct your bank or payment service provider to deposit Fiat Currency with a Designated Financial Institution or any other acceptable funding method that may be offered from time to time, we'll issue a Fiat Balance to your account once such funds have been cleared and received by the Designated Financial Institution. You agree that any Fiat Balance in your account is only for the purchase of Digital Assets or Redemption to a Financial Account approved by us. We don't pay interest on any Fiat Currency balances held in your account. Where permitted by applicable law, we may invest Fiat Currency in liquid investments, which may include but are not limited to U.S. treasuries. We own the interest or other earnings on these investments. This does not include Fiat Currency held by customers in Australia, or the United Kingdom.

You cannot hold a Fiat Balance in a "Digital Assets Only" account. If you try to deposit Fiat Currency with a Designated Financial Institution in these circumstances, we will return the Fiat Currency to the sender less any applicable fees.

Custody and Title of Digital Assets

Digital Assets, including Received Assets (as defined in Annex A), held within your account are assets held in custody by us for you. Title to Digital Assets you hold within your account remains with you at all times and does not transfer to us, except as provided herein. None of the Digital Assets in your account or any other customer account are our property, are loaned to us, or are subject to the claims of our creditors, and we do not represent or treat Digital Assets in your account, or in any other customer's account, as our property. However, a court may disagree with our treatment of your Digital Assets and subject them to claims of our creditors. We cannot grant a security interest in the Digital Assets held in your account (but we do not represent or warrant that any Digital Asset is free or clear of any security interest or other lien or encumbrance). Except as required by a facially valid court order, or as set forth in these Terms, we won't sell, transfer, loan, hypothecate, or otherwise alienate any Digital Assets in your account unless you instruct us to. If you elect to participate in Bonded Staking, the foregoing sentence is subject to the Bonded Staking restrictions set forth in Annex B. With respect to any Digital Assets posted as collateral in connection with OTC Options, the foregoing paragraph is subject to and qualified by the provisions regarding our right to use, pledge, sell or otherwise rehypothecate such posted collateral as set forth in Annex K.

You own and control the Digital Assets in your account. Subject to these Terms (including its Annexes), any outages or downtime, a court order, other applicable policies, the restrictions described in Annex A, Section 4 titled "Terminating Margin Extensions" and Annex B, or as otherwise provided herein, you may withdraw your Digital Assets from your account as described in these Terms. In order to more securely and effectively custody Digital Assets, we may use shared blockchain addresses, that we control, to hold Digital Assets on your behalf and to hold on our behalf. We maintain separate ledgers for your account and our accounts.

We may hold Digital Assets in your account in a variety of different ways, including across multiple blockchain protocols, such as "Layer 2" networks, alternative "Layer 1" networks, or side chains. In

connection with holding your Digital Assets, we may transfer such Digital Assets off of the primary blockchain protocol and hold such Digital Assets on shared blockchain addresses we control or on alternative blockchain protocols in forms compatible with such protocols. You agree that all forms of the same Digital Asset may be treated as fungible and the equivalent of each other, including those that are held and made available across multiple blockchain protocols and without regard to (a) whether any form of such Digital Asset is wrapped or (b) the blockchain protocol on which any form of such Digital Asset is stored.

ACH and Credit Card Funding Methods

We may permit you to make a payment associated with the services (including a Deposit, Issuance, or Trade) from your Financial Account(s) using a credit card or money transfer from your Financial Account (e.g., an ACH or SEPA transfer) to the extent permitted under applicable laws. If you make such payments using money transfers or credit card, you authorize us to debit your associated Financial Account automatically, but you acknowledge that there may be a significant delay in crediting your account with the amount debited (less any fees), including delays due to third party financial institutions or payment processors. If you select a credit card or wallet as your payment method, and any transaction using such payment method falls on a weekend or holiday or after business hours, the debit may be executed on a later business day, although the transaction fees at the time of the regularly scheduled transaction will apply. If your payment method fails, we will notify you that the transaction is canceled and may use the remedies set forth in these Terms to recover any amount owed to us. Credit card payments and money transfers are not controlled by us, and we are not liable for any delay or rejection of any such payments, or any other losses, fees, or charges associated with such payments. Your use of money transfers or credit card payments may be subject to third-party terms between you and the third party. We are not a party to such third-party terms and have no obligation or liability to you under such third-party terms.

If you set up a recurring credit card payment or money transfer associated with our services, including a recurring Trade, you authorize us to execute any rejected payment again at a later time. Each attempted execution is subject to the fees set forth in these Terms. You authorize us to deduct fees directly from any assets in your account without notice. We may require that your account has sufficient funds to cover, at a 1:1 ratio, any payments using credit card or money transfers for 120 days post deposit (“**Unsecured Deposit Hold**”). You may not withdraw the funds associated with the Unsecured Deposit Hold prior to the resolution of the Unsecured Deposit Hold.

Plaid ACH Funding

If applicable, with your prior authorization, we may use Plaid, Inc. (“**Plaid**”) to connect your account with your Financial Account (each such Financial Account connected being a Verified Financial Account). You are able to connect your account to your Financial Account via Plaid on the “Funding” page of our website. Your authorization to initiate debits and credits on the Financial Account(s) that you have connected on the “Funding” page of our website will remain in full force and effect until you terminate the authorization by deleting your Financial Account from the “manage deposit accounts” section of the “Funding” page of our website.

It is your responsibility to verify your Financial Account, and confirm adequate funds are available prior to approving a transaction. Information you share with Plaid is treated in accordance with its End User Privacy Policy, available at <https://plaid.com/legal/#end-user-privacy-policy> (“**Plaid’s Privacy Policy**”). You agree that the terms and conditions of Plaid’s Privacy Policy will govern Plaid’s use of such information, and by using Plaid you agree to the terms and conditions of Plaid’s Privacy Policy and terms of use. You expressly grant Plaid the right, power, and authority to access and transmit your information as reasonably necessary for Plaid to provide its services to you in connection with your use of our services and Platforms.

3. Withdrawal of Crypto & Redemption of Fiat Balance

You may be able to transfer Digital Assets from your account (“**Withdraw**” or “**Withdrawal**”) or redeem Fiat Balances into Fiat Currency (“**Redeem**” or “**Redemption**”) deposited to a Financial Account approved by us. At most, you can Withdraw the total amount of Digital Assets or Redeem Fiat Balances in your account, less any fees associated with such Withdrawal or Redemption. You cannot make a Withdrawal if the balance of Digital Assets or a Redemption if the Fiat Balance in your account is less than any minimum balance requirements, any amounts needed to satisfy any of your open positions, or any fees owed by you.

When you request a Withdrawal or Redemption, you authorize us to remove the designated Digital Assets from your account, or direct the Designated Financial Institution to deliver the amount of Fiat Currency for a requested Redemption to you (and to reduce the balance of Fiat Currency in your account), in each case less any fees. A Withdrawal or Redemption may not be able to be completed partially or fully, including because the Financial Account rejects your Digital Assets or Fiat Balance, or the Financial Account is unavailable. We'll attempt to complete Withdrawals and Redemptions that can be completed, whether partially or fully, within a reasonable time after your request, but we cannot guarantee Withdrawals or Redemptions will be completed within any particular time. We are not responsible for any damages resulting from any rejected Withdrawal or Redemption.

Withdrawals and Redemptions may not be cancellable once initiated. All Withdrawals and Redemptions are final and non-reversible once made, but you may be able to Deposit the withdrawn Digital Assets or instruct an Issuance of a Fiat Balance in accordance with Section 2 (Deposits). We can, at any time and without notice, reject any Withdrawal/Redemption or impose limits on Withdrawals /Redemptions you can make (for example, in magnitude and frequency).

We may, in our discretion, determine that it is necessary or appropriate to suspend your ability to make Withdrawals or Redemptions. We reserve the right to suspend your ability to make Withdrawals or Redemptions altogether for an indeterminate amount of time to ensure, as determined in our sole discretion, compliance with these terms or any legal, regulatory, or administrative obligation or guidance.

4. Trades

Generally

Subject to eligibility requirements and geographic restrictions, our services may allow you to trade through your account:

- a certain Digital Asset for another Digital Asset,
- a certain Digital Asset for a certain Fiat Balance,
- a certain Fiat Balance for a certain Digital Asset,
- a certain Fiat Balance for a certain other Fiat Balance (any of the foregoing, a “**Trade**”).

The Digital Assets that may be available for Trades may change, without notice. See Section 7 for more information. In addition, you may not be able to Trade certain Digital Assets for certain other Digital Assets or Fiat Balances, and you may not be able to Trade Certain Fiat Balances for certain other Fiat Balances or Digital Assets. See [our website](#) for more information.

Please refer to our [Trading Guide](#) for more information regarding trading, including some important terminology associated with trading. If you do not understand everything in our Trading Guide or important terminology around trading, do not make any Trades.

Execution

See Section 2 (Deposits of Crypto and Issuance of Fiat Balances) for more information on funding your account with Digital Asset or Fiat Balances prior to making a Trade. To make a Trade, you must submit an order through the services. Please see our [order types](#) page for a description of the various types of orders that our services may permit you to make. Certain order types may not be available to you or may be subject to additional terms and conditions set forth in an Annex. We can remove or change any order types at our discretion at any time. Order types may be limited to certain Digital Assets and not all Digital Assets may be the subject of a Trade for every order type.

When you submit an order, you authorize us to execute a transaction in accordance with the order (and the order type you choose, if applicable) and to charge you any applicable fees and taxes. We cannot guarantee any order will trade at any particular exchange rate and the exchange rates that may be used for your order may differ from rates provided by third parties. We are not responsible for matching any third-party rate or providing you any particular rate. The actual rate at which an order is executed may be different from the current market exchange rate indicated by our services at the time of your order, and we are not liable for any such difference or any price fluctuations of Digital Assets or Fiat Balances. Any rate shown in our Platform is only valid during a specific period and may not be current. If the order type you choose for an order is set to execute only at a certain price or only if certain contingencies are met (for example, a limit order), we cannot guarantee that the order will ever be executed in whole or in part.

We may provide you confirmation of Trades you successfully execute. If we do not provide confirmation, that does not mean the Trade did not happen. Your account “History” page will reflect successfully executed transactions. Proceeds from a successfully executed Trade will be credited to your account, less any applicable fees, and the Digital Assets or Fiat Balances you traded for such proceeds will be removed from your account.

We may reject any Trade or other transaction at our sole discretion, whether confirmed by you or not, and we are not liable to you for any rejection.

Trades in which you enter an order with a specified trading pair and quantity after receiving a quote from Kraken providing indicative trade terms and fees, including those in which you submit limit or market buy or sell orders in relation to a trading pair specified as a synthetic market (being a market in which you may place market or limit orders to exchange one Digital Asset for a Fiat Currency or another Digital Asset, and in which any order book or pricing data displayed is indicative of Kraken’s pricing for the relevant asset pair, derived from one or more underlying reference markets), are filled by us as your counterparty.

Trades in which you submit limit or market buy and sell orders, including through Application Programming Interface (API) access to the Kraken Platform, are executed by us on an agency basis, on your behalf. This excludes Trades in which you submit limit or market buy or sell orders in relation to a trading pair specified as a synthetic market on the Kraken Platform, which will be filled by us as your counterparty.

Recurring and Custom Trades

You may have the option to make Trades on a recurring or custom basis using our service. If you elect to make recurring or custom Trades, you authorize us to initiate recurring or custom electronic

purchases or sales using Digital Assets and Fiat Balances in accordance with your selections and using any of your corresponding Financial Accounts, if applicable. Your authorization will remain effective until you change your recurring or custom Trades settings in your account settings. Changes in your recurring or custom Trades settings may take up to one day to become effective. You agree to keep your payment method updated in your account as long as you have recurring or custom Trades active or scheduled.

Your recurring Trades will occur based on your period selection (e.g., daily, weekly, bi-weekly, monthly) until canceled. Recurring Trades scheduled for the 29th, 30th, or 31st day of a month will be processed on the earlier of the date scheduled or the last day of the applicable month. For example, recurring Trades scheduled for the 31st will be processed on the 30th in April, June, September, and November. We may attempt to execute your recurring Trade on the day that you select, but transaction times may vary. You acknowledge that the amount of any Digital Asset you purchase or sell in each recurring Trade will depend on the market price at the time of the Trade and will only be determined once the Trade is executed.

Custom Trade orders will execute at the target price or better. This means that the underlying market could hit your target price and we would not execute the order, if we are unable to lock in a price at or better than the target price.

We may reject or cancel a recurring or custom Trade (in whole or in part) for any reason. We are not liable for any recurring or custom Trade or any failure to make a recurring or custom Trade (including any rejection or cancellation of a recurring or custom Trade in whole or in part). You should regularly check the status of your recurring and custom Trades. We will not verify the information or details of your recurring or custom Trades. You agree that the information and details of your recurring and custom Trades as provided by you are accurate and complete and as such may be treated and acted upon by Kraken.

We may, at any time and without liability, suspend or delay recurring or custom Trades (in whole or in part) without notice or terminate recurring or custom Trades by providing notice to you, unless such notice is prohibited by law.

You understand that applicable spreads, transaction fees and taxes may change. Details regarding current fees can be found at our [Fee Schedule](#) under the Instant Buy/Sell tab. You are presented with the applicable fees charged by us before entering into the transaction. Your confirmation of the transaction constitutes agreement to pay all such applicable fees. You will not be charged any such fees in the unlikely event your transaction is rejected. Your payment provider may charge additional fees in connection with your transaction. You understand and agree that you are fully responsible for your payment providers' fees for all recurring and custom Trades.

Bundles

Bundles are portfolios of Digital Assets that are automatically rebalanced in the background by us, allowing you to invest in a range of Digital Assets all at once, while the rebalancing keeps portfolios on track so that when the market changes, the portfolio still captures your same investment preference. When you use our bundles product, you will first need to choose a pre-selected portfolio of Digital Assets (each a "**Bundle**") from a number of themed Bundles available. In certain cases we may give you the option to customize a Bundle for example by adjusting Digital Asset weightings or selecting specific Digital Assets you wish to include in the Bundle, although this feature will not always be available.

When you allocate Fiat Currency to the portfolio, we will execute trades to purchase the Digital Assets listed for that Bundle at the same weightings of Digital Assets as is allocated in the Bundle unless agreed otherwise with you. However, where this would involve us executing trades below the minimum trade size, these trades will not be executed.

We will automatically rebalance your Bundles at a frequency and according to the allocation parameters set by us (“**Rebalancing**”), unless agreed otherwise with you. Allocation parameters could be set so that your portfolio is updated to mirror the Digital Assets and weightings of the Bundle, or according to other factors as further set out on our Site. By using our Bundles product, you are authorising us to execute trades to buy and sell Digital Assets in your portfolio at a frequency set by us, to reallocate weightings of Digital Assets in your portfolio according to the allocation parameters.

We may update the allocation parameters or weightings within a Bundle at any time in our sole discretion without prior notice by adding or removing Digital Assets or changing the weightings of Digital Assets in a Bundle, for instance as new Digital Assets are added or removed from our Platform, or as market caps change. Unless we give you the option to opt-out of Rebalancing and you choose to opt-out, your portfolio will be updated during Rebalancing to mirror the updated Bundle composition, according to the updated allocation parameters and weightings.

Fees for use of the Bundle product will be charged as a percentage of the price of buy and sell transactions, with no charges for rebalancing your Bundle portfolio.

All Bundles products consisting of Digital Assets plus xStocks are offered to Kraken clients in eligible jurisdictions by Payward Digital Solutions, Ltd., as set forth in Annex J hereto.

You acknowledge that you are fully responsible for deciding which Bundle to invest in (if any) and we do not provide investment advice or personal recommendations. You understand that market conditions may impact the effectiveness of rebalancing strategies and that we give no representations or warranties about the current or future performance of Bundles or Rebalancing.

Cancellation

All Trades are final and non-refundable. All orders are non-cancellable, including before or after we execute a Trade, unless otherwise provided in these terms. In some circumstances, you may have the opportunity to request cancellation of an order before we execute the Trade, but we may refuse any cancellation request at our sole discretion. If we fulfill such a cancellation request, that does not mean we will cancel future orders in the same or similar circumstances. If your Trade or other transaction is not successful or your payment method does not have sufficient amount of Fiat Balance or Digital Assets to complete the Trade or other transaction, you further authorize us, in our sole discretion, to cancel the Trade or transaction or to use alternate Digital Assets and Fiat Currency in your account as necessary to complete the transaction or resolve any resulting shortfall or negative balance, including to exchange Digital Assets or Fiat Currency in your account for alternative types of Digital Assets or Fiat Currency and deduct any applicable Fees and taxes.

Errors

In the event of an error, whether via our services or platforms, in a purchase order confirmation, in processing your purchase, in funding your account, in transferring Fiat Currency or Digital Assets to a Financial Account, or any other transaction, we reserve the right, and you authorize us, to correct such error, including by revising the transaction (including charging the correct price), canceling the transaction, or taking any other action to resolve the error (including exchange Fiat Currency or Digital Assets in your account for alternative types of Fiat Currency or Digital Assets and deducting any applicable Fees and taxes to correct the error).

Insufficient Assets

If you have an insufficient amount of Fiat Balance or Digital Assets in your account to complete a Trade, we may choose to cancel the entire Trade or fulfill a partial Trade using the amount of Fiat Balance or Digital Assets currently available in your account, less any fees and taxes.

Restrictions

We can, at any time and without notice (1) refuse to execute any Trade or order at our sole discretion, including if you do not have sufficient Digital Assets or Fiat Balance held or reflected, as applicable, in your account and (2) impose limits on Trades (for example, limiting the number of open bids, offers, or orders or restricting Trades from certain locations).

4.A Kraken Points Programme

Our provision of the Points Programme set out in this Section 4.A is not regulated.

Generally

We may, from time to time, subject to restrictions in certain jurisdictions, and at our sole discretion, make available a programme under which eligible users may accumulate points (“Points”) as an internal indicator of their engagement and participation across our services and Platforms (the “Points Programme”). The Points Programme, if and when offered, will be subject to these Terms (including this Section 4.A) and any additional terms, conditions, rules, or programme-specific documentation that we may publish on the Platforms or our website from time to time (the “Programme Terms”), which will include the name under which the Points Programme is offered.

We are under no obligation to offer, maintain, or continue any Points Programme, and the inclusion of this Section 4.A in these Terms does not indicate that a Points Programme is currently available or will become available in any particular jurisdiction.

Contracting entity

The Points Programme is provided by Payward Inc. Where you participate in the Points Programme, the terms in this Section 4.A apply to you in addition to the other terms of these Terms. To the extent of any conflict, the terms of this Section 4.A will take precedence. Further information on the Points Programme, if and when offered, may be made available on our website.

Disruption to Points Programme

We cannot guarantee uninterrupted or error-free operation of the Points Programme or that we will correct all defects or prevent disruptions or unauthorised access. We may suspend or discontinue the Points Programme in our sole discretion at any time.

Eligibility

Participation in the Points Programme, if offered, is subject to the Conditions and any additional eligibility criteria determined by us in our sole discretion and notified to you through the Platforms or our website. We reserve the right to restrict or deny participation to any user at any time, including on

the basis of account status, jurisdiction of residence, compliance history, or any applicable legal or regulatory requirements. The Points Programme may not be available in all jurisdictions and not all users or account types may be eligible to participate.

Nature of Points

Points are an internal metric recorded by us against your account. They are used solely to recognise engagement and participation across our services and Platforms.

Points:

- have no monetary value and do not represent any economic interest of any kind;
- are not a Digital Asset, token, financial instrument, security, currency, or store of value;
- are not redeemable or exchangeable for Fiat Currency, Digital Assets, tokens, fee credits, rebates, goods, or services;
- are not transferable, assignable, or capable of being pledged, gifted, combined with the Points of any other account, or otherwise dealt with, except as expressly permitted by the Programme Terms;
- do not constitute property and title to Points does not pass to you; and
- do not represent any right, claim, or entitlement against us or any of our affiliates, including any entitlement to receive tokens, airdrops, or other benefits of any kind.

Accumulation of Points does not, under any circumstances, create any expectation of economic return, financial benefit, or future value.

Accumulation of Points

If a Points Programme is made available, Points may be accumulated by engaging in certain activities or behaviours across our services and Platforms as specified in the Programme Terms from time to time. The activities that may be recognised, the manner and rate at which Points are accumulated, and any applicable limits, caps, or algorithmic weightings are subject to change by us at any time, with or without notice.

We do not guarantee that any particular activity will result in the accumulation of Points. Points will only be recorded once a qualifying activity has been verified and processed by us in accordance with the Programme Terms. Accumulation of Points should not be interpreted as an incentive to increase trading activity or any other particular behaviour on our services or Platforms.

We reserve the right to withhold, adjust, reverse, or cancel Points at any time if we determine, in our sole discretion, that they were recorded in error or as a result of fraudulent, abusive, manipulative, or otherwise prohibited conduct, or if you have breached these Terms or the Programme Terms.

Expiry and Forfeiture

Points may be subject to expiry or forfeiture in circumstances including: inactivity of your account for a specified period; breach of these Terms or the Programme Terms; termination or suspension of your account pursuant to Section 15 of these Terms; or discontinuance of the Points Programme. Upon termination of your account for any reason, any accrued Points will be immediately forfeited and cancelled without compensation to you or liability to us.

Changes; Suspension; Discontinuance

We may, at any time and in our sole discretion, and where required by applicable law upon notice to you:

- modify, suspend, or discontinue the Points Programme in whole or in part;
- change the Programme Terms, including the activities recognised under the programme, the manner in which Points are accumulated, the availability of any Benefits,

and any expiry terms;

- adjust, cancel, or expire any Points balance, including on a programme-wide basis; or
- terminate your participation in the Points Programme.

Any changes to the Programme Terms will be effective upon posting on the Platforms or our website, or such other date as we may specify. Your continued participation in the Points Programme following any such change will constitute your acceptance of the revised Programme Terms.

5. Layer 2 Transactions

You may have the option to utilize “Layer 2” networks in connection with our services. We make this option available to you solely for your convenience and we don't require that you use a Layer 2 network. We may, at our discretion, discontinue or change the ability of Layer 2 networks (or certain Layer 2 networks) to connect with our services or Platform at any time. You are solely responsible for your selection of and any use of a “Layer 2” network in connection with our services and we make no representations, warranties, or guarantees that any Layer 2 network will connect with our services or Platform or that such Layer 2 network will function or perform in accordance with your expectations. You are solely responsible for, and you hereby consent, acknowledge and agree that we disclaim and have no responsibility for, any loss, liability, or damage you may incur, directly or indirectly, as a result of your use of a Layer 2 network.

6. Fees; Taxes

Our Fees

You agree to pay us all applicable fees associated with your use of the services, including fees for Trades, Deposits, Issuances, Redemptions and Withdrawals. You authorize us, or our designated third-party providers, to charge or deduct Fiat Balances or Digital Assets held or reflected, as applicable, from your account to cover any applicable fees associated with your use of the services. The relevant fees are shown in our [Fee Schedule](#).

Transactions using the Instant Buy/Sell services are subject to fees and a spread that is included in the transaction price. Applicable transaction fees and spreads may change. Our current fees can be found in the Fee Schedule under the Instant Buy/Sell tab. Fees may differ depending on the selected payment method (e.g. account balance, card, ACH). Spreads may be determined based on a combination of factors, including market conditions, asset, order size, type of trade, participation in Kraken's VIP program, and trading and custodial activity.

Kraken occasionally tests changes to fees and spread. We will show you the total amount, which includes the spread and fees, each time you preview a trade and afterwards in your transaction history.

Your payment provider may charge additional fees in conjunction with your transaction, however we do not know the fees charged by your payment provider. You understand and agree that you are fully responsible for your payment providers' fees for all transactions.

We may change the fees and fee Schedule at any time, without notice. Changes to our fee Schedule are effective as of the effective date shown on the fee Schedule, and changes will apply prospectively to your use of the services.

In the event we determine there are insufficient funds to pay any fees, you hereby authorize us to sell Digital Assets from your account sufficient to pay any fees due. In addition, to the extent fees are required to be paid in a particular denomination of Fiat Currency, you authorize us to receive the

proceeds of any sale of Digital Assets in such denomination of Fiat Currency or to convert any Fiat Balance held in your account to the required denomination. You are responsible for any and all additional fees that may be incurred to sell Digital Assets or convert Fiat Balance denominations in order for the fees to be paid to us.

If you fail to pay fees or any other amounts owed to us, interest will accrue on such unpaid amounts at the greater of the rate of 18% per year, or the maximum amount allowed by law. In addition, we may refer your outstanding amounts to a third party for collection, and we'll charge you a collection fee of 18% of the outstanding amounts due or the maximum percentage permitted by applicable law, to cover our collection-related costs.

Third-Party Fees

Your use of the services may also incur third-party fees, such as fees associated with your Financial Account, or other fees, such as gas fees. You are solely responsible for paying all such fees.

Taxes

You alone are responsible for determining what taxes apply to your use of the services, including for Trades, Deposits, and Withdrawals, and for reporting and remitting the correct taxes to the appropriate tax authorities. You agree that we have no responsibility or liability for determining what taxes apply or for collecting, reporting, withholding, or remitting any taxes arising from any trades or transactions, unless otherwise required by law.

Notwithstanding anything herein to the contrary, we may withhold (or cause there to be withheld, as the case may be) from any amounts otherwise due or payable to you such federal, national, provincial, local income non-income, or other taxes as may be required to be withheld pursuant to any applicable law or regulation of any jurisdiction or taxing authority. You authorize us, in our sole discretion and in lieu of a separately stated tax amount, to increase any applicable Fees to account for taxes owed on a particular transaction undertaken using our services.

We are subject to various obligations imposed by the tax (and other) laws and supervisory authorities of various jurisdictions. These obligations may require us to request additional information, documentation or certifications from you and process certain personal data for identity verification, payment processing, compliance with court orders, tax laws or other purposes not disclosed herein. Please refer to our Privacy Notice for Information we may collect about you. These obligations may arise at various times, including, but not limited to, client on-boarding, payment processing, and systemic checks for risk management, and may change without notice. We reserve the right to lock, disable and close accounts as deemed necessary by us in order to comply with any such legal and regulatory obligations now existing or hereinafter imposed.

If you are a U.S. tax resident, in order to use our services, you also agree to the following:

Under penalties of perjury, you certify that:

1. The taxpayer identification number provided to us is your correct taxpayer identification number;
2. You are not subject to backup withholding because (a) you are exempt from backup withholding, (b) you have not been notified by the Internal Revenue Service (IRS) that you are subject to backup withholding as a result of a failure to report all interest or dividends, or (c) the IRS has notified you that you are no longer subject to backup withholding; and
3. You are a U.S. person (including a U.S. resident alien).

7. Supported Digital Assets and Fiat Currencies

The Digital Assets and Fiat Currency supported by our services are identified on our website (see [here for supported Digital Assets](#) and [here for supported Fiat Currency](#)) and may change at any time, without notice, in our sole discretion. Certain Digital Assets or Fiat Currencies may not be available for Trades, Deposits, Issuances, Withdrawals, or Redemptions in certain jurisdictions. The availability of Digital Assets or Fiat Currency for Trades, Deposits, Issuances, Withdrawals, or Redemptions on the Platforms does not guarantee that such Digital Assets or Fiat Currency will be available for Trades, Deposits, Issuances, Withdrawals, or Redemptions in the future. You are solely responsible for monitoring which Digital Assets and Fiat Currency are supported by the services. We are not liable for discontinuation of support of any particular Digital Asset or Fiat Currency, even if you are engaged in time-sensitive Trades, Deposits, Issuances, Withdrawals, or Redemptions. We reserve the right to discontinue supporting any Digital Asset or Fiat Currency with or without notice. You acknowledge and agree that we may take any action necessary to discontinue our support of a Digital Asset or Fiat Currency, including but not limited to canceling your trade instructions and requiring you to remove discontinued Digital Assets or Fiat Balance from your account in a reasonable period of time, and liquidating or converting such Digital Assets or Fiat Balance into other assets if they are not timely withdrawn. Under no circumstances will we be liable to you for any direct or indirect losses, damages, or costs that you may suffer in connection with any actions or inaction we may take in accordance with this Agreement to discontinue our support of a Digital Asset or Fiat Currency.

We make no promises, guarantees, or warranties regarding forks, airdrops, migrations, or the addition of new Digital Assets, and you should not assume that we will list, credit, or otherwise support any forked, airdropped, or migrated Digital Asset. If you wish to participate in a fork, airdrop, or migration, you should withdraw the affected Digital Asset to your own private wallet well in advance of any applicable deadline.

We may receive direct or indirect benefits associated with providing support for certain Digital Assets due to agreements we enter into with Digital Asset issuers related to assisting with marketing, technical integration, provision of liquidity for, or other services relevant to particular Digital Assets. We subject all Digital Assets, regardless of whether we benefit from the provision of any services to their issuers, to the same strict review process and guidelines in determining whether to support them on our services or Platforms.

8. Content; Feedback

Our Content. We or our licensors own (1) our services and Platforms, (2) all content, materials, software, and trademarks found on them, (3) the selection and arrangement of them, and (4) all intellectual property rights in them (collectively, “**Our Content**”). So long as you comply with these Terms, you are permitted to use our services, and Our Content made available to you as part of our services, but only for your own benefit. We can take away this permission at any time for any reason. You do not have or acquire any rights to Our Content beyond the limited, revocable permission in the previous sentence. If you wish to use Our Content for any other purpose you must seek prior permission to do so by contacting marketdata@kraken.com.

Your Content. You may have the opportunity to transmit content or materials in or through our services or Platforms (“**your Content**”, excluding Personal Data as defined in our [Privacy Notice](#)). You grant us a perpetual, irrevocable, royalty-free, worldwide, fully sublicensable, non-exclusive right and license to use and exploit your Content in any manner and for any purpose.

Feedback. You may provide us feedback, suggestions, or ideas relating to our services or Platforms (“**Feedback**”). You represent and warrant that you have the right to provide us any feedback that you provide. You agree that we'll own all feedback, and you hereby irrevocably assign all right, title, and interest in and to all feedback to us.

Other Content and Services. When using our services or Platforms, you may come across links to third-party content, or you may have the opportunity to use third-party services in connection with our services or Platforms. We don't control or endorse any third-party content or services and are not liable to you for third-party content or services in any way. Your use of third-party content or services may be subject to additional terms and conditions with third-party providers, and we are not part of those terms or conditions. For example, we use Google's Places API to mitigate errors in account address records during account creation, which may delay account creation and verification. Your use of Google's Places API during account creation is subject to [Google's Terms of Service](#) and [Google's Privacy Policy](#). If any third-party terms and conditions conflict with these Terms, you agree that these Terms control.

Partnerships. From time to time we may offer our services in partnership with a third party partner. If you are introduced to us through one of our partners, the following terms will apply to you (notwithstanding any terms to the contrary in these Terms):

- You may only be able to access your Kraken account and/or our services through our partner's platform or app, in which case access to your Kraken account and our services will be subject to:
 - the availability of our partner's platform or app;
 - our partner's terms and conditions; and
 - your compliance with our partner's terms and conditions, as well as these Terms.
- You may not be able to access all of our services, or all of our services that we support, through a partner's platform or app.
- You may be required to satisfy additional onboarding requirements from our partners as well as the Conditions and other eligibility requirements set out in these Terms. Your personal data will be processed by our partner as well as by us (the privacy notices of our partners will explain how they will process your data).
- The fees that you pay for using our services through a partner's platform or app may be different to the fees stated on our platform, but we will still notify you of all applicable fees for any transactions in advance.
- Your Account may be debited or credited by our partner instead of us in order to settle fees you owe us or transactions you have made using our services.
- You may communicate with us, and/or receive communications from us, through our partner instead of through the communication methods set out in these Terms (although you always have the right to communicate with us directly if you wish to raise a formal complaint about our Services).
- In addition to the termination circumstances outlined in Section 15, there may be circumstances in which we will need to terminate your account and liquidate your holdings if our partner terminates your access to their platform for any reason.

9. Restrictions

You will not:

- use Our Content to engage in, pay for, or support any illegal, fraudulent, deceptive, or manipulative conduct, including illegal gambling activities, money-laundering, or terrorist

activities,

- use Our Content in any way or for any purpose that infringes, misappropriates, or otherwise violates any intellectual property rights or other rights of us or any third party, or applicable local, state, or federal law or regulation, or that is prohibited by these Terms,
- remove, delete, alter, or obscure any trademarks, specifications, warranties, or disclaimers, or any intellectual property or proprietary rights notices from Our Content,
- use, export, reexport or transfer any of Our Content for any purpose prohibited by U.S. or local export or import control laws and regulations,
- copy, modify, disassemble, decompile, or reverse engineer Our Content (except to the extent such restrictions are prohibited by applicable law),
- use (except as expressly permitted in these Terms), license, sublicense, sell, resell, transfer, assign, distribute or otherwise commercially exploit or make available to any third party Our Content in any way,
- take any action or use Our Content in any manner that could damage, destroy, disrupt, disable, impair, overburden, or otherwise impede or harm in any manner Our Content, or interfere with any other party's use of Our Content,
- disrupt, interfere with, violate the security of, or attempt to gain unauthorized access to Our Content or any computer network,
- bypass, breach, avoid, remove, deactivate, impair, descramble, or otherwise circumvent any security device, protection, or technological measure implemented by us or any of our service providers to protect Our Content,
- use any device, software, or routine that interferes with the function of Our Content or transmit in or through Our Content, or use in connection with Our Content, any virus, trojan horse, worm, backdoor, time bomb, malware, or other software or hardware devices designed to permit unauthorized access to, or disable, erase, or otherwise harm, any computer, systems, or software,
- access or use Our Content to build or support products or services competitive to our products or services,
- use any web scraping, web harvesting, or data extraction methods to extract any data from Our Content,
- create, use, operate, or employ any bots, robots, parsers, spiders, scripts, programs, routines, or any other forms of automation to engage in any activity on Our Content,
- develop any third-party applications that interact with Our Content without our prior written consent,
- use or attempt to use another user's account without authorization,
- use or attempt to use Our Content for any person other than yourself,
- provide false, inaccurate, or misleading information in connection with your use of or access

to Our Content, or

- encourage, permit, or enable any other person or entity to do any of the foregoing.

In addition, not all of our services are available on every Platform or in every location. You will not attempt to access any services that are unavailable in your location.

10. Risks

There are substantial risks associated with using our services, including conducting Trades. You should carefully consider whether using our services is suitable for you in light of your circumstances, knowledge, and financial resources. Certain of these risks can be found on our [Legal Disclosures](#) page, which is incorporated into these Terms by reference, however the list of risks is not complete and cannot address all risks associated with your use of the services.

WE ARE NOT A BANK OR OTHER DEPOSITORY INSTITUTION. YOUR ACCOUNT ISN'T A DEPOSIT ACCOUNT OR A BANK ACCOUNT. OUR SERVICES ARE NOT DEPOSITORY OR BANK PROGRAMS. NEITHER YOUR ACCOUNT NOR YOUR DIGITAL ASSETS ARE COVERED BY INSURANCE AGAINST LOSSES OR SUBJECT TO FEDERAL DEPOSIT INSURANCE CORPORATION ("FDIC") OR SECURITIES INVESTOR PROTECTION CORPORATION ("SIPC") PROTECTIONS OR THE PROTECTIONS OF ANY COMPARABLE ORGANIZATION ANYWHERE IN THE WORLD.

You acknowledge and agree that your access to and use of the services, including conducting Trades, is at your own risk, and that we are not liable to you for any losses you incur arising from such risks.

11. Disclaimer of Warranties

TO THE MAXIMUM EXTENT PERMITTED BY APPLICABLE LAW, OUR SERVICES AND PLATFORMS ARE PROVIDED ON AN "AS IS" AND "AS AVAILABLE" BASIS. WE EXPRESSLY DISCLAIM ALL WARRANTIES OF ANY KIND, WHETHER EXPRESS OR IMPLIED, INCLUDING IMPLIED WARRANTIES OF MERCHANTABILITY, FITNESS FOR A PARTICULAR PURPOSE, TITLE, AND NON-INFRINGEMENT RELATING TO OUR SERVICES AND PLATFORMS. WITHOUT LIMITING THE FOREGOING, WE DISCLAIM THAT OUR SERVICES OR PLATFORMS WILL BE AVAILABLE, ACCURATE, SECURE, USEFUL, UNINTERRUPTED OR ERROR-FREE; THAT DEFECTS WITH OUR SERVICES OR PLATFORMS CAN OR WILL BE CORRECTED, OR THAT THE SERVERS THAT MAKE THEM AVAILABLE ARE FREE FROM VIRUSES OR OTHER HARMFUL COMPONENTS. WE DO NOT PROVIDE ANY UPTIME GUARANTEES, AND WE MAY DISCONTINUE MAKING OUR SERVICES OR PLATFORMS AVAILABLE TO YOU AT ANY TIME AT OUR SOLE DISCRETION.

12. Limitations on Liability

TO THE MAXIMUM EXTENT PERMITTED BY APPLICABLE LAW, NEITHER WE NOR OUR DIRECTORS, MEMBERS, EMPLOYEES OR AGENTS WILL BE LIABLE WITH RESPECT TO ANY CLAIM, WHETHER IN CONTRACT, TORT (INCLUDING NEGLIGENCE), OR OTHERWISE, RELATED IN ANY WAY TO THESE TERMS, OUR SERVICES OR OUR PLATFORMS FOR (1) ANY INDIRECT, INCIDENTAL, SPECIAL, CONSEQUENTIAL, OR EXEMPLARY DAMAGES, INCLUDING DAMAGES FOR LOSS OF PROFITS, GOODWILL, USE, OR DATA AND (2) TO THE EXTENT NOT ALREADY EXCLUDED, ANY AMOUNTS EXCEEDING \$100 UNITED STATES DOLLARS.

13. Indemnification

You agree to defend, indemnify, and hold harmless us and our officers, directors, members, employees, and agents, from any claim, demand, action, damage, loss, cost, or expense (including reasonable attorneys' fees) relating to (1) your use of our services or Platforms, (2) your violation of these Terms, (3) your infringement, misappropriation, or violation of the rights of any other person or entity, (4) any content, materials, or information (in any form or medium) that you submit, post, upload, provide, contribute, or make available (or authorize or instruct us to do so) through the services or Platforms, and (5) any Feedback. If you are obligated to indemnify us, we have the right to control any action if we want and you cannot settle any action without our consent, unless the settlement is only for money damages which you entirely pay.

14. Dispute Resolution; Arbitration; Applicable Law

PLEASE READ THE FOLLOWING PARAGRAPH CAREFULLY BECAUSE IT REQUIRES YOU TO ARBITRATE DISPUTES WITH US AND IT LIMITS THE MANNER IN WHICH YOU CAN SEEK RELIEF.

You and Kraken agree to arbitrate any dispute arising from these Terms or your use of the services, except for disputes in which either party seeks equitable and other relief for the alleged unlawful use of copyrights, trademarks, trade names, logos, trade secrets or patents. ARBITRATION PREVENTS YOU FROM SUING IN COURT OR FROM HAVING A JURY TRIAL. You and Kraken agree to notify each other in writing of any dispute within 30 days of when it arises. Notice to Kraken must be sent to legal@kraken.com. You and Kraken further agree: (a) to attempt informal resolution prior to any demand for arbitration; (b) that any arbitration will occur in San Francisco, California; (c) that arbitration will be conducted confidentially by a single arbitrator in accordance with the rules of JAMS; and (d) that the state or federal courts in San Francisco, California have exclusive jurisdiction over any appeals of an arbitration award and over any suit between the parties not subject to arbitration. Other than class procedures and remedies discussed below, the arbitrator has the authority to grant any remedy that would otherwise be available in court. Any dispute between the parties will be governed by these Terms and the laws of the State of California and applicable United States law, without giving effect to any conflict of laws principles that may provide for the application of the law of another jurisdiction. Whether the dispute is heard in arbitration or in court, you and Kraken won't commence against the other a class action, class arbitration or representative action or proceeding.

15. Suspension; Termination; Discontinuance

We can, at any time and without liability or prior notice to you:

- modify or discontinue our services or Platforms (or any parts of them),
- suspend, restrict, or terminate your access to our services or Platforms,
- suspend, restrict, or delete your account, any information related to your account, or any content you post to the services or Platforms, or
- reject any Deposit, Withdrawal, Trade, or other transaction or use of the service.

If we terminate your account, we will contact you to return any Digital Assets in your account to you and will instruct any Designated Financial Institution to Redeem Your Fiat Balances, except in each case if you owe us any fees or if we believe you have committed fraud, negligence, or other misconduct. If you are inactive for a protracted period and we are unable to return any Digital Assets or Redeem Fiat Balances in your account to your designated Financial Account, then we may be required to report and remit such Digital Assets and Fiat Balances in accordance with any applicable

state or jurisdiction unclaimed property laws. State unclaimed property law may require liquidation of the Digital Assets held in your account.

You may terminate your account at any time by transferring your Digital Assets and redeeming your Fiat Balances to a Financial Account and ceasing to use our services.

16. Intellectual Property

Kraken respects the valid intellectual property rights of others. You must ensure that your User Content does not infringe any third-party rights, including, without limitation, copyrights. We'll respond to allegations of U.S. copyright infringement with respect to content or other materials in connection with our services in accordance with the Digital Millennium Copyright Act of 1998, 17 U.S.C. § 512 (the "DMCA") when we receive valid takedown notices submitted to us in accordance with the DMCA ("DMCA Notices") and similarly valid counter notices ("DMCA Counter Notices").

- i) DMCA Notice. If you are a copyright owner, or an agent of a copyright owner, and you believe that any User Content or other materials in connection with our services infringes your copyright, you may submit a notification to us pursuant to the DMCA by providing our DMCA agent identified below with the following information in writing at the address or email identified below with the subject line "DMCA Notice: [name of allegedly infringing content]":
- identification of the copyrighted work claimed to have been infringed, or, if multiple copyrighted works are covered by a single notification, a representative list of such works;
 - identification of the material that is claimed to be infringing or to be the subject of infringing activity, and information reasonably sufficient to permit us to locate the material;
 - information reasonably sufficient to permit us to contact you, such as your name, address, telephone number, and, if available, an email address;
 - a statement that you have a good faith belief that use of the material in the manner complained of is not authorized by the copyright owner, its agent, or the law; and
 - a statement UNDER PENALTY OF PERJURY that the information in the notification is accurate, and that you are authorized to act on behalf of the owner of the allegedly infringed copyright; and
 - your electronic or physical signature.

The Kraken designated agent to receive DMCA Notices related to our services under the DMCA (our "DMCA Agent") is:

copyright@kraken.com

Attn: Charles Fookes

Payward, Inc.

1603 Capital Ave., Suite 517B Cheyenne, WY 82001 USA

ii) DMCA Counter Notice. If you believe that your User Content have been improperly removed pursuant to a DMCA Notice because they are not infringing, such as because you have authorization from the actual copyright owner or the owner's agent or because you have the right to license us to store and display the User Content under applicable law, you may send a DMCA Counter Notice to Kraken at the address detailed above with the following information and subject line "DMCA Counter Notice: [name of allegedly infringing content]":

- identification of the materials that have been removed or to which access has been disabled and the location(s) at which the materials appeared before such User Materials were removed or disabled;
- a statement UNDER PENALTY OF PERJURY that you have a good faith belief that such User Materials were removed or disabled as a result of mistake or misidentification of the material to be removed or disabled;
- your name, address, telephone number and, if available, email address;
- a statement that you consent to the jurisdiction of the Federal District Court for the judicial district in which your address is located or, if your address is outside of the United States, to the jurisdiction of the federal courts located in San Francisco, California, and that you will accept service of process from the party that provided notification to us of the alleged infringement; and
- your physical or electronic signature.

If we receive a counter request containing the above information, we may send a copy of such counter request to the original complaining party and we may inform such party that we may replace the removed or disabled content in ten (10) business days. Unless we receive further notice from the original complaining party that it has filed an action seeking a court order to restrain the allegedly infringing activity, we may replace or re-enable access to the allegedly infringing content or materials ten (10) to fourteen (14) business days after the date on which we received the valid counter-request.

- iii) Repeat infringer policy. We will terminate a user account (if applicable) and a user's ability to further interact with our services if there have been three (3) occasions of removal of content provided by such user (or the entity they represent) due to DMCA Notices delivered in accordance with the above procedure.
- iv) Other content concerns. If you believe that any content or other material on our services infringes or violates your rights, other than copyrights (which, for the avoidance of doubt, are addressed via the DMCA notice and takedown procedure described above), you may send us a notification to the contact below. Your sending of such a notification won't create any obligation (e.g., to review, respond or take any action) with respect to the subject matter of the notification, except if and to the limited extent required by applicable law.

content@kraken.com

Attn: Legal Department

Payward, Inc.

1603 Capital Ave., Suite 517B Cheyenne, WY 82001 USA

Any such notification should include the following information in writing:

- identification of the intellectual property or other right claimed to have been infringed or violated, including, if applicable, the registration number of the intellectual property and the applicable jurisdiction of the intellectual property or other right;
- the basis for your allegation of infringement or violation;
- identification of the material that is claimed to be infringing or to be the subject of infringing activity, and information reasonably sufficient to permit us to locate the material;
- information reasonably sufficient to permit us to contact you, such as your name, address, telephone number, and, if available, an email address;
- a statement that you have a good faith belief that use of the material in the manner complained of is not authorized by the rights holder, its agent, or the law; and
- a statement UNDER PENALTY OF PERJURY that the information in the notification is accurate, and that you are authorized to act on behalf of the owner of the allegedly infringed intellectual property or holder of the allegedly violated right; and
- your electronic or physical signature.

17. Legal Disclosures

We are required by law to make certain disclosures in connection with our services and Platforms. These legal disclosures can be found on our [Legal Disclosures](#) page, which is incorporated into these Terms by reference. Certain legal disclosures may be jurisdiction specific. You acknowledge that you have read, understand, and agree to the legal disclosures applicable to you.

We maintain licenses and registrations in certain jurisdictions to provide you our services. These licenses or registrations may impact our provision and your use of our services depending on where you live or are domiciled. Our [Legal Disclosures](#) page contains information on such licenses (or lack thereof) to the extent required by certain jurisdictions.

18. Personal Data

Please read our [Privacy Notice](#) for information about how we collect, use, and share your personal information. Our Privacy Notice is incorporated into these Terms by reference.

19. Notices; E-SIGN Disclosure and Consent

Electronic Communications

You agree that we may electronically provide you all communications, agreements, documents, receipts, notices, tax forms, and disclosures (“**Communications**”) in connection with your account or use of our services. You agree that we may provide Communications to you by posting them on our services or Platforms, by emailing them to you at the email address you provide, or by sending an SMS or text message to a mobile phone number that you provide. Your carrier’s normal messaging,

data, and other rates and fees may apply to any mobile Communications. STOP for Stop. HELP for help. You should retain copies of all Communications for your records.

Electronic Signatures

You consent to the use of electronic records and signatures for all agreements, acknowledgments, and transactions entered into between you and Kraken, and you agree that your electronic signature is legally binding and has the same validity and effect as your handwritten signature. You specifically agree, opt in and consent to Paperless Delivery of Tax Forms. You may opt out at any time by contacting our support at <https://support.kraken.com>.

Hardware and Software Requirements

To access and retain electronic Communications, you will need a computer with an Internet connection that has a current web browser with cookies enabled and sufficient storage space, 128-bit encryption, and a current and valid email address and mobile phone number on file with us. For certain Communications, such as tax forms we'll need to send to you, you will also need software to view PDF files.

Withdrawing Your Consent

You may withdraw your consent to receive electronic Communications by sending a withdrawal notice to <https://support.kraken.com>. If you do, we may suspend or terminate your use of our services. Any withdrawal of consent to receive electronic Communications will act as your affirmation that your street address on file with us is current, and any Communications we are required to provide to you may be sent in paper form to that physical address.

If you would like a paper copy of any Communication, you may request one within 30 days after we provided it to you electronically by contacting our support at <https://support.kraken.com>. For us to send paper copies to you, you must have a current street address on file with us. Any request for a paper copy of a Communication is limited to that individual piece of Communication and won't affect your consent to receive all other Communications electronically. We may charge you fees for any paper copies of Communications.

Updating Your Information

You are solely responsible for keeping your email address, mobile phone number, and street address on file with us up to date. You can update your email address, mobile phone number or street address at any time by logging into your account or by sending such information to <https://support.kraken.com>. If we send you a Communication but you do not receive it because such information is incorrect, our ability to contact you at the email address or mobile phone number is blocked by your service provider, or you are otherwise unable to receive electronic Communications, we will be deemed to have provided the Communication to you whether or not you actually received it. If you use a spam filter that blocks or reroutes emails, you must add us to your email address book so that you can receive Communications.

If your email address or mobile phone number becomes invalid such that electronic Communications sent to you by us are returned, we may deem your account to be inactive, and you may not be able to use our services until we receive a valid, working email address or mobile phone number from you.

20. General

Force Majeure.

We are not responsible or liable for any error, delay, loss, or damage arising from any event beyond our reasonable control (each, a **“Force Majeure Event”**). Force Majeure Events include flood, extraordinary weather conditions, earthquake, or other act of God, fire, war, insurrection, riot, labor dispute, accident, action of government, communications, power failure, or equipment or software malfunction.

Waiver.

If we do not exercise a right under these Terms, we are not waiving such right.

Enforceability.

If any provision of these Terms is invalid or unenforceable, such provision will be deemed severed from these Terms, but such invalidity or unenforceability will not affect any other part of these Terms and the rest of these Terms will remain in full force and effect; provided, however, that if any such invalid or unenforceable provision can be modified so as to be valid and enforceable as a matter of law, then such provision is not deemed severed from these Terms and instead is deemed to have been modified so as to be valid and enforceable to the maximum extent permitted by law.

Assignment.

You cannot assign or transfer any right or obligation under these Terms without our prior written consent. We can assign or transfer any right or obligation under these Terms, in whole or in part, without your consent, subject to compliance with applicable laws. In addition, if we are acquired by or merged with a third-party entity, we reserve the right to transfer or assign the information we have collected from you as part of such merger, acquisition, sale, or other change of control.

Interpretation.

In these Terms, (1) “or” is inclusive, (2) “including” or “such as” are not words of limitation, (3) headings are only for your convenience, (4) unless otherwise indicated, a section reference in the main body of these Terms is a reference to a section in the main body of these Terms, (5) unless otherwise indicated, a section reference in an Annex is a reference to a section in such Annex, and (6) the “Summary of Kraken.com Terms of Service” and any definitions provided only for informational purposes are provided only for your convenience, is not legally binding, and does not affect the interpretation of these Terms.

Relationship

We don't provide investment or tax advice, including in connection with your use of the services. You agree not to rely upon any statement or content on our services or Platforms, or that is otherwise attributed to us, as a recommendation, advice, or guidance regarding trades, investments, tax, or any other similar issues. We also are not acting as your bank, broker, intermediary, agent, advisor, or as your fiduciary in any capacity, including with respect to the services.

Nothing in these Terms will be deemed to or is intended to be deemed to, nor will it, cause you and us to be treated as partners, joint venturers, or otherwise as joint associates for profit.

Survival.

If these Terms expire or terminate, the following Sections will remain fully binding upon you and us: 1, 6, 8, 9, 10, 11, 12, 13, 14, 17, 18, 19, 20, and 21, as well as the following Annexes in their entirety:

Annex B (On-Chain Staking Services). Termination will not limit any of our rights or remedies at law or equity.

Entire Agreement

These Terms are the entire agreement between you and us with respect to the matters discussed herein, and supersede all prior and contemporaneous understandings between you and us about our services and Platforms. These Terms include all applicable Annexes hereto. However, these Terms do not affect any separate mutually agreed upon duly executed written agreement between you and us, and such written agreement shall remain valid.

21. Definitions

In addition to the capitalized terms defined throughout these Terms, the following terms have the following meanings:

“Authentication Methods” means the devices, accounts (including e-mail), credentials, and authentication used to access your Wallet under Annex N (Wallet Access).

“Auto Earn” is a product that allows Kraken users to earn rewards from activating and participating in the service. Your Digital Assets in your spot wallet will generate rewards through our Staking, Opt-In and Stablecoin rewards programs, which compound over time with no lock-up periods, and your Digital Assets are always accessible.

“DeFi” means decentralized finance.

“Deposit” has the meaning set forth in Section 2. For your information, that section defines “Deposit” as to deposit Digital Assets into your account.

“Designated Financial Institution” means a financial institution that we have designated to hold Fiat Currency that you deposit for use in connection with any of our services.

“Digital Asset” means any digital currency or other digital asset that is available in connection with our services.

“Downstream Protocols” means an additional Protocol into which a Protocol may deploy your Crypto-assets under Annex N (Wallet Access).

“Fiat Balance” means the value of Fiat Currency reflected on your account which has been deposited in a Designated Financial Institution and reconciled periodically based on your use of the services and applicable fees.

“Fiat Currency” means government-issued currency that is not backed by a commodity, including U.S. Dollars, British Pound, and Euro, and that is available in connection with our services.

“Financial Account” means a financial account or wallet maintained outside the services, of which you are the actual or beneficial owner. For the avoidance of doubt, you are prohibited from attempting to or initiating Digital Asset transfers to or from external accounts or wallets that are not owned or controlled by you.

“Issue” or “Issuance” has the meaning set forth in Section 2. For your information, that section defines “Issuance” as being issued a Fiat Balance in your account after deposit of Fiat Currency with a Designated Financial Institution.

“Our Content” has the meaning set forth in Section 8. For your information, that section defines “Our Content” as collectively (1) our services and Platforms, (2) all content, materials, software, and trademarks found on them, (3) the selection and arrangement of them, and (4) all intellectual property rights in them.

“Platforms” has the meaning set forth in the preamble to these Terms. For your information, the preamble defines “Platforms” as our websites (including kraken.com and pro.kraken.com), and mobile applications through which you access our services.

“Protocol” means an automated, non-custodial smart-contract system on a blockchain operated by Third-Party Providers into which you may elect to move your Crypto-assets under Annex N (Wallet Access).

“Redeem” or **“Redemption”** has the meaning set forth in Section 3. For your information, that section defines “Redeem” or “Redemption” as redeeming a Fiat Balance into a Fiat Currency deposited into a Financial Account approved by us.

“Staking Tokens” means receipt tokens that allow users to directly participate in staking.

“TEE” means trusted execution environment, which is a cloud-based secure area that enables the creation and caching of private keys, used to authorise on-chain transactions initiated by you.

“Terms” has the meaning set forth in the preamble to these Terms. For your information, the preamble defines “Terms” as these Terms of Service, including all Annexes hereto.

“Third-Party Provider” means any person or entity that builds or operates a Protocol, blockchain network, wallet infrastructure component, TEE provider, relay, paymaster, data source, or other service accessible through the Wallet Access Service under Annex N (Wallet Access).

“Tokenized Asset” means any digital representation of a real-world asset that is available in connection with our services.

“Trade” has the meaning set forth in Section 4. For your information, that section defines “Trade” as a trade, through your account, of any of the following (1) a certain Digital Asset for another Digital Asset, (2) a certain Digital Asset for a certain Fiat Currency, (3) a certain Fiat Currency for a certain Digital Asset, or (4) a certain Fiat Currency for a certain other Fiat Currency.

“Unsecured Deposit Hold” has the meaning set forth in Section 2. For your information, that section defines “Unsecured Deposit Hold” as an amount of funds in your account sufficient to cover, at a 1:1 ratio, any payments using ACH or credit card for 120 days post deposit.

“VASP Services” means exchange between virtual assets and fiat currencies; exchange between one or more forms of virtual assets; transfer of virtual assets, that is to say, conduct a transaction on behalf of another person that moves a virtual asset from one virtual asset address or account to another; and act as a custodian wallet provider.

“Wallet” means a self-custodied on-chain wallet that you set up and control under Annex N (Wallet Access). The Wallet is separate from your Account balance(s).

“Wallet Access Service” means our provision of user interfaces, connectivity and related tooling that allow you to manage your Wallet under Annex N (Wallet Access).

“we”, “us”, “our”, “Kraken”, or “Payward” have the meanings set forth in the preamble to these

Terms. See the preamble for more information.

“Withdraw” or **“Withdrawal”** has the meaning set forth in Section 3. For your information, that section defines “Withdraw” or “Withdrawal” as your transfer of Digital Assets from your account to a Financial Account approved by us.

“You” has the meaning set forth in the preamble. For your information, the preamble defines “you” as the individual, or entity acting through an authorized individual, who is bound by these Terms.

“Your Content” has the meaning set forth in Section 8. For your information, that section defines “your Content” as content and materials you transmit in or through our services or Platforms, excluding Personal Data as defined in our [Privacy Notice](#).

Annex A

Margin Trading

This Annex A – Margin Trading (**“Margin Trading Annex”**) incorporates by reference and supplements the Kraken.com Terms of Service (excluding all Annexes thereto, the **“Terms”**) as if the entirety of the Terms were set forth in this Margin Trading Annex. Capitalized terms used but not defined in this Margin Trading Annex have the meanings given to them elsewhere in the Terms. In the event of a conflict between the Terms and this Margin Trading Annex, the terms of this Margin Trading Annex will control solely to the extent of the conflict and solely with respect to the subject matter of this Margin Trading Annex. The Margin Trading services are enabled by Payward Trading Ltd, a British Virgin Islands company (**“Payward Trading”**) (except if you live in the United States of America or Australia). Payward Trading is our affiliate and is deemed included in the terms “we”, “us”, “our”, “Kraken” or “Payward” throughout the Terms.

This Margin Trading Annex does not apply to the CFTC-regulated crypto spot margin trading product made available to US customers by Kraken Derivatives US. The terms associated with that program are made available in an Addendum to the FCM Customer Agreement, which is provided to customers prior to participation in the program.

As part of the services, you may have the opportunity to receive from us, and return to us from time to time, Digital Assets or Fiat Balances (each such provision of funds, a **“Margin Extension”**) to make Trades using our services and Platforms (each such Trade, a **“Margin Transaction”**) through your account (your **“Margin Enabled Account”**). Margin Extensions (defined below), Margin Transactions, and Margin Enabled Accounts are subject to certain [eligibility requirements](#) and the Terms, including this Margin Trading Annex.

1. Margin Disclosure Statement

This Section 1 (Margin Disclosure Statement) provides basic facts about trading Digital Assets or Fiat Balances on margin, and to alert you to the risks involved with trading assets in a Margin Enabled Account or conducting Margin Transactions. Before trading assets in a Margin Enabled Account or conducting Margin Transactions, you should carefully review this Margin Disclosure Statement. Please contact us through support <https://support.kraken.com> regarding any questions or concerns you may have with your Margin Enabled Account.

When you trade Digital Assets for Fiat Balances or vice versa, you may pay in full with your own funds or by posting Digital Assets or Fiat Balances in your account as collateral, with funds provided by us to

you pursuant to an extension of margin. If the collateral supporting your extension of margin declines in value by an amount specified by us, you authorize us to issue a margin call and sell assets in your account, in order to maintain equity in the account that meets or exceeds the minimum maintenance margin requirement.

It's important that you fully understand the unique risks involved in trading assets using extensions of margin before determining whether such trading is appropriate for you. These risks include the following, but there may be additional or unforeseen risks:

- **Using margin to support spot transactions poses a high degree of financial risk and isn't suitable for everyone.** Margin trading can lead to large losses, including losses that could substantially exceed the amount of funds you hold in your account. You should examine your financial objectives, financial resources and risk tolerance to determine whether receiving extensions of margin secured by the assets in your account is appropriate for you.
- **You can rapidly lose all of the funds you deposit for trading and may lose more funds than you deposit in your account.**
- **We may require you to immediately Deposit additional funds into your account, and not doing so may lead to automatic liquidation.** The prices of Digital Assets are highly volatile and a decline in the value of assets that are traded on margin may require you to provide additional funds to us, on short notice or with no notice, to avoid the automatic liquidation of assets in your account(s).
- **You authorize us to sell assets in your account without further notice to you.** If the equity in your account is below our maintenance margin requirements, you authorize us to sell assets (including Digital Assets and Fiat Balances) in your account to cover the margin deficiency. You will be responsible for any shortfall in the account after such a sale. As Digital Asset markets are open 24 hours a day, 7 days a week, margin calls and liquidations may occur at any time, including outside of normal business hours.
- **You authorize us to sell your assets without contacting you.** We have no obligation to contact you for a margin call to be valid, and we may liquidate assets in your account without contacting you first. While we may attempt to notify you of margin calls, we are not required to do so. Moreover, even if we have contacted you and provided a specific date by which you must meet a margin call, we may still immediately sell assets in your account without notice to you and without waiting for the specific date to meet a margin call.
- **We can increase maintenance margin requirements without advance notice.** Increased maintenance margin requirements may result in the issuance of a maintenance margin call. Your failure to satisfy the call may cause us to liquidate or sell assets in your account(s). We are not responsible for delays in the release of funds intended to satisfy the call, including but not limited to internal holds on funds exceeding verification limits, delays in the transfer of funds from external accounts maintained by third-party financial institutions, and failure of proper routing of funds through financial networks. The funds won't count towards meeting the maintenance margin requirements until the funds are released.
- **You are not entitled to an extension of time on a margin call.** While we might grant you an extension of time to meet margin requirements under certain conditions, you don't have a right to any extension, and our granting of an extension in one case does not mean it will be extended in any future cases (even if similar). Moreover, even if we have agreed to an extension of time to meet margin requirements, we may still immediately sell assets in

your account without notice to you and without waiting for the expiration of the extension of time to meet a margin call.

2. Acknowledgement and Assumption of Risks

You understand, acknowledge, and agree that:

- You won't enable a Margin Enabled Account, initiate a margin transaction, or receive an extension of margin without having read and understood in full this Margin Trading Annex, including the above Section 1 (Margin Disclosure Statement);
- By enabling a Margin Enabled Account, initiating a margin transaction, or receiving an extension of margin, you understand all the risks involved with trading assets in a Margin Enabled Account or conducting Margin Transactions including all risks disclosed in Section 1 (Margin Disclosure Statement), as well as all additional risks regarding Margin Enabled Accounts, Margin Transactions, and extensions of margin;
- You are solely responsible for, and you assume in full, all risks regarding Margin Enabled Accounts, Margin Transactions, and extensions of margin, including all risks disclosed in Section 1 (Margin Disclosure Statement);
- We disclaim and have no responsibility for any loss, liability, or damage you may incur, directly or indirectly, as a result of your use of a Margin Enabled Account, your conducting Margin Transactions, or your obtaining extensions of margin;
- By enabling a Margin Enabled Account, initiating a margin transaction, or receiving an extension of margin, you have determined that purchasing and selling Digital Assets with the use of margin is appropriate for you.

3. Margin Extensions and Trades

Subject to the Terms, we may provide to you a Margin Extension to make Margin Transactions. You must meet or exceed any minimum balance requirements imposed by us for your Margin Enabled Account to qualify for a Margin Extension. We are not under any obligation to make any Margin Extensions to you, and we may decline a request to initiate a Margin Extension in our sole discretion.

When you use a Margin Extension to effectuate a spot Trade, we record the transfer of ownership of the applicable Digital Asset or Fiat Balance by registering you as the owner of the Digital Asset or Fiat Balance purchased by you ("**Received Assets**") on our internal books and records. For example, you might use an ether Margin Extension from us to buy bitcoin, and the bitcoin you buy using that Margin Extension would be Received Assets.

If you are not (or are no longer) eligible to receive Margin Extensions, each of your then-existing Margin Extensions will become due and must be terminated immediately upon loss of eligibility. If you don't immediately terminate your Margin Extensions in full, then we reserve the right to, without further notice to you: (a) sell your Received Assets and apply the proceeds to the termination of the Margin Extension; and (b) liquidate such other Digital Assets or Fiat Balances in your Margin Enabled Account, in the manner and amount practicable, in Kraken's reasonable discretion, to terminate the Margin Extension in full.

All Received Assets are assets held by Kraken for your benefit, subject to the terms in Section 2 ("Custody and Title of Digital Assets") of the Terms, this Annex A (Margin Trading), and as otherwise

provided herein.

4. Terminating Margin Extensions

To terminate a Margin Extension, you must obtain sufficient funds in your Margin Enabled Account of the same asset type as the denomination of the Margin Extension (for example, you must terminate a bitcoin-denominated Margin Extension by having sufficient bitcoin credited to your Margin Enabled Account). You may terminate a Margin Extension, partially or wholly, by either: (i) transferring funds into your Margin Enabled Account; or (ii) Trading requisite Collateral Assets (as defined below) or other Digital Assets or Fiat Balances in your account to have sufficient funds of the same asset type as the denomination of your Margin Extension. Funds in your account of the same asset type as the denomination of your Margin Extension are (either automatically if your Margin Enabled Account uses Kraken Spot Margin or when you execute a settlement transaction if your Margin Enabled Account uses Kraken Classic Margin) applied to your Margin Extension to, either partially or wholly, terminate your Margin Extension. You will have no right to and must return to us any Digital Assets received because the Margin Extension (and not Received Assets) (i) enabled you to receive such Digital Assets (an “Airdrop”) or (ii) were subject to changes in the underlying operating rules that resulted in the creation of related versions of Digital Assets (a “Fork”). Prior to satisfying the corresponding Margin Extension pursuant to the preceding paragraph, requisite Collateral Assets may not be otherwise transferred to a Financial Account or Traded through our services.

5. Restrictions on your account subject to satisfaction of your Margin Extension obligations.

You agree to maintain in your account, at all times during the term of a Margin Extension, a specified minimum amount of Digital Assets or Fiat Balances approved by us to qualify as collateral (“**Collateral Assets**”). This minimum amount of Collateral Assets (the “**Maintenance Margin Requirement**”) will be defined through the services.

A list of Digital Assets or Fiat Currency approved by us to be eligible as Collateral Assets will be defined through the services and certain Digital Assets may only be valued as collateral on a discounted basis.

For purposes of calculating your compliance with the Maintenance Margin Requirement, we'll calculate (subject to any discounts) the market value of Collateral Assets on a continuous basis. Valuation of Digital Assets will be based on the prevailing value of each Digital Asset on one or more Digital Asset exchanges, including those operated by us. Valuation of Fiat Balances will be based on the prevailing market price on one or more third-party indices, as determined by us. We have discretion to select Digital Asset exchanges for calculating this market value that we, in our reasonable judgment, believe offer a reasonable valuation of a Digital Asset.

You represent and warrant that the Collateral Assets are free and clear of all liens and encumbrances other than those arising hereunder, and that you have the right to grant a first priority security interest hereunder. Any and all Collateral Assets shall be security for your obligations in respect of any Margin Extensions and for any other obligations you have to us arising hereunder. Accordingly, you hereby pledge, assign and grant to us a continuing first priority security interest in, and a lien upon, the Collateral Assets, which shall attach upon the provision of Margin Extension and which shall immediately and automatically be terminated upon the return and repayment in full of the Margin Extension and all related fees and expenses due hereunder. In addition to the rights and remedies granted to us hereunder, we shall have all the rights and remedies of a secured party under the Uniform Commercial Code and any other applicable law. You shall take all action that may be necessary and that we may reasonably request so as at all times to maintain the validity, perfection, enforceability and priority of our security interest in and lien on the Collateral Assets or to enable us

to protect, exercise or enforce its rights hereunder and in the Collateral Assets, including, but not limited to, (i) promptly discharging all liens on the Collateral Assets other than our security interest or any other liens permitted herein and (ii) executing and delivering financing statements, control agreements, instruments of pledge, notices and assignments, in each case, in form and substance reasonably satisfactory to us, relating to the creation, validity, perfection, maintenance or continuation of our security interest in and lien on the Collateral Assets under the UCC or other applicable law. You hereby authorize us to file against you one or more financing, continuation or amendment statements pursuant to the UCC or other applicable law in form and substance reasonably satisfactory to us, provided that the description of the collateral in any such statement is limited to only the Collateral Assets.

You hereby authorize and instruct us, in the event the value of your Collateral Assets falls below the Maintenance Margin Requirement, to, without further notice to you: (a) sell your Received Assets and apply the proceeds to the termination of your Margin Extension(s); and (b) liquidate such other Digital Assets or Fiat Balances in your account, either directly or by instruction to the affiliated custodian, in the manner and amount practicable, in our reasonable discretion, to terminate the Margin Extension either in full, or in an amount sufficient, in our reasonable discretion, to restore the value of your Collateral Assets to an amount equal to or exceeding the Maintenance Margin Requirement.

6. No Margin Obligation Period

There are no term limits on margin obligations, meaning that you may elect to maintain open spot positions on margin for an unlimited duration, as long as you continue to meet your Margin Extension obligations as detailed in Section 5 of this Annex A.

7. Payment of fees; Default.

Fees charged on and in connection with any Margin Extension will be at the applicable rates and methods of computation specified in the [Fee Schedule](#) (the “**Margin Fees**”). If the Margin Fees on any Margin Extension made under these Terms exceeds the maximum rates we may charge under applicable law, the parties hereto agree that the Margin Fees will be reduced automatically to the maximum rates we may charge under applicable law. Margin Fees will be deemed included in “fees” as used in the Terms, and Section 6 of the main body of the Terms (Fees) will apply in addition to all other requirements set forth herein.

Upon your failure to satisfy the Maintenance Margin Requirement, to make any payment of fees when due, including Margin Fees, or to terminate a Margin Extension when required, or upon otherwise materially breaching this Annex A (Margin Trading), your Margin Extensions will be immediately due and must be terminated (and any accrued and unpaid fees thereon and any fees and costs of collection must be paid) and, to the extent permitted by applicable law and in addition to any other remedies available to it, we, in our sole discretion, may apply the proceeds from the sale of any Digital Assets in your Margin Enabled Account, whether such Digital Assets are considered Collateral Assets as defined in the Terms or not, first to the payment of any outstanding fees, commissions, charges or other expenses then due to Kraken, and then to the termination of your Margin Extensions. If the value of your Collateral Assets ever become less than the value of your Margin Extension (i.e., ‘negative equity’), as determined by us, you agree to pay the amount of funds owed to Kraken within 48 hours. You may not trade or withdraw on a negative equity account.

8. Discontinuance of Margin Extension services.

We may cease making available Margin Extensions for any or all Digital Assets or Fiat Balances for any or all users (including you), or otherwise terminate Margin Extensions for any or all users (including

you). You hereby authorize and instruct us, without notice to you, as of the date that we elect, to: (a) liquidate your Received Assets, in the manner practicable, in our reasonable discretion, and apply the proceeds to the termination of your Margin Extension; and (b) liquidate such other Digital Assets or Fiat Balances in your account, in the manner and amount practicable, in our reasonable discretion, to terminate the Margin Extension in full.

9. US Tax Treatment of Margin

For US tax purposes, in the case of a Margin Transaction, it is intended that, absent a change in law or administrative practice to the contrary, the transfer and delivery of the Digital Assets or Fiat Balances shall be treated as a loan and not be treated as an exchange of property for other property differing materially in kind or extent (within the meaning of Section 1001 of the Internal Revenue Code of 1986, as amended, as well as the corresponding Treasury Regulations).

Annex B

On-Chain Staking Services

This Annex B (this “**On-Chain Staking Annex**”) incorporates by reference and supplements the Kraken.com Terms of Service (excluding all Annexes thereto, “**Terms**”) as if the entirety of the Terms were set forth in this On-Chain Staking Annex. Capitalized terms used but not defined in this On-Chain Staking Annex have the meanings given to them elsewhere in the Terms. In the event of a conflict between the Terms and this On-Chain Staking Annex, the terms of this On-Chain Staking Annex will control solely to the extent of the conflict and solely with respect to the subject matter of this On-Chain Staking Annex. The On-Chain Staking Services are enabled by Payward Interactive, Inc., a Florida corporation (“**Payward Interactive**”) if you live in the United States and Payward Commercial Ltd, a British Virgin Islands company (“**Payward Commercial**”) if you live outside the United States. Payward Interactive and Payward Commercial are collectively referred to in this On-Chain Staking Annex as “we”, “us”, “our”, “Kraken” or “Payward”, and are our affiliates and are deemed included in the terms “we”, “us”, “our”, “Kraken” or “Payward” throughout the Terms.

Kraken may provide you the option to contribute and earn rewards by participating in our “On-Chain Staking Services” (defined below). For clients who have onboarded with Payward Trading, Ltd., Bit Trade Pty Ltd., or Payward Interactive, Inc. when creating an account, Kraken will automatically enroll eligible assets into the On-Chain Staking Services unless the client chooses to opt out of this automatic enrollment within the settings of their account. The On-Chain Staking Services are a separate and distinct IT-service, which means a general commercial activity that is provided to you by means of a technical IT infrastructure, subject to the terms and conditions of the Terms, including this On-Chain Staking Annex and your fulfillment of all applicable eligibility criteria. Kraken may perform any or all of the On-Chain Staking Services directly or through one or more service provider(s). Please refer to the resources provided on our Platforms for more information regarding On-Chain Staking Services.

On-Chain Staking Services

Whether you are automatically enrolled into the On-Chain Staking Services or you elect to stake, including restake, (collectively, “**Stake**”) a Digital Asset that is eligible for Staking (each, a “**Supported Token**”), you consent to such Supported Token being Staked in part or in entirety by Kraken (the “**On-Chain Staking Services**”). For clarity, the On-Chain Staking Services are included within “services” under these Terms. You retain ownership of each Supported Token that is Staked, and each Staked

Supported Token remains your property while Staked. The Section of the Terms titled “Custody and Title of Digital Assets”, which applies to Digital Assets, also applies to Staked Supported Tokens.

Opting into On-Chain Staking Services & On-Chain Staking Reward Terms

If you select to Stake Supported Tokens from your account, Kraken will remit to you the applicable percentage of staking rewards attributable to your Staked Supported Tokens (“Staking Rewards”), provided that the applicable percentage and timing of such remittances will: (i) be subject to Kraken’s staking fee; (ii) vary by the Supported Token protocol; and (iii) be further detailed in your account.

You **understand and agree that we don't guarantee that you will receive Staking Rewards and that the applicable percentage (i) is an estimate only and not guaranteed, (ii) may change at any time, and (iii) will be less than the actual Staking Rewards Kraken receives from the Supported Token protocol.** For all Supported Tokens, you understand and agree that Kraken, in its sole discretion, may limit the amount of assets that you are able to Stake. For Supported Tokens eligible for Auto Earn, individual limits on Staking will be updated from time to time and will be viewable [here](#). Additionally, for standard Flexible Staking (which is not available in all countries), we Stake only a portion of the Supported Tokens you select to Stake on-chain; the remainder is held to ensure our ability to offer adequate liquidity in the relevant Supported Tokens. In the event that insufficient liquidity is available in a particular Supported Token, we reserve the right, in our sole discretion, to delay the release of any of your remaining unstaked Supported Tokens under the Flexible Staking program until after the relevant unbonding period has elapsed based on the blockchain protocol. When you elect to participate in Bonded Staking, you are instructing Kraken to commit the Supported Token to the relevant blockchain’s unbonding period and you won't be able to access your Staked Supported Tokens during the specified period after you elect to unstake.

No Guarantee of On-Chain Staking Services

We cannot guarantee uninterrupted or error-free operation of the On-Chain Staking Services or that we'll correct all defects or prevent disruptions or unauthorized access. We may suspend or discontinue the On-chain Staking Services in our sole discretion at any time. In the event of any disruptions, suspension, or discontinuance of the On-Chain Staking Services, any Staked Supported Tokens may stop generating the Staking Rewards and you may not receive any (and you may forfeit all) Staking Rewards whatsoever. The decision as to whether and to what extent On-Chain-Staking Services are provided is at our sole discretion. You hereby acknowledge and agree that we disclaim and have no responsibility for any loss, liability, or damage you may incur, directly or indirectly, in connection with the On-Chain Staking Services, including any loss, liability or damage arising directly or indirectly from: (a) your use of or inability to use the On-Chain Staking Services; (b) any interruptions, errors, or defects of the On-Chain Staking Services; (c) any third-party disruptions of or unauthorized access to the On-Chain Staking Services; or (d) any suspension or discontinuance of the On-Chain Staking Services.

Network Events

If there's a fork or an airdrop, we may take any steps we consider appropriate to protect your Staked Supported Assets and the Platforms. This could include suspending or terminating our On-Chain Staking or Flexible Staking services, or amending any terms that apply to these services or your Staked Supported Tokens. Any action we take will be consistent with our legal and regulatory obligations. If an airdrop relates directly to your Staked Supported Tokens, we are not obligated to transfer or make available those new assets to you.

Risks of Staking

In choosing to Stake, you accept the following risks:

Liquidity risk: You may not be able to sell or withdraw your Staked Supported Tokens immediately due to the mechanics of bonded and flexible staking discussed above. The market price of Staked Supported Tokens may significantly increase or decrease by the time the unbonding period expires and your assets are unstaked.

Smart contract risk: A bug within the proof-of-stake network could cause loss of Staked Supported Tokens.

Slashing risk: If the Supported Token protocol determines that the On-Chain Staking service has been erroneously operated, this may result in a “slashing penalty” in the form of loss of Staked Supported Tokens. Kraken will compensate you for any such penalties, unless such penalty is the result of (i) your act or omission, (ii) Supported Token maintenance, a bug, or an error, (iii) acts by a malicious actor or hacker, (iv) breaches of these Terms, whether by you or any other person or entity, or (v) Force Majeure Events.

Annex C

Opt-In Rewards Program

This Annex C (this “**Opt-In Rewards Annex**”) incorporates by reference and supplements the Kraken.com Terms of Service (excluding all Annexes thereto, “**Terms**”) as if the entirety of the Terms were set forth in this Opt-In Rewards Annex. Capitalized terms used but not defined in this Opt-In Rewards Annex have the meanings given to them elsewhere in the Terms. In the event of a conflict between the Terms and this Opt-In Rewards Annex, the terms of this Opt-In Rewards Annex will control solely to the extent of the conflict and solely with respect to the subject matter of this Opt-In Rewards Annex. The Opt-In Rewards Program is enabled by Payward Trading Ltd, a British Virgin Islands company (“**Payward Trading**”). Payward Trading is our affiliate and is deemed included in the terms “we”, “us”, “our”, “Kraken” or “Payward” throughout the Terms.

Payward Trading may provide you the option to contribute and earn rewards on eligible, available and idle account balances you otherwise maintain in your account (the “**Opt-In Rewards Program**”) subject to the terms and conditions of these Terms, including this Opt-In Rewards Annex, and your fulfillment of all applicable eligibility criteria.

NO KRAKEN ENTITY IS A BANK OR OTHER DEPOSITORY INSTITUTION. YOUR ACCOUNT ISN'T A DEPOSIT ACCOUNT OR A BANK ACCOUNT. THE OPT-IN REWARDS PROGRAM ISN'T A DEPOSITORY OR BANK PROGRAM. NEITHER YOUR ACCOUNT NOR OPT-IN ASSETS (AS DEFINED HEREIN) ARE COVERED BY INSURANCE AGAINST LOSSES OR SUBJECT TO FEDERAL DEPOSIT INSURANCE CORPORATION (“**FDIC**”) OR SECURITIES INVESTOR PROTECTION CORPORATION (“**SIPC**”) PROTECTIONS OR THE PROTECTIONS OF ANY COMPARABLE ORGANIZATION ANYWHERE IN THE WORLD.

1. The Opt-In Rewards Program

(a) The Opt-In Rewards Program is a separate and distinct IT-service, which means a general commercial activity that is provided to you by means of a technical IT infrastructure. The Opt-In Rewards Program allows you to contribute Eligible Assets (as defined herein) from your account to us and to earn Rewards (as defined herein).

(b) Eligible Assets. A list of Digital Assets that are currently eligible for the Opt-In Rewards Program is available at <https://support.kraken.com/hc/en-us/articles/360044886311-Overview-of-Opt-In->

[Rewards-on-Kraken](#) (each an “**Eligible Asset**” and collectively, “**Eligible Assets**”). We may decide to add or remove assets from the list of Eligible Assets at any time in our sole discretion.

(c) You may not use the Opt-In Rewards Program if you are located in or a national or resident of any jurisdiction in which we are not authorized to provide the Opt-In Rewards Program or any jurisdiction where your use of the Opt-In Rewards Program would be illegal or otherwise violate any applicable law or regulation of that jurisdiction (each of the above locations, a “**Restricted Jurisdiction**”).

WE MAKE NO REPRESENTATION OR WARRANTY THAT THE OPT-IN REWARDS PROGRAM IS APPROPRIATE FOR USE IN ALL LOCATIONS, OR THAT THE TRANSACTIONS AND SERVICES DESCRIBED HEREIN ARE AVAILABLE OR APPROPRIATE FOR ENTRY INTO OR USE IN ALL JURISDICTIONS OR BY ALL PARTIES. YOU SHOULD INFORM YOURSELF AS TO THE LEGAL REQUIREMENTS AND TAX CONSEQUENCES OF USING THE OPT-IN REWARDS PROGRAM WITHIN ALL JURISDICTIONS APPLICABLE TO YOU. WE ARE NOT RESPONSIBLE FOR TAX CONSEQUENCES TO YOU OF PARTICIPATING IN THE OPT-IN REWARDS PROGRAM.

2. Contributions

(a) You may contribute Eligible Assets from your account to the Opt-In Rewards Program by selecting the amount and type of Eligible Assets you wish to contribute from your account.

(b) You agree to only contribute Eligible Assets to the Opt-In Rewards Program that comprise available and idle account balances that you initially deposited and reflected in your account for the purpose of trading Fiat Currency and Digital Assets on our services.

(c) Eligible Assets you contribute from your account to the Opt-In Rewards Program (“**Opt-In Assets**”) will be in one of two states:

(i) “**Unutilized Opt-In Assets**”, meaning that they remain your property, and are held on a custodial basis and segregated from Kraken’s own assets pursuant to Section 2 of the Kraken.com Terms of Service; or

(ii) “**Utilized Opt-In Assets**”, meaning that they have been borrowed from you by us, with title to and control of such assets passing to us on a non-custodial basis. Section 2 of the Kraken.com Terms of Service does not apply to Utilized Opt-In Assets. Utilized Opt-In Assets will be marked as such in your Account.

(d) By participating in the Opt-In Rewards Program, you provide a standing instruction to lend Opt-In Assets to us and authorisation to us to borrow those contributed Opt-In Assets from you, if and when we call them, and further acknowledge that upon exercising our ability to borrow such Opt-In Assets, title in those Opt-In Assets transfers to us, and those assets shall become Utilized Opt-In Assets. Note that when your Opt-In Assets become Utilized Opt-In Assets, they are not available to you for trading and they may not be withdrawn to an external (non-Kraken) account or wallet until you initiate a request to Opt-Out in accordance with Section 4 of this Opt-In Rewards Annex. When Opt-In Assets become Utilized Opt-In Assets, they constitute a borrowing by us and we become contractually obligated to return to you an equivalent quantity of the relevant assets upon your Opt-Out request in accordance with Section 4 of this Opt-In Rewards Annex. Your Account will show whether your Opt-In Assets are Unutilized Opt-In Assets or Utilized Opt-In Assets as the case may be.

(e) We reserve the right to: (i) determine whether Opt-In Assets are treated as Unutilized Opt-In Assets or Utilized Opt-In Assets; (ii) reject or remove any contribution from the Opt-In Rewards Program; (iii) establish minimum or maximum contribution amounts; or (iv) terminate the Opt-In Rewards Program, each at any time and in our sole discretion. In the event we elect to return Opt-In

Assets to you pursuant to this Section 2(e), you agree to promptly Opt-Out (as defined herein) the assets and to undertake any other actions we reasonably request in order to facilitate that return. You may not transfer Opt-In Assets or any interest in Opt-In Assets prior to Opt-Out of those assets.

3. Rewards

(a) You may earn rewards on Opt-In Assets ("**Rewards**"). Rewards are not guaranteed, and may vary over time. Rewards may be reduced, suspended, or set to zero only in circumstances of significant market stress, exceptional market events, operational disruptions affecting the program, or other events that materially impair the operation of the Opt-In Rewards Program.

(b) Rewards, if any, will be paid to you by Payward Trading, and will be subject to tax withholding and reporting as required by applicable law.

(c) Reward rates will be determined in our sole discretion based on the type of Opt-In Asset, market conditions and risk factors. Such rates have no relationship to and may not be competitive with benchmark interest rates observed in the market for bank deposit accounts.

(d) We may make available anticipated Reward rates and payment schedules from time to time on or through the services ("**Anticipated Rates**"). Anticipated Rates are forward-looking statements that reflect current expectations regarding future events, involve significant risks and uncertainties, should not be read as guarantees of future performance or results and won't necessarily be accurate indications of whether or not such performance or results will be achieved. Forward-looking statements are in no way a form of advice, solicitation or offering of or for the Opt-In Rewards Program and should not be interpreted as such.

(e) All Rewards will be paid to your account in the same asset as the applicable Opt-In Asset.

(f) Rewards will be calculated and paid with the decimal precision described at <https://support.kraken.com/hc/en-us/articles/360044886311-Overview-of-Opt-In-Rewards-on-Kraken>, as may be updated by us from time to time in our sole discretion.

4. Opt-Out

(a) You may request a complete or partial return of your Opt-In Assets ("**Opt-Out**") at any time. You will need to confirm the number and type of contributed Eligible Assets that you wish to Opt-Out. When you Opt-Out, you are making an on demand request to remove the assets from the Opt-In Rewards Program. Where you make such a request with respect to:

(i) Unutilized Opt-In Assets, then assets will be removed from the Opt-In Rewards Program;

(ii) Utilized Opt-In Assets, then we will return to your account assets of the same number and type as the contributed Eligible Assets.

(b) Upon receipt of your request, we'll initiate the Opt-Out process in accordance with Section 4(a) of the Opt-In Rewards Annex. The relevant assets at the time of your request will be treated as follows:

(i) Unutilized Opt-In Assets will be processed immediately, and such assets will be immediately available for trading in the case of Unutilized Opt-In Assets; and

(ii) Utilized Opt-In Assets will be processed and returned to your Account (with title to them returning to you) as soon as possible but may be subject to a delay of up to forty-five calendar days after you submit your request, except where you have contributed Eligible Assets to the

Opt-In Rewards Program on a bonded or other basis, in which case the return will be subject to the un-bonding period selected by you at the time of contribution.

(c) You must Opt-Out your Opt-In Assets before you will be able to send those Funds to a Financial Account.

5. Our use of Opt-In Assets

Notwithstanding the foregoing, Kraken may use Utilized Opt-In Assets for lawful business purposes, including for lending, liquidity provisioning, risk management, treasury management, and related balance sheet management purposes.

Kraken maintains robust risk management and asset segregation practices to safeguard the platform and ensure that all obligations to Opt-In Rewards Program participants are met. In the event of insolvency of the relevant Kraken entity operating the Opt-In Rewards Program, participants will have a contractual claim in respect of the return of Utilized Opt-In Assets in accordance with these Terms.

6. Risks

The Opt-In Rewards Program is risky. Before participating in the Opt-In Rewards Program, it's important to understand its specific and unique risks. You should carefully review this Opt-In Rewards Annex. The Opt-In Rewards Program isn't for everyone. You should examine your objectives, financial resources and risk tolerance to determine whether contributing Funds to the Opt-In Rewards Program is appropriate for you. Some, but not all, of the risks and uncertainties associated with the Opt-In Rewards Program are:

- Payward Trading isn't a bank or other depository institution. Your account isn't a deposit account or a bank account. The Opt-In Rewards Program isn't a depository or bank program. Opt-In Assets are not covered by insurance against losses or subject to FDIC or SIPC protections or the protections of any comparable organization anywhere in the world.
- We don't offer securities services, are not registered under the securities laws of any jurisdiction and the provision of the Opt-In Rewards Program has not been and won't be registered under the securities laws of any jurisdiction or otherwise approved by securities regulators in any jurisdiction.
- Legislative and regulatory changes or actions in your country or state of residence may adversely affect: (i) the use, transfer, and value of Opt-In Assets; (ii) the operations and profitability of the Opt-In Rewards Program; (iii) the tax treatment of the Opt-In Rewards Program; and (iv) your ability to Opt-Out Opt-In Assets in a timely manner or at all.
- Rewards for Opt-In Assets are not guaranteed, and we reserve the right to adjust Reward rates in our sole discretion.

You understand, acknowledge, and agree that:

- prior to using the Opt-In Rewards Program, you will have read this Opt-In Rewards Annex in full;
- You are solely responsible for, and you assume in full, all risks regarding the Opt-In Rewards Program, including all risks disclosed in this Section, as well as additional risks;
- by using the Opt-In Rewards Program, you have determined that such use is appropriate for you.

We cannot guarantee uninterrupted or error-free operation of the Opt-In Rewards Program or that we'll correct all defects or prevent disruptions or unauthorized access. We may suspend or discontinue the Opt-In Rewards Program in our sole discretion at any time. In the event of any disruptions, suspension, or discontinuance of the Opt-In Rewards Program, any Opt-In Assets may stop generating Rewards and you may not receive any (and you may forfeit all) Rewards whatsoever. You hereby acknowledge and agree that we disclaim and have no responsibility for any loss, liability, or damage you may incur, directly or indirectly, in connection with the Opt-In Rewards Program, including any loss, liability or damage arising directly or indirectly from: (a) your use of or inability to use the Opt-In Rewards Program; (b) any interruptions, errors, or defects of the Opt-In Rewards Program; (c) any third-party disruptions of or unauthorized access to the Opt-In Rewards Program; or (d) any suspension or discontinuance of the Opt-In Rewards Program.

7. Fees

We reserve the right to charge you fees in connection with your participation in the Opt-In Rewards Program.

8. Representations and Warranties

You represent and warrant that, as of the Effective Date and as of any date thereafter that you contribute Funds to the Opt-In Rewards Program:

- (a) You have full power and authority to agree to this Opt-In Rewards Annex and, in doing so, won't violate any other agreement to which you are a party;
- (b) The provisions of this Opt-In Rewards Annex constitute legal, valid and binding obligations enforceable against you in accordance with its terms;
- (c) You are eligible to participate in the Opt-In Rewards Program;
- (d) You don't reside in and are not a citizen of a Restricted Jurisdiction;
- (e) You were not, in any manner or form, solicited to participate in the Opt-In Rewards Program prior to (i) your creation of an account or (ii) your election to participate in the Opt-In Rewards Program;
- (f) All assets you will contribute to the Opt-In Rewards Program are Eligible Assets;
- (g) You: (i) have read and understand this Opt-In Rewards Annex in its entirety; (ii) acknowledge and accept the risks associated with participating in the Opt-In Rewards Program, including those risks described in Section 6; and (iii) were given the opportunity to ask questions of and receive answers from us concerning the terms and conditions of the Opt-In Rewards Program prior to participating or agreeing to participate; and
- (h) All representations and warranties you made upon your acceptance of the Terms were and remain true and complete.

9. No advice; Independent relationship

Without limiting anything in the Terms, we make no representation or warranty, express or implied, to the full extent not prohibited by applicable law, regarding the advisability of your participation in the Opt-In Rewards Program. Neither Kraken, nor any of its respective officers, directors, employees or affiliates is providing advice, including legal, financial, investment or tax advice, in connection with the Opt-In Rewards Program or your determination to participate in it.

Annex D

Stablecoin Rewards Program

This Annex D (this “**Stablecoin Rewards Program Annex**”) incorporates by reference and supplements the Kraken.com Terms of Service (excluding all Annexes thereto, “**Terms**”) as if the entirety of the Terms were set forth in this Stablecoin Rewards Program Annex. Capitalized terms used but not defined in this Stablecoin Rewards Program Annex have the meanings given to them elsewhere in the Terms. In the event of a conflict between the Terms and this Stablecoin Rewards Program Annex, the terms of this Stablecoin Rewards Program Annex will control solely to the extent of the conflict and solely with respect to the subject matter of this Stablecoin Rewards Program Annex. The Stablecoin Rewards Program is enabled by Payward Trading Ltd, a British Virgin Islands company (“Payward Trading”). Payward Trading is our affiliate and is deemed included in the terms “we”, “us”, “our”, “Kraken” or “Payward” throughout the Terms.

Payward Trading provides you rewards on your stablecoin account balances (the “Stablecoin Rewards Program”) subject to the terms and conditions of these Terms, including this Stablecoin Rewards Annex, and your fulfillment of all applicable eligibility criteria.

STABLECOINS ARE NOT LEGAL TENDER. KRAKEN IS NOT A DEPOSITORY INSTITUTION, AND YOUR STABLECOIN BALANCE IS NOT A DEPOSIT ACCOUNT. KRAKEN HAS NO RIGHT TO USE ANY STABLECOINS IN YOUR ACCOUNT UNLESS SPECIFICALLY INSTRUCTED BY YOU.

1. Eligibility

If you are [eligible](#), you will automatically earn in-kind amounts of the stablecoin balance (“Stablecoin Rewards”) in your Kraken account. Such accrued Stablecoin Rewards will be distributed as described below. If at any time you are deemed [ineligible](#), your enrollment in the Stablecoin Rewards Program will be paused and you will cease to earn any Stablecoin Rewards. You can opt-out of, or back into, Stablecoin Rewards at any time by following the instructions [here](#). If you close your Kraken account, you will forfeit the rewards you have accrued (that are not yet distributed for the current calendar week) up to that time.

2. Rewards

Stablecoin Rewards will be determined in our sole discretion, are not guaranteed, and the rates and timing of Stablecoin Rewards may vary. Such rates have no relationship to and may not be competitive with benchmark interest rates observed in the market for bank deposit accounts.

We may impose limits on the specific stablecoins and/or maximum amount of any or all stablecoins eligible for rewards. The current limit may be found [here](#).

Stablecoin Rewards, if any, will be paid to you by Payward Trading Ltd., and will be subject to tax withholding and reporting as required by applicable law.

Stablecoin Rewards are earned in-kind at the then current Stablecoin Rewards Rate. “Stablecoin Rewards Rate” means the annual rate of rewards earned on each particular stablecoin, which does not reflect compounding. Our current Stablecoin Rewards Rates can be found [here](#).

Any Stablecoin Rewards earned will be credited to your Kraken account balance on the payout day on a weekly basis. Stablecoin Rewards below five decimal places will only display on exported ledger history described at <https://support.kraken.com/articles/stablecoin-rewards>, as may be updated by us from time to time in our sole discretion.

3. Changes

We reserve the right to add, change, or delete any provision of these terms and to terminate the Stablecoin Rewards Program, or your participation in the program, at any time upon notice made in the same manner.

Annex E

kBTC

This Annex E (this “**kBTC Annex**”) incorporates by reference and supplements the Kraken.com Terms of Service (excluding all Annexes thereto, “**Terms**”) as if the entirety of the Terms were set forth in this kBTC Annex. Capitalized terms used but not defined in this kBTC Annex have the meanings given to them elsewhere in the Terms. In the event of a conflict between the Terms and this kBTC Annex, the terms of this kBTC Annex will control solely to the extent of the conflict and solely with respect to the subject matter of this kBTC Annex.

Kraken Wrapped Bitcoin (“**kBTC**”) is an ERC-20 token minted exclusively by our affiliate Payward Commercial Ltd, a British Virgin Islands company (“**Payward Commercial**”), for use on Ethereum-based networks. As part of the services, you may have the opportunity to exchange BTC for kBTC and vice versa using our services and Platforms (the “**kBTC Services**”). The kBTC Services are subject to certain eligibility requirements and the Terms, including this kBTC Annex.

WE MAKE NO REPRESENTATION OR WARRANTY THAT THE KBTC SERVICES ARE APPROPRIATE FOR USE IN ALL LOCATIONS, OR THAT THE SERVICES DESCRIBED HEREIN ARE AVAILABLE OR APPROPRIATE FOR USE IN ALL JURISDICTIONS OR BY ALL PARTIES. YOU SHOULD INFORM YOURSELF AS TO THE LEGAL REQUIREMENTS AND TAX CONSEQUENCES OF USING THE KBTC SERVICES WITHIN ALL JURISDICTIONS APPLICABLE TO YOU. WE ARE NOT RESPONSIBLE FOR TAX CONSEQUENCES TO YOU OF PARTICIPATING IN THE KBTC SERVICES.

1. Eligibility

kBTC Services will only be offered to eligible Kraken users in select jurisdictions at Kraken’s sole discretion and are subject to change or to be paused or discontinued at any time, without prior notice. You must have an account with us in order to use the kBTC Services or engage in a kBTC Exchange (as defined below); if you are not eligible to open an account with us or otherwise don’t have an account with us, you will not be entitled to use the kBTC Services or engage in kBTC Exchanges.

If the ability to utilize the kBTC Services is available in your jurisdiction and you meet all other eligibility requirements, your account will include an option to engage in kBTC Exchanges in the Deposits/Withdrawals section of your account.

2. kBTC and Associated Risks

kBTC is an ERC-20 token minted exclusively by Payward Commercial for use on Ethereum-based networks. kBTC is fully backed by an equivalent amount of BTC held by Payward Commercial in a segregated vault at our affiliate, Payward Financial, Inc. (“**Payward Financial**”) for the sole purpose of fulfilling kBTC holders’ exchange requests on the Platform. By transacting in kBTC, you understand, acknowledge and agree that:

- kBTC may be compatible with protocols or other software or technology provided by third parties, but we make no guarantee as to such compatibility and we are not responsible for any

losses of kBTC or other issues you may experience through use of such third-party protocols, software or technology;

- Trading in kBTC will not be available on our Platforms, and there may not be a market for kBTC;
- We are not responsible for any decrease in value of your kBTC. Although at the time of withdrawal one kBTC will always equal one BTC, we do not guarantee that the value of one kBTC will always equal the value of one BTC on third-party platforms;
- Legislative and regulatory changes and requirements may adversely affect the value of, and ability to transact in, kBTC, including the ability to withdraw and deposit kBTC;
- When you transact in kBTC Exchanges, you are contracting with the entity that provides you with Deposit and Withdrawal services pursuant to the Terms;
- kBTC is intended for use on various decentralized and open source blockchains and protocols over which we have no control. In the event that any such blockchain or protocol experiences a “fork”, we reserve the right to suspend the kBTC Services temporarily or indefinitely, on little or no notice, while we determine, in our sole discretion, which fork we will support, if any. We will have no liability or responsibility for any loss, liability, or damage you may incur as result of our determination to support or not support any particular blockchain or protocol or fork thereof;
- We will have the ability, in our sole discretion, to add or remove specific addresses to an internal blacklist in the kBTC smart contract. We may add addresses to the blacklist in response to law enforcement demands and sanctions requirements, and as we may otherwise deem appropriate in our discretion, including in response to exploits and suspected fraudulent activity. Addresses on this blacklist will be blocked from receiving or transferring kBTC;
- We may, in our sole discretion, refuse to process a deposit and exchange of kBTC if we suspect that the subject kBTC was acquired through fraudulent means.

3. **kBTC Deposits and Withdrawals**

We may provide you the ability to deposit and withdraw kBTC at a 1:1 exchange rate with BTC, less any applicable fees (such deposits and withdrawals of kBTC, “**kBTC Exchanges**”). kBTC Exchanges will be conducted as described [here](#), and in accordance with and subject to the Terms, including Section 2 (Deposit of Crypto and Issuance of Fiat Balance) and Section 3 (Withdrawal of Crypto and Redemption of Fiat Balance).

4. **Fees; Minimums**

kBTC Exchanges are subject to deposit and withdrawal fees and minimums. Details regarding current fees can be found at our [Fee Schedule](#) under the Deposit & Withdrawal tab.

5. **Liability**

You are solely responsible for your use of the kBTC Services, and we make no representations, warranties, or guarantees that the kBTC Services will function or perform in accordance with your expectations. You hereby acknowledge and agree that we disclaim and have no responsibility for any loss, liability, or damage you may incur, directly or indirectly, in connection with the kBTC Services. You further agree that we shall not be liable for any delays in effectuating a kBTC Exchange, regardless of the reason for that delay, or if we are unable to complete a kBTC Exchange for any reason, including but not limited to, because of: (i) any direct or indirect actions taken by you, including providing inaccurate, or insufficient instructions, that result in a mistaken or accidental transfer; (ii) insufficient Digital Assets in your account to complete the kBTC Exchange; (iii) any malfunction of the kBTC Services due to circumstances beyond our control; or (iv) any suspension or discontinuance of the kBTC Services.

6. **Compliance with Laws, Sanctions**

In connection with your holding kBTC or use of the kBTC Services, you hereby agree and represent and warrant that you will not (i) use kBTC or the kBTC Services in violation of any applicable laws or regulations; or (ii) use kBTC or the kBTC Services in any transaction involving the proceeds of crime or terrorist financing or otherwise in violation of any applicable anti-money laundering or sanctions laws or regulations. We reserve the right to monitor for the foregoing and to reject, deter, suspend, freeze and report, or otherwise prevent transactions we believe to be in violation thereof or to involve one or more transactions with any person that is the subject or target of any sanctions. We are not responsible for determining which laws or regulations may apply to your transactions involving kBTC, and we have no responsibility for any loss, liability, or damage you may incur as result of any violation of such laws or regulations by you or any third party.

Annex F

Kraken Pay

This Annex F (this “Kraken Pay Annex”) incorporates by reference and supplements the Kraken.com Terms of Service (excluding all Annexes thereto, “**Terms**”) as if the entirety of the Terms were set forth in this Kraken Pay Annex. Capitalized terms used but not defined in this Kraken Pay Annex have the meanings given to them elsewhere in the Terms. In the event of a conflict between the Terms and this Kraken Pay Annex, the terms of this Kraken Pay Annex will control solely to the extent of the conflict and solely with respect to the subject matter of this Kraken Pay Annex.

We may provide you the option to send or receive certain Digital Assets and/or Fiat Currency to or from other eligible Kraken users on the Platform (the “**Kraken Pay Service**”) for personal use, subject to these Terms and your fulfillment of all applicable eligibility criteria.

WE MAKE NO REPRESENTATION OR WARRANTY THAT THE KRAKEN PAY SERVICE IS APPROPRIATE FOR USE IN ALL LOCATIONS, OR THAT THE TRANSACTIONS AND SERVICES DESCRIBED HEREIN ARE AVAILABLE OR APPROPRIATE FOR ENTRY INTO OR USE IN ALL JURISDICTIONS OR BY ALL PARTIES. YOU SHOULD INFORM YOURSELF AS TO THE LEGAL REQUIREMENTS AND TAX CONSEQUENCES OF USING THE KRAKEN PAY SERVICE WITHIN ALL JURISDICTIONS APPLICABLE TO YOU. WE ARE NOT RESPONSIBLE FOR TAX CONSEQUENCES TO YOU OF PARTICIPATING IN THE KRAKEN PAY SERVICE.

1. Eligibility

You may only use the Kraken Pay Service if (i) you fulfill the eligibility criteria of the Terms and (ii) your use of the Kraken Pay Service is not prohibited by applicable laws or regulations of the jurisdiction of your residence. Kraken, its affiliated entities, and merchants that are enrolled in Kraken's Merchant Payment Program may use the Kraken Pay Service to receive payments for goods, services, rents or royalties. All other parties utilizing the Kraken Pay Service may only do so for personal use. We reserve the right to impose additional eligibility criteria on your use of the Kraken Pay Service.

The Kraken Pay Service will only be offered in select jurisdictions at Kraken's sole discretion and is subject to change or discontinuation at any time. Please note that in some jurisdictions, such as the United Kingdom, this Kraken Pay Service may be available for Digital Asset transfers only.

2. Sending Digital Assets and/or Fiat Currency Using the Kraken Pay Service

(a) Initiating a Kraken Payment

To initiate a transfer of Digital Assets or Fiat Currency through the Kraken Pay Service (a “Kraken Payment”), you (the “Sender”) may provide instructions to Kraken by designating (i) the type and

amount of Digital Asset or Fiat Currency in your account that you wish to transfer, and (ii) the intended recipient of the transfer (the “Kraken Pay Instructions”). By submitting the Kraken Pay Instructions and confirming the transaction, you authorize us to transfer the designated Digital Assets or Fiat Currency to the recipient you have selected.

(b) Identifying Digital Assets or Fiat Currency for Kraken Payment

To initiate a Kraken Payment, you must select the amount and type of Digital Asset or Fiat Currency you wish to transfer. You agree to have sufficient Digital Assets and/or Fiat Currency in your account prior to submitting your Kraken Pay Instructions. If the Digital Assets and/or Fiat Currency in your account are insufficient to cover the amount required for us to complete the Kraken Payment, you may select alternative Digital Assets and/or Fiat Currency in your account to Trade for the desired amount and type of Digital Asset or Fiat Currency you wish to transfer, which will be subject to applicable fees for the Instant Buy/Sell service.

You may only send Digital Assets and/or Fiat Currency to a Recipient if the Digital Asset and/or Fiat Currency is also available in the Recipient’s jurisdiction. We may decide to add or remove assets from the list of eligible Digital Assets or Fiat Currency available in any jurisdiction, including those available for Kraken Pay, at any time at our sole discretion. Additionally, your use of the Kraken Pay Service is subject to certain limits (for example, in the magnitude and/or frequency of Kraken Pay you may initiate within a specified period), which may change at any time.

(c) Identifying a Recipient

You may designate another Kraken user by entering the Kraktag or email (if enabled) associated with the recipient’s Kraken account or by selecting the “Paylinks” feature, described below. You may only initiate a Kraken Payment to a Kraken account user who is eligible to use the Kraken Pay Service.

If you select Paylinks as your recipient, a payment link (“Paylink”) will be generated, which you may share with the intended recipient through your own chosen communication method. Once a Paylink has been generated, the Digital Assets and/or Fiat Currency you have selected for transfer will no longer be available in your account. While a recipient of the Paylink does not need a Kraken account to receive the Paylink, the recipient must create a Kraken account, pass identity verification, and otherwise be eligible to use the Kraken Pay Service in order to claim the Digital Assets or Fiat Currency you have designated for transfer through the Paylink.

A Paylink may only be redeemed once and expires after 14 days. If after 14 days the designated Digital Assets or Fiat Currency have not been successfully claimed through the Paylink, the Digital Assets or Fiat Currency will be returned to your account.

You are responsible for ensuring that the Paylink is sent to the intended recipient. Kraken does not verify the identity of the intended recipient and shall bear no liability or responsibility in the event an individual other than the intended recipient claims the Digital Assets or Fiat Currency sent via the Paylinks feature.

(d) Kraken Payment Timing

You understand and agree that when you submit Kraken Pay Instructions and confirm the transaction, we will begin processing the transfer instruction immediately and the designated Digital Assets or Fiat Currency may leave your account as soon as you confirm the transaction. Title to any Digital Assets or Fiat Currency you send through the Kraken Pay Service will be transferred to the Recipient immediately following a successful transfer.

You should verify all transaction information prior to submitting Kraken Pay Instructions as the transfer may not be canceled or reversed once it is processed unless we decide at our sole discretion that the transaction should be canceled or reversed and we have the technical capability to effect such a cancellation or reversal. You acknowledge that you are responsible for ensuring the accuracy of any Kraken Pay Instructions submitted to us and that any errors may result in the irreversible loss of your Digital Assets and/or Fiat Currency.

(e) Pending Kraken Payments

Kraken Payments you initiate may have a “Pending” status displayed in your account (“Pending Kraken Payments”). These Pending Kraken Payments may remain in pending status for a certain period of time depending on various factors. The Pending Kraken Payments will either fail due to various reasons or eventually become a successful Kraken Payment.

(f) Failed Kraken Payments

Kraken Payments may fail for a number of reasons. In the case of a failed Kraken Payment, you will be notified, and you may be able to reinitiate a Kraken Payment by submitting new Kraken Pay Instructions as outlined above. In the case of a failed Kraken Payment, the Digital Assets and/or Fiat Currency designated for transfer will remain in your account, and the Digital Assets and/or Fiat Currency will not be transferred to the Recipient.

(g) Cancellation of Kraken Payments

All completed Kraken Payments are final and generally cannot be reversed. In some circumstances, you may have the opportunity to request cancellation of a Pending Kraken Payments, but we may refuse any cancellation request at our sole discretion. If we fulfill such a cancellation request, that does not mean we will cancel future Kraken Payments in the same or similar circumstances. Additionally, we may cancel or refuse to process any pending Kraken Payments as required by law or any court or other authority to which Kraken is subject in any jurisdiction.

3. Requesting Digital Assets and/or Fiat Currency Using the Kraken Pay Service

You may also request Digital Assets or Fiat Currency be transferred to you through the Kraken Pay Service by designating (1) the amount and type of Digital Asset or Fiat Currency you wish to receive and (2) the intended sender (a “Kraken Pay Request”). The recipient of your Kraken Pay Request must have a Kraken account, pass identity verification, and otherwise be eligible to use the Kraken Pay Service in order to accept and send the Digital Assets or Fiat Currency you have requested.

A recipient of a Kraken Pay Request may approve or deny a Kraken Pay Request at their sole discretion. If the recipient of your Kraken Pay Request accepts, your Kraken Pay Request will become their Kraken Pay Instructions and processed as described above in Section 2 of this Annex. Kraken Pay Requests will expire after 14 days if not accepted or denied by the recipient.

4. User Content

(a) User Content Generally

You, other Kraken Pay Service users, or third parties may have the option to upload, store, display, send, receive, or otherwise transmit content, materials, or information in connection with the Kraken Pay Service, including profile pictures or text (“**User Content**”).

You acknowledge and agree that you have reviewed and understand the [Kraken Pay Content Moderation Policy](#). We do not control User Content and do not choose, endorse, authorize, approve,

or guarantee the completeness, legitimacy, legality, accuracy, or reliability of any User Content. We don't actively monitor, evaluate, or control any User Content, and we are not responsible or liable to you or any person or entity for any User Content or any use thereof. Your use of the Kraken Pay Service and of any User Content is at your own risk and may be subject to additional terms and conditions that we are not a part of and we have no responsibility for. We reserve the right to remove, suspend, or restrict the use of Kraken Pay Service and any User Content at any time in our sole discretion. Further, Kraken reserves the right to report any User Content that it believes, in good faith, to be illegal, harmful, or otherwise in violation of applicable laws to the appropriate law enforcement authorities, regulatory agencies, or other relevant entities, and may cooperate with such authorities as required by law or as deemed necessary to protect the integrity of the Kraken Pay Service and its users.

(b) License to your User Content

You grant us (including our affiliates, and any of our respective licensees, successors, and assigns) a perpetual, irrevocable, worldwide, non-exclusive, royalty-free, sublicensable (through multiple tiers), transferable right and license to any of your User Content, as may be needed, to provide the Kraken Pay Service.

(c) Responsibility for Your User Content

You are solely responsible for your User Content. You represent and warrant that all of your User Content is legal, legally provided, reliable, accurate, appropriate, does not infringe any rights of others, and complies with these Terms. You agree to indemnify, defend, and hold harmless Kraken from and against any and all claims, liabilities, damages, losses, costs, and expenses (including reasonable attorneys' fees) arising out of or in connection with your User Content.

(d) Kraktag and Profile

You may have the opportunity to create a Kraktag and public facing profile through the Kraken Pay Services. Any content you post on through your profile will be deemed your User Content and considered non-confidential and non-proprietary. We reserve the right to reclaim Kraktags without liability to you in our sole discretion. We may, in our sole discretion, delete your profile for any reason, including if we deem your Kraktag or the content you post to be offensive or inappropriate, or to be otherwise violative of the Terms.

5. Access to Phone Contacts

If you enable this functionality, the Kraken Pay Service may request access to the contact list stored on your mobile device for the limited purpose of identifying which of your contacts are eligible Kraken Pay users and enabling easier sending or requesting of Digital Assets or Fiat Currency. This information may include the names, phone numbers, email addresses, and any other information stored in your contact cards.

You acknowledge and agree that:

- We will only access your phone contacts if you grant explicit permission within your device or app settings.
- You are responsible for ensuring you have the lawful right to share this contact information with us, including informing your contacts if required under applicable law.
- You will provide your contacts with a copy of the Kraken Privacy Notice.
- You may revoke this permission at any time through your device or application settings.

6. Fees

There are no fees for using the Kraken Pay Service. Please note, however, that when you initiate a transfer of Digital Assets, any Fiat Currency equivalent value displayed by our services is indicative only. The exchange rate between Fiat Currency and the Digital Asset indicated by our services may change between when you submit the Kraken Pay Instructions and when we execute those instructions. We are not liable for any fluctuations in the market value of the Digital Assets you designate for transfer.

7. Liability

You are solely responsible for your use of the Kraken Pay Service, and we make no representations, warranties, or guarantees that the Kraken Pay Services will function or perform in accordance with your expectations. You hereby acknowledge and agree that we disclaim and have no responsibility for any loss, liability, or damage you may incur, directly or indirectly, in connection with the Kraken Pay Services. You further agree that we shall not be liable for any delays in effectuating a Kraken Payment, or if we are unable to complete a Kraken Payment for any reason, including but not limited to, because of: (i) any direct or indirect actions taken by you, including providing inaccurate, or insufficient Kraken Pay Instructions, that result in a mistaken or accidental transfer; (ii) insufficient Digital Assets and/or Fiat Currency in your account to complete the transfer according to your Kraken Pay Instructions; (ii) any malfunction of the Kraken Pay Service due to circumstances beyond our control; or (iii) any suspension or discontinuance of the Kraken Pay Service.

8. Taxes

Sending or receiving Digital Assets may constitute a taxable transaction in certain situations. You alone are responsible for determining whether your use of the Kraken Pay Service is subject to tax and for reporting and remitting the correct taxes to the appropriate tax authorities. You agree that we have no responsibility or liability for determining whether a transaction is subject to tax and what taxes apply or for collecting, reporting, withholding, or remitting any taxes arising from Kraken Payments, unless otherwise required by law. Notwithstanding anything herein to the contrary, you acknowledge and accept that Kraken may have a legal obligation to make reports, and will make such reports as required, to the relevant tax authorities regarding Kraken Pay.

Payment Service Providers (“Channel Partners”) utilizing the Kraken Pay platform—for services including, but not limited to payroll, invoicing or contractor payment platforms, and merchant payment processors—are solely responsible for ensuring compliance with all applicable tax reporting and withholding obligations related to the payments they facilitate. Given their direct relationship with payment recipients and, in certain instances, their specific knowledge concerning the nature, purpose, or character of the payments, Channel Partners acknowledge and agree that they assume full responsibility for any required tax reporting and withholding.

Kraken shall have no responsibility or liability for tax reporting or withholding on transactions processed by Channel Partners, except where Kraken is expressly required to withhold or report under applicable law. In such cases, Kraken will perform the necessary withholding and reporting to the extent mandated.

By using the Kraken Pay platform, Channel Partners agree to indemnify and hold Kraken harmless from any claims, liabilities, penalties, or costs arising from their failure to comply with applicable tax reporting and withholding obligations.

If you have any questions about your tax obligations, please consult with a tax professional for

advice.

Annex G

Kraken+ Subscription Plan

This Annex G (this “**Kraken+ Annex**”) incorporates by reference and supplements the Kraken.com Terms of Service (excluding all Annexes thereto, “**Terms**”) as if the entirety of the Terms were set forth in this Kraken+ Annex. Capitalized terms used but not defined in this Kraken+ Annex have the meanings given to them elsewhere in the Terms. In the event of a conflict between the Terms and this Kraken+ Annex, the terms of this Kraken+ Annex will control solely to the extent of the conflict and solely with respect to the subject matter of this Kraken+ Annex. This Kraken+ Annex, in addition to the Terms, sets forth the terms and conditions governing your Kraken+ subscription. You acknowledge and agree that the Terms are and remain entirely binding on you and to your Kraken+ subscription.

1. Kraken+ Subscription

Eligible users may subscribe to Kraken+, which is an automatically renewing subscription requiring recurring payments. Kraken+ subscribers get the following benefits while an active subscriber:

a) Kraken Trading Fee Waiver

Kraken+ subscribers are eligible to receive a waiver of Instant Buy/Sell fees, provided that transactions are still subject to a spread that is included in the transaction price. All other Kraken fees (including Kraken Pro fees), funding provider fees, and credit card fees still apply. You can learn more about our fees at our [Fee Schedule](#). There may be a limit to the total amount of fees that will be waived. You can view any limit and the remaining amount of fees that will be waived under the “subscription management” tab of your account settings; and

b) Stablecoin Rewards

Where eligible, Kraken+ subscribers may earn Stablecoin Rewards as set forth [here](#).

2. Kraken+ Fees and Billing

The Kraken+ subscription fee will be billed in advance at the start of your subscription and on an on-going basis the day immediately following the end of your prior subscription billing period unless and until you cancel your subscription, your account is otherwise suspended or terminated pursuant to these Terms, or Kraken+ is suspended or terminated. The length of your billing period depends on the subscription plan you signed up for (e.g. monthly, annually where offered, or other), which you may view in the “subscription management” tab of account settings.

At this time, you may subscribe to Kraken+ on our website or in-app through the Apple App Store or Google Play Store. Price is inclusive of applicable taxes (i.e., VAT) where required. In other regions, the price shown does not include taxes, which will be added at the time of purchase where applicable. Depending on your billing zip code, relevant state or local taxes may be added to your subscription price. If you are located outside the United States, the amount you pay for Kraken+ may vary based on exchange rates or other considerations, and the price to be charged will be displayed before your purchase is finalized.

We reserve the right to change the terms of Kraken+ and your subscription, including the subscription fees, from time to time, effective as of the beginning of your next billing period following the date of the change. We will give you advance notice of any increased subscription fees, increased

liability, or stricter limitations regarding your Kraken+ subscription at least twenty-one (21) days before the effective date of such change. We will give you advance notice of any change in the payment amount from the previous payment, and the date of the next payment, at least ten (10) calendar days in advance of the next payment by e-mail to your primary e-mail address saved in your Kraken account. If you do not wish to accept a change to the price of your subscription, you may cancel your subscription as described below.

3. Promotional Free Trials

Offers for a free trial or other promotional subscriptions to Kraken+ are subject to these Terms. Only one free trial or promotional subscription is available per user. Free trial or promotional eligibility is determined by Kraken at its sole discretion and we may limit such eligibility or duration to prevent abuse. Kraken may also limit the ability to combine a free trial, promotional subscription, or any other offers. For some trials or promotional subscriptions, you may be required to provide your payment details to start the free trial or promotional subscription. You will not receive a notice from Kraken that your free trial or promotional offer has ended. BY PROVIDING PAYMENT DETAILS YOU AGREE THAT AT THE END OF YOUR APPLICABLE FREE TRIAL OR PROMOTIONAL SUBSCRIPTION PERIOD, YOUR KRAKEN+ SUBSCRIPTION WILL AUTOMATICALLY RENEW AND YOU WILL BE CHARGED THE SUBSCRIPTION FEE STATED IN YOUR OFFER AT THE BEGINNING OF EACH BILLING CYCLE UNTIL YOU CANCEL YOUR SUBSCRIPTION. To avoid charges, you must cancel your free trial or promotional subscription as described below.

4. Cancellation

You may cancel your Kraken+ subscription at any time. Cancellation must be completed through the same platform where you originally subscribed prior to the end of your current subscription period to avoid future charges. If you cancel your subscription, the cancellation goes into effect at the end of your current subscription period. You will have continued access to your subscription for the remainder of your paid subscription period. When the cancellation goes into effect, you will no longer receive any benefits, including trading fee waivers, enhanced Stablecoin Rewards, or any other benefits of Kraken+. If you cancel, modify your subscription, or if your account is otherwise terminated under this Agreement, you will not receive a credit, including for partially used periods of the subscription service.

5. Cancellation by Kraken

Kraken reserves the right to accept, refuse, suspend, or cancel your subscription at any time in its sole discretion. If Kraken cancels your subscription, you will receive a refund of your subscription fee on a pro rata basis calculated from the end of the month during which your subscription was canceled, unless Kraken terminates your account or your subscription because it determines, in its sole discretion, that your actions or your use of our services violates the Terms.

6. Acknowledgement of Risk

By signing up for Kraken+, you understand that Kraken is not making a recommendation to make a specific investment, trade, or to use any specific investment strategy. Kraken does not provide any investment, legal, or tax advice.

Annex H

Kraken Verify

This Annex H incorporates by reference and supplements the Kraken.com Terms of Service (excluding all Annexes thereto, the “**Terms**”) as if the entirety of the Terms were set forth in this

Annex. Kraken Verify, a service offered by Kraken Continuance, Inc., a Cayman Islands company, uses the Ethereum Attestation Service to allow you to issue verified, onchain credentials (each, an “**Attestation**”). Attestations may be used to establish your identity and reputation when interacting with certain decentralized applications onchain. An Attestation issued by you is stored onchain, and therefore is public and viewable by anyone indefinitely. If you do not wish to share this personal information with others by making it publicly available onchain, do not use Kraken Verify. Once an Attestation has been issued by you, a record of the Attestation may persist in the Ethereum Attestation Service even if the Attestation is revoked.

1. **Eligibility.** Kraken supports your use of Kraken Verify to attest to certain information related to your Kraken account. To do so, you must (a) have an identity-verified Kraken account, (b) be in good standing and eligible to transact on the Kraken platform and (c) have executed at least one trade. We may refuse to allow you to use Kraken Verify to attest to information related to your Kraken account if (a) the information you provided to create a Kraken account (as described in the “Issuance” section below) is incomplete, inaccurate, or incorrect, (b) if you violate the Terms, violate applicable law, or engage in behavior that harms our services (for example, by engaging in fraudulent activity or attempting to circumvent the Terms or our policies), or (c) if your Kraken account is subject to any type of limitation or review. In order to use an Attestation on a third party platform, you must comply with the terms of the applicable third party platform. We may refuse to allow you to use Kraken Verify due to any violation by you of the third party platform’s terms of use. Without limiting the foregoing, we reserve the right, in our discretion, to limit or restrict your use of Kraken Verify or ability to issue an Attestation.
2. **Issuance.** By using Kraken Verify to issue an Attestation, you acknowledge that some or all of the information you provide to us, including the information you provided when you created your Kraken account and information we collect in accordance with our Privacy Policy from your usage of our services, may be used to issue one or more Attestations.

If you choose to issue an Attestation, you acknowledge that information related to your Kraken account will be stored onchain, and therefore will be public and viewable by anyone.

You agree that all the information you provide in order to issue an Attestation is complete, accurate and correct. An Attestation relies on the completeness, accuracy and correctness of information provided by you, which you are ultimately responsible for. Kraken will assume for all intents and purposes that you own and control the private keys associated with the self-hosted wallet that you specify for receipt of any Attestation issued to you, including for purposes of any tax reporting obligations that Kraken may become subject to as a result of any reward or other value that is distributed to such self-hosted wallet in connection with such Attestation. By using Kraken Verify, you further agree that you will not transfer the Attestation to any third party.

An Attestation may also be based on data supplied to us by third parties, including government agencies, third party suppliers of identity verification services and others. Those third parties may change or may, due to change in laws or other reasons, change their policies or services. Therefore, we may be required to amend the provision and scope of any Attestation, and may do so at any time at our discretion without notice.

Annex I

Kraken UK E-Money Wallet Terms

This Annex I (the “**E-Money Wallet Terms**”) governs the E-Money Core Services (as defined below) offered by Payward Services Limited (“PSL”) relating to your Kraken e-money account (the “Kraken E-money Wallet”). The E-Money Wallet Terms incorporate by reference and supplements the Terms. You acknowledge and agree that, except as expressly modified by the E-Money Wallet Terms, the Terms remain entirely binding and applicable to the E-Money Core Services. Capitalised terms used but not defined in the E-Money Wallet Terms shall have the meanings given to them in the Terms. In the event of a conflict between the main body of the Terms and the E-Money Wallet Terms with respect to the E-Money Core Services, the terms in these E-Money Wallet Terms will apply.

Please note that additional terms apply for services other than the E-Money Core Services, and will be offered by entities who, unlike PSL, are not e-money institutions. For example, any Digital Asset wallet and associated trading services will be provided by Payward Limited (or another Payward affiliate). Neither Payward Limited nor such affiliates are an electronic money institution (“EMI”), however, Payward Limited is registered with the Financial Conduct Authority as a cryptoasset business pursuant to the Money Laundering, Terrorist Financing and Transfer of Funds (Information on the Payer) Regulations 2017.

1. General

a) Regulatory status. PSL (“**We**”, “**us**” or “**our**”) is a company registered in the UK with registration number 12861311 and registered address at 6th Floor, One London Wall, London, EC2Y 5EB, United Kingdom, which is authorised by the Financial Conduct Authority as an EMI under the Electronic Money Regulations 2011 with register number FRN 1010381.

b) E-Money Core Services. The E-Money Core Services include:

- Opening and closing a Kraken E-Money Wallet for you;
- Issuing e-money to your Kraken E-Money Wallet when you make a deposit;
- Redeeming e-money in your Kraken E-Money Wallet when you make a withdrawal or instruct us to make a payment from your Kraken E-Money Wallet;
- Issuing or redeeming e-money in your Kraken E-Money Wallet when you:
 - elect to make a purchase or sale of Digital Assets using our services; and/or
 - receive or transmit e-money to or from another Kraken client or a third-party;

c) Not a bank account. Your Kraken E-Money Wallet is not a bank account. By submitting an application for an Account with us you expressly acknowledge that the Financial Services Compensation Scheme (FSCS) does not apply to your Kraken E-Money Wallet. Instead of being covered by the FSCS, your e-money is ‘safeguarded’ by us. In the event that we become insolvent, you may lose the e-money held in your Kraken E-Money Wallet. However, we are subject to laws which are designed to ensure the safety and liquidity of funds held with us.

d) Multiple currencies. Your Kraken E-Money Wallet may hold e-money denominated in different currencies and we will show the e-Money balance for each currency that you hold.

e) No interest. Any e-money held in your Kraken E-Money Wallet will not expire, but it will not earn interest.

f) Using your personal information. In order for us to provide the E-money Core Services under this Agreement, you agree to us accessing, processing, and retaining any information you provide to us. This does not affect any rights and obligations you or we have under data protection laws. You can withdraw this consent by closing your Kraken E-Money Wallet. If you do this, you will no longer be able to access any of our services and we’ll stop using your data

for this purpose, but may continue to process your data for other purposes in line with our [Privacy Notice](#).

2. Information about your Kraken E-Money Wallet and payment transactions

a) Regular information about your Kraken E-Money Wallet usage. We will provide you with regular information relating to payment transactions on your Kraken E-Money Wallet by making the following information available in your Account on the Platform:

- a reference enabling you to identify each payment transaction and, where appropriate, information relating to the payer (i.e. the person or party who made the payment) and the recipient (i.e., the person or party that was paid);
- the amount of the payment transaction in the currency in which your e-money is debited or in the currency used for the payment instruction;
- the amount of any charges for the payment transaction and, where applicable, a breakdown of the amounts of such charges;
- where applicable, the exchange rate used in the payment transaction by us, and the amount of the payment transaction after that currency conversion; and
- the debit value date or the date of receipt of the payment instruction.
- You may also request a statement containing the above information from us at any time.

b) Information about individual payment transactions you initiate. If you ask us to, we will give you the following information about payment transactions you initiate:

- the maximum execution time;
- any charges payable by you; and
- where applicable, a breakdown of the amounts of any charges.

3. Issuing and Redeeming e-money

a) Issuance. Whenever you upload or receive Fiat Currency to your Kraken E-Money Wallet using any payment methods we accept from time to time, we will issue you with e-money of the same value. Such funds will usually be available for your use immediately. However, from time to time, we may need to carry out certain checks before funds are made available to you and shown in the balance on your Kraken E-Money Wallet. Funds of an equivalent value to the e-money held in your Kraken E-Money Wallet will be 'safeguarded' in accordance with applicable law. For further information on how we safeguard, please visit our website.

b) Reversals. If you receive funds into your Kraken E-Money Wallet that were not intended to be transferred to you (e.g. because we've credited your Kraken E-Money Wallet incorrectly), then we will be entitled to remove these funds from your Kraken E-Money Wallet.

c) Redemption. You can request a redemption of all or part of the e-money held in your Kraken E-Money Wallet at any time at 'par value' by selecting the relevant option in the Kraken E-Money Wallet and following the instructions. This includes where you make a payment using your e-money. The e-money will be redeemed and any applicable withdrawal fee (available on our [Site](#)) will be deducted before the funds are either (i) transferred to the bank account you have registered with us during Account setup (or any other bank account that has been approved by Kraken) or (ii) used to make the payment that you have requested, as set out in more detail at Section 6 below.

d) Checks before redemption. Before redeeming e-money from your Kraken E-Money Wallet, we may conduct checks for the purposes of preventing fraud, money laundering, terrorist financing and other financial crimes, and as required by applicable law. This may mean you are prevented or delayed from withdrawing from, or making a payment using, your Kraken E-Money Wallet until those checks are completed.

e) Redemption on termination. If you or we terminate this Agreement, we will redeem any e-money remaining in your Kraken E-Money Wallet. If this happens, then unless restricted by applicable law, we will transfer funds to the bank account you have registered with us, or any other bank account that has subsequently been approved by us, by no later than the next business day after we are deemed to have received your request. We will confirm the details we require at the time of the redemption.

4. Trade Requests

a) Authorisation. When you wish to purchase or sell Digital Assets (or any other instruments or services offered by or through Payward Limited), with or in exchange for the e-money held in your Kraken E-money Wallet, you must submit a trade request to Payward Limited via the Kraken Account. Your trade request must include all information required by Payward Limited and PSL. Please take care when submitting a trade request. In submitting your trade request to Payward Limited via the Kraken Account, you will be authorising Payward Limited to send the details of such trade request to PSL and you will be authorising PSL to make a transfer of e-money on your behalf to Payward Limited.

b) Unsuccessful transaction. If a payment to load funds into your Kraken E-Money Wallet is not successful, you authorise us, in our sole discretion, either to cancel any related purchase of Digital Assets from Payward Limited or to debit your other payment methods, in any amount necessary to complete the purchase of Digital Assets in question. You are responsible for maintaining an adequate balance and/or sufficient credit limit(s) in order to avoid overdraft, or similar fees charged by your payment provider.

5. Transferring E-Money to other Kraken Users

a) Initiating and authorising a transfer. To initiate a transfer of e-money from your Kraken E-Money Wallet, you (the “Sender”) must provide instructions to Kraken by telling us (i) the amount of e-money in your Account that you wish to transfer and (ii) the intended recipient of the transfer (the “Kraken Pay Instructions”). By submitting the Kraken Pay Instructions and confirming the transaction, you authorise us to transfer e-money to the recipient you have selected.

b) Limits. You may only transfer e-money to a recipient if the e-money is also available in the recipient’s jurisdiction. We may impose limits, such as daily limits, on the amount of any e-money that can be transferred. We may change these limits from time to time.

c) Selecting your recipient. You may select the Kraken user that you wish to make a transfer to by entering the Kraktag or email (if enabled) associated with the recipient’s Kraken Account or by selecting the “Paylinks” feature. If you select Paylinks as your recipient, a payment link (“Paylink”) will be generated, which you may share with the intended recipient through your own chosen communication method. Once a Paylink has been generated, the e-money you have selected for transfer will no longer be available in your Kraken E-Money Wallet. While a recipient of the Paylink does not need a Kraken account to receive the Paylink, the recipient must create a Kraken Account, pass identity verification checks, and satisfy our Eligibility

Criteria before they can claim the e-money you have designated for transfer through the Paylink. A Paylink may only be redeemed once and will expire 14 days after we share it with you. If the designated e-money is not claimed through the Paylink within that time, the e-money will be re-issued to your Kraken E-Money Wallet. You are responsible for ensuring that the Paylink is sent to the correct recipient.

d) Timing. When you submit Kraken Pay Instructions and confirm the transaction, we will begin processing the transfer immediately and the relevant e-money will leave your Kraken E-Money Wallet as soon as you confirm the transaction and reach the recipient by no later than the end of the next business day (but usually instantly). You should carefully check all transaction information prior to submitting Kraken Pay Instructions as the transfer may not be cancelled or reversed once it is submitted.

e) Pending and failed transactions. From time to time, we may tell you that a transaction has a “Pending” status. This could be for a number of reasons, including that we need to apply checks before processing the transaction. We will then confirm whether the transaction has been successfully processed or failed.

6. Making a Payment Using Your E-Money

a) Payment instructions. You may instruct us to make a payment using the E-Money in your Kraken E-money Wallet and you can do so using, and as set out in, the Krak App. Any payment you instruct us to make will be made by us first redeeming the required value of E-Money followed by us sending the resultant funds to the identified recipient.

b) Payment authentication. We may require you to authenticate any payment instruction (i.e. give us the information that we need to be sure that it's you giving us the instruction) such as providing us with your Security Credentials (as defined below). If you are not able to do so, we may not be able to make the payment.

c) Cancelling your payment instruction. Once you provide your payment instructions to us, you may not cancel it.

d) Payment timings. A payment instruction is deemed to be received by us when the complete information required for execution of the payment reaches us. If your payment instruction is received after 5:00pm (Greenwich Mean Time) on a business day or on a day that is not a business day, then the instruction may be treated as received on the next business day. Once received, we will credit the recipient's bank or payment service provider (as the case may be) by the end of the next business day.

We also have the right to delay payments under certain circumstances, as explained in Section 10 (k)

7. Fees

a) Core Services fees. The fees applicable to our E-Money Core Services are available on our [Site](#) and may be changed by us in accordance with Section 13.

b) Payment of fees. Fees payable by you will be deducted from your Kraken E-Money Wallet balance (or, if we give you the option to change your fee currency for a particular transaction, and you exercise that option, fees payable by you will be deducted from the available cryptoasset balance you select). Transaction fees will be charged when the transaction is executed, including where you instruct us to make a payment. Reversal or chargeback fees will be deducted when they occur.

c) How fees are calculated. Our fees are either expressed as a percentage of the transaction or as a fixed amount in GBP. Where fixed fee amounts are displayed in a currency other than GBP, this is for information purposes only. If fees are deducted from a balance or a transaction denominated in a different currency, the GBP fee amount will be converted into an equivalent fee in that other currency based on the Kraken E-Money Wallet wholesale exchange rates applicable at the time and then deducted. We will not apply a foreign exchange fee on currency conversions of fees.

d) Fees in other currencies. To the extent fees must be paid in a particular denomination of Fiat Currency, you authorise us to convert any e-money held in your Account to the required denomination. You are responsible for any and all additional fees that may be incurred to convert Fiat Currency denominations in order for the fees to be paid to us.

e) Third party fees. Our list of fees does not include any third party or banking fees that are charged by others when, for example, you upload Fiat Currency to your Kraken E-Money Wallet or withdraw Fiat Currency out of your Kraken E-Money Wallet.

8. Suspicious Activity and Security Threats

a) Contact us. In the event that you suspect or know of any instances of fraud or any security threats, in each case, relating to your Kraken E-money Wallet, you agree to contact us immediately via [Kraken Support](#). If we suspect fraud or a security threat, or discover an actual instance of fraud or a security incident, in relation to your Kraken E-Money Wallet, we will contact you by sending an email to the primary email address registered with your Kraken E-Money Wallet.

b) Your assistance. You agree to provide us with all information that we may reasonably require to assess any instances of fraud or security incidents in relation to your Kraken E-Money Wallet.

9. Keeping your Kraken E-Money Wallet safe

a) Security credentials. As part of the Kraken E-Money Wallet opening process, you will be required to set up your unique security credentials ("Security Credentials"). Security Credentials may include information such as a PIN, a username, password, items of memorable information and any other security items we may require from time to time.

b) Keeping your Kraken E-money Wallet safe. In order to keep your Kraken E-Money Wallet safe, you must:

- keep all Security Credentials safe;
- take care when using Security Credentials (for example, making sure that nobody else can see or hear you using them and that you log out of any device that is accessible to someone else);
- inform us immediately if there is reason to believe someone else knows the Security Credentials or if the Security Credentials have, or may have, been misused or stolen;
- not choose Security Credentials that other people would easily guess;
- not let anyone else access or use your Security Credentials, or share your Security Credentials; and
- not write down any Security Credentials in a way that other people would understand.

c) When we act as if it is you. Whenever your Kraken E-Money Wallet is accessed using your unique Security Credentials, it authorises us to act on any Instructions we receive as if they were from you.

d) If your Security Credentials are lost or stolen. You must inform us immediately should you suspect or discover that someone else knows your Security Credentials or if you believe that your Security Credentials may have been misused. If your Security Credentials are lost or stolen, or you suspect that someone has used or tried to use them, you must tell us without delay via Kraken support at: <https://support.kraken.com/en-gb>.

e) Updating your Security Credentials. If we reasonably believe it is necessary to prevent fraud or for security reasons, we may request that you change or update your Security Credentials at any time and you agree to change or update your Security Credentials should we request you to do so. We will never ask you to confirm your Security Credentials by phone. In the event that someone does so, purporting to be us, you should contact us via Kraken support at: <https://support.kraken.com/en-gb>.

10. Refunds for Unauthorised or Incorrect Transactions

a) Contact us. As soon as you become aware of an issue with a payment transaction, you must notify us via <https://support.kraken.com/hc/en-us/forms> so that we can investigate what happened.

b) Unauthorised transactions. In the event of an unauthorised payment transaction on your Kraken E-Money Wallet (such as a payment transaction made by a third party that has unlawfully gained control your Kraken E-Money Wallet), provided you have notified us, we will normally refund your Kraken E-Money Wallet by the end of the next business day. We'll refund the amount of the payment transaction and put your Kraken E-Money Wallet in the position it would have been in but for the unauthorised payment transaction.

c) When we won't refund you. If we later become aware that we were not responsible for the unauthorised payment transaction, we may reverse the refund. We will not make a refund if we can show:

- you did authorise the payment transaction;
- you have acted fraudulently;
- you intentionally or negligently failed to keep your Security Credentials safe; or
- (in respect of transactions made before you notified us) you intentionally or negligently failed to notify us as soon as you became aware that either (1) your Security Credentials were lost or stolen, or (2) that an unauthorised payment was taken from your account.

d) Incorrect transactions. We are responsible to you for making payment transactions correctly under this Agreement. If you ask us to make a payment to another person (including another Kraken entity) and the payment is not made properly or the person you are paying does not receive it, you should notify us via <https://support.kraken.com/hc/en-us/forms> so that we can investigate what went wrong. We will refund the amount of the transaction (and any fees and charges you paid as a result), unless we can show that the payment was received by the recipient's bank or you provided us with incorrect details.

e) Incorrect payment details. If you provided us with incorrect details, we are not responsible but if you ask us, we will make reasonable efforts to recover the payment and will tell you the outcome. We may charge you our reasonable costs for doing so.

f) Delayed payments. If a payment is made late due to our error, you can ask us to request that the recipient's bank adds the payment to the recipient's account as if it had been made on time. We won't be responsible if you ask us to make a payment to another person and the recipient's bank delays crediting the money to the recipient's account. This could happen if, for example, they need to carry out security checks.

g) Time limits. Subject to the above conditions on when you may be entitled to a refund, you will usually not be liable for losses incurred due to unauthorised or incorrect transactions after you have notified us. To be eligible for any refund, you must notify us as soon as possible and within 13 months of the date of the first affected transaction.

h) Checking your transaction information. You should check the transaction information that we provide or make available to you relating to your Kraken E-Money Wallet regularly and contact us at <https://support.kraken.com/hc/en-us/forms> immediately if you have any questions or concerns.

i) Disputes. If we discover that you were not entitled to a refund after we have given it to you, we will take it back. If we take back a refund, we'll put your Kraken E-Money Wallet in the position it would have been in had we not provided a refund in the first place.

j) Refunds for authorised push payment (APP) fraud. If you suspect you have been the victim of APP fraud, you must tell **us** (where the payment was sent **from** your PSL account) or your **sending bank or payment service provider** (where the payment was sent **to** your PSL account) as soon as possible using the details in Section 15 (a) below. We will work with the sending bank or payment service provider to resolve the claim in line with the FPS reimbursement rules in place at the time. Where the payment was sent from your PSL account, we will review each request for reimbursement individually and reimburse you if required to do so by the FPS reimbursement requirement and FPS reimbursement rules. A £100 excess may apply. If it applies, we will take the £100 off the amount we refund to you. For further information on how we deal with APP fraud refunds, please visit our website.

k) Our right to delay where we suspect fraud. If we receive any payment instructions from you to execute a payment transaction to another person and, by the end of that business day, we have reasonable grounds to suspect it has been made as a result of fraud or dishonesty from someone other than you, we may delay acting on it to ask you or someone else further questions about the payment instructions. The maximum time period for the delay will be four business days.

11. Restrictions on E-Money Core Services

a) Limits on your Kraken E-Money Wallet. Unless we tell you otherwise (and except as otherwise set out in this Agreement), there are no spending limits in place and you are permitted to spend the balance of your Kraken E-Money Wallet at any time. We may however, at our discretion, impose limits on the amount and value of payments you can make, including money you send for purchases. Where we do so, you can view any sending limit by logging into your Kraken E-money Wallet. To request that we increase your sending limit, you must follow the steps that we will notify to you or publish from time to time in the Krak app.

b) Refusing payment transactions. We may refuse to execute a payment transaction where:

- you do not have enough balance in your Kraken E-Money Wallet for the payment;
- you have not provided us with information that we need to make the payment;

- the payment exceeds any limits we tell you about when you try to make it;
- we reasonably suspect fraud or other criminal activity in connection with your request;
- we reasonably believe that following your instructions might put us in breach of applicable law or at risk of action by one of our regulators; or
- we have reasonable concerns about the security of your Kraken E-Money Wallet.

c) What happens if we refuse. Unless the law prevents us from doing so, we will inform you of our refusal and, where applicable, any steps you can take to enable us to execute your payment transaction.

d) Blocking your Kraken E-Money Wallet. We can block or suspend access to your Kraken E-Money Wallet (and associated Security Credentials and ability to provide us with payment instructions) if we reasonably:

- suspect there has been unauthorised or fraudulent use of your Kraken E-Money Wallet;
- have concerns about the security of your Kraken E-Money Wallet; or
- believe that it is required in order to meet a legal or regulatory obligation that applies to us.

We will let you know if we do this, and why, unless it would be unlawful for us to tell you or it would affect the security of your account. If possible, we will tell you before we put a block in place but, if we cannot do this, we will tell you immediately after we have done it.

We will remove a block as soon as the reason for it ends. We may replace your payment device or get you to change your security credentials if we reasonably believe this is necessary to keep your account secure.

12. Disruptions to our E-Money Core Services

a) Our liability. We will not be responsible for any losses to you if we cannot perform the E-Money Core Services because of abnormal or unforeseeable circumstances beyond our control (or the control of any third parties acting for us, such as agents and sub-contractors), the consequences of which were unavoidable despite all efforts to the contrary, for example the failure of a payments system that prevents us from making payments for you.

13. Amending the E-Money Wallet Terms

a) Notice of changes. Subject to Section 13 d) below, we may make changes to E-Money Wallet Terms at any time by giving you no less than two months' notice.

b) How we will notify you. We will give notice to you of any proposed changes by sending an email to the primary email address registered with us.

c) When changes come into effect. Any proposed changes will come into effect two months after the date that you receive notice, unless you have given us notice that you object to the proposed changes before the changes come into effect under Section 13 e).

d) When we can make changes sooner. Amendments that (i) make the E-Money Wallet Terms more favourable to you and/or (ii) are related to the addition of new e-money and/or payment services which do not change the terms relating to the existing e-money and/or payment services, will come into effect immediately.

e) Your right to object. You have the right to object to any proposed changes and, in doing so, terminate the E-Money Wallet Terms immediately and without charge by providing written notice to us, provided that you do so before such changes come into effect. If you exercise this right, then your Kraken E-Money Wallet will be closed and all e-Money will be redeemed as described in section 3 e) above.

f) If you do not object. If we do not hear from you before such changes come into effect, you will be deemed to have accepted the changes and the amended terms will apply from the date included in the notice.

14. Terminating the E-Money Wallet Terms.

a) Our right to terminate the E-Money Wallet Terms on notice. Subject to Sections 14 b) and 14 c) below, we may close your Kraken E-Money Wallet at any time and for whatever reason upon giving you 90 calendar days' notice via the contact details provided on your Account.

b) Our right to terminate the E-Money Wallet Terms immediately. We may close your Kraken E-Money Wallet without giving notice in advance, if:

- we are required to by certain anti-money laundering and immigration laws that apply to us;
- we have reasonable grounds to suspect the Kraken E-Money Wallet has been used, is being used, or will be used, in connection with a serious crime;
- the FCA, the Treasury or the Secretary of State require these terms to be terminated; or
- we reasonably believe that, in connection with the provision of goods or services to a third party, you have engaged in conduct that involves, or is likely to involve, the commission of an offence and that the Kraken E-Money Wallet has been used in connection with this.

c) Our right to terminate the E-money Wallet Terms without delay. We may close your Kraken E-Money Wallet and will provide you with notice without delay if:

- we consider that your conduct in relation to someone acting for us or on our behalf amounts to an offence under certain laws (such as those relating to public order, harassment, abuse, and other threatening behaviors); or
- you provided us with certain incorrect information before, or when entering into, the E-Money Wallet Terms, and had the correct information been provided we would not have entered into such terms.

d) Your right to terminate the E-Money Wallet Terms. You may close your Kraken E-Money Wallet at any time by as per the steps set out [here](#). We will then redeem any e-money remaining in your Kraken E-Money Wallet as set out in Section 3 e) above.

e) Cancellation of these E-Money Wallet Terms. In addition to your right to terminate under Section 14 d), you may cancel these E-Money Wallet Terms within 14 days of accepting them for any reason by giving notice of such termination to <https://support.kraken.com/en-gb>. You will not be charged for such cancellation or termination, although you will be required to pay any amounts owed to us and from the date of cancellation will no longer be able to use the E-Money Wallet.

15. Communications

a) How to contact us. You can contact us via:

- The Chat Function on the Kraken Apps or Sites; or
- Through our online support portal, available at <https://support.kraken.com/hc/en-us/forms>

b) How we contact you. We usually contact you via email. You agree and consent to receive electronically all service communications, agreements, documents, notices and disclosures that we provide in connection with your Kraken E-Money Wallet and your use of our services. You must at all times maintain at least one valid email address in your Account and you must check for incoming messages regularly. You understand and agree that if we send you an email but you do not receive it because the email address you have provided is incorrect, out-of-date, blocked by your service provider, or you are otherwise unable to receive emails, you will still be deemed to be in receipt of the email. We recommend you keep copies of all communications we send or make available to you.

c) Withdrawing consent. You may withdraw your consent to receive marketing communications from us electronically by contacting us via the methods set out in Section 15 a) above.

d) Legal notices. We will send you any legally required notices by email to the primary email address associated with your Account. You must send your notices to <https://support.kraken.com/hc/en-us/forms>. Your notices will be considered delivered on the business day following the submission of that notice to us.

e) Language. This Agreement, related pre-contractual information and any information or notifications that you or we are to provide will be in English, except as otherwise required under applicable law or requested by you in accordance with applicable law. Any information that you are required to provide should be provided in English, except where otherwise requested by you in accordance with applicable law.

16. Disputes

a) Complaints. If you have a complaint about us or our E-Money Core Services, this should be sent to us via the contact details set out in Section 15 a) above for our support team to resolve. We will try our best to resolve the relevant issue. If you are not satisfied with the response you receive from our support team and you would like to escalate the complaint, you should submit the complaint using the Complaint Submission Form available at <https://support.kraken.com/hc/en-us/articles/complaint-handling-process>. We will handle your complaint in accordance with the Complaint Handling Process also set out at that link. You are not required to attempt to resolve the complaint with our support team before submitting the complaint using the Complaint Submission Form.

b) Responding to complaints. We will aim to provide you with an answer or resolution to your complaint within the timeframes and in the manner required by applicable law and at the latest within 15 business days. Should this not be possible due to exceptional circumstances not within our control, we will contact you setting out the reasons why the complaint remains ongoing, requesting further information on the complaint (where appropriate) and specifying the deadline by which you will receive a response. In any event, we will send a final reply to you, addressing all points raised in your complaint, at the latest within 35 business days of our receipt of the complaint.

c) Your right to complain to the Financial Ombudsman Service (the “FOS”). If on receipt of our final reply you remain dissatisfied with our handling of any complaint about the E-Money Core Services, you may refer the matter to the FOS, whose address is Exchange Tower, Harbour Exchange Square, London, E14 9SR (Telephone: +0800 023 4567 or +44 20 7964 0500, Website: <https://www.financial-ombudsman.org.uk/>).

d) Governing law. These Kraken E-Money Wallet Terms are governed by English law and any dispute under these terms or otherwise in connection with your Kraken E-Money Wallet or the E-Money Core Services shall be brought exclusively in the courts of England.

17. Miscellaneous

a) Assisting us with information. You agree to provide us with the information we request (which we may request at any time deemed necessary) for the purposes of identity verification and the detection of money laundering, terrorist financing, fraud, or any other financial crime and permit us to keep a record of such information. You will need to complete certain verification procedures before you are permitted to start using the Kraken E-Money Wallet and the limits that apply to your use of the Kraken E-Money Wallet may be altered as a result of information collected on an ongoing basis.

b) Consent. You expressly consent to us accessing, processing and retaining your personal data, as defined under applicable law, for the purposes of delivering the E-Money Core Services to you under these Kraken E-Money Wallet Terms.

c) How long these E-Money Wallet Terms will last. The E-Money Wallet Terms between you and us will remain in force unless and until terminated by either you or us.

Annex J

xStocks

This Annex J incorporates by reference and supplements the Kraken.com Terms of Service (excluding all Annexes thereto, the “Terms”) as if the entirety of the Terms were set forth in this Annex. Capitalized terms used but not defined in this Annex have the meanings given to them elsewhere in the Terms. In the event of a conflict between the Terms and this Annex, the terms of this Annex will control solely to the extent of the conflict and solely with respect to the subject matter of this Annex. xStocks are tokenized debt securities issued by Backed Assets (JE) Limited (a Jersey private limited company) (the “Issuer”) our wholly owned affiliate, that are governed by a base prospectus approved by the Liechtenstein Financial Market Authority under the EU Prospectus Regulation with each individual product governed by its own final terms published alongside the base prospectus. Kraken is not the exclusive distributor of xStocks. xStocks are offered to eligible Kraken clients by Payward Digital Solutions Ltd. (“PDSL”), a company incorporated under the laws of Bermuda and licensed to conduct digital asset businesses by the Bermuda Monetary Authority. All services provided to eligible Kraken clients in connection with xStocks including but not limited to brokerage services, order fulfillment, clearing, settlement, and on-platform custody (collectively, the “xStocks Services”), are provided by PDSL, or its affiliates.

In addition, margin trading in connection with xStocks, and the Opt-In Rewards program as it relates to xStocks (“xStocks OIR”), are offered by PDSL. Subject to eligibility requirements, regulatory approvals, and applicable program terms, eligible clients may elect to participate in the Opt-In Rewards program with respect to certain xStocks balances. By opting in to xStocks OIR, you provide a standing instruction to lend such opted-in xStocks balances to PDSL and authorise PDSL to borrow those balances from you, if and when called, in accordance with Annex C (Opt-In Rewards Program) to these Terms. Upon such utilization, title to those xStocks balances transfers to PDSL and such

balances become Utilized Opt-In Assets, as described in Annex C. Upon utilisation of Opt-In Assets by PDSL, PDSL becomes contractually obligated to return to the client an equivalent quantity of such assets (the 'Utilised Principal') in accordance with the applicable Terms governing the Opt-In Rewards Program. For the avoidance of doubt, Opt-In Assets that have not been utilised remain customer assets held in custody, whereas Opt-In Assets that have been utilised constitute a borrowing by PDSL and give rise to the repayment obligation described above.

In exchange, you may become eligible to earn rewards on such balances. Rewards are not guaranteed, may vary over time, and may be reduced, suspended, or set to zero only in circumstances of significant market stress, exceptional market conditions, operational disruptions affecting the program, or other events that materially affect the operation of the Opt-In Rewards Program. Rewards will accrue only after you have opted in and accepted the applicable Opt-In Rewards terms. Participation in xStocks OIR is voluntary and may be limited, suspended, or unavailable in certain jurisdictions, during testing phases, or prior to or following applicable regulatory approvals, in our sole discretion and in accordance with the Terms.

When your xStocks balances become Utilized Opt-In Assets, they may be used by PDSL to support its programs, including fully collateralized lending, liquidity provisioning, or risk management activities, as described in Annex C. While xStocks balances are Utilized Opt-In Assets, they may not be available to you for trading or withdrawal until you initiate an opt-out request in accordance with Annex C. Market movements and other factors may affect the value of xStocks balances and any rewards earned. In the event of insolvency of PDSL, participants in the xStocks OIR program will have a contractual claim against PDSL in respect of the Utilised Principal in accordance with the applicable Terms governing the program. PDSL will not subordinate customer claims in respect of Utilised Principal to any claims of affiliates or related parties of PDSL, in accordance with applicable insolvency law and these Terms.

WE MAKE NO REPRESENTATION OR WARRANTY THAT INVESTING IN xSTOCKS IS APPROPRIATE IN ALL LOCATIONS, OR THAT xSTOCKS ARE AVAILABLE OR APPROPRIATE FOR USE IN ALL JURISDICTIONS OR BY ALL PARTIES. YOU SHOULD INFORM YOURSELF AS TO THE LEGAL REQUIREMENTS AND TAX CONSEQUENCES OF INVESTING IN xSTOCKS WITHIN ALL JURISDICTIONS APPLICABLE TO YOU. WE ARE NOT RESPONSIBLE FOR TAX CONSEQUENCES TO YOU OF INVESTING IN xSTOCKS.

1. Eligibility.

xStocks will only be offered to eligible clients in select jurisdictions at Kraken's sole discretion and is subject to change or discontinuation at any time, without prior notice. You must have an account with us in order to invest in xStocks; if you are not eligible to open an account with us or otherwise don't have an account with us, you will not be able to invest in xStocks. Access to xStocks may be governed by additional Annexes to these Terms and/or separate terms and conditions or agreements mutually agreed upon by Kraken and you. In the event of any inconsistency between this Annex and any separate terms and conditions or agreements with respect to xStocks trading, this Annex will control solely to the extent of the conflict and solely with respect to the subject matter of this Annex.

2. xStocks and Associated Risks

xStocks are on-chain representations of certain publicly-listed equities and ETFs backed 1:1 by underlying shares of the same. xStocks holders do not have any legal rights to the underlying shares; that is, there are no voting or information rights, dividend rights, or claims for redemption of the underlying shares. xStocks holders merely obtain access to the price performance of the underlying shares, less applicable fees.

By investing in xStocks, you understand, acknowledge and agree that:

- xStocks may be compatible with protocols or other software or technology provided by third parties, but we make no guarantee as to such compatibility and we are not responsible for any losses of xStocks or other issues you may experience through use of such third-party protocols, software or technology;
- We are not responsible for any decrease in value of your xStocks;
- Legislative and regulatory changes and requirements may adversely affect the value of, and ability to transact in, xStocks, including the ability to withdraw and deposit xStocks;
- xStocks are intended for use on various decentralized and open source blockchains and protocols over which we have no control. In the event that any such blockchain or protocol experiences a “fork”, we reserve the right to suspend the xStocks Services temporarily or indefinitely, on little or no notice, while we determine, in our sole discretion, which fork we will support, if any. We will have no liability or responsibility for any loss, liability, or damage you may incur as result of our determination to support or not support any particular blockchain or protocol or fork thereof;
- We will have the ability, in our sole discretion, to add or remove specific addresses to an internal blacklist in any xStocks smart contract. We may add addresses to the blacklist in response to law enforcement demands and sanctions requirements, and as we may otherwise deem appropriate in our discretion, including in response to exploits and suspected fraudulent activity. Addresses on this blacklist will be blocked from receiving or transferring xStocks;
- We may, in our sole discretion, refuse to process a deposit, trade, or withdrawal of any xStocks token if we suspect that the subject token was acquired through fraudulent means.

3. xStocks Deposits and Withdrawals

We provide you the ability to deposit and withdraw xStocks subject to the Terms, including Section 2 (Deposit of Crypto and Issuance of Fiat Balance) and Section 3 (Withdrawal of Crypto and Redemption of Fiat Balance).

4. Investing in xStocks

Eligible clients can obtain a quote from Kraken providing indicative trade terms and fees regarding a particular xStocks investment. While we will attempt to fulfill your xStocks order at the chosen price, there is no guarantee that the order will execute at the price chosen and the xStocks order may not execute immediately after it is triggered.

We may, at any time and without liability, reject, cancel, suspend or delay an xStocks transaction (in whole or in part) for any reason, with or without notice to you as required by law. You should regularly check the status of your pending xStocks transactions. We won't verify the information or details of your xStocks transaction. You agree that the information and details of your xStocks transaction as provided by you are accurate and complete and as such may be treated and acted upon by Kraken.

You understand that applicable transaction fees and spreads may change. You are presented with the applicable fees charged by us before entering into the transaction. Your confirmation of the transaction constitutes agreement to pay all such applicable fees. You will not be charged any such fees in the unlikely event your transaction is rejected. Your payment provider may charge additional fees in connection with your transaction. You understand and agree that you are fully responsible for your payment providers' fees for all xStocks orders.

Margin Trading in xStocks

Eligible clients may be permitted to engage in margin trading involving xStocks, subject to applicable eligibility requirements, regulatory approvals, and acceptance of the applicable margin terms. Margin trading in connection with xStocks is provided by PDSL.

Margin trading involving xStocks is subject to Annex A (Margin Trading) to these Terms, which is incorporated herein by reference solely to the extent applicable to margin trading provided by PDSL under this Annex J. In the event of any inconsistency between Annex A and this Annex J with respect to margin trading involving xStocks, this Annex J shall prevail.

Margin trading in xStocks may be enabled on a pair-by-pair basis and may allow clients to borrow fiat currency or xStocks to open leveraged long or short positions. Leverage limits, margin requirements, eligible collateral, margin pools, and the availability of margin trading for particular xStocks or trading pairs may be imposed, adjusted, restricted, or removed at any time in our sole discretion.

You acknowledge and agree that xStocks used as collateral for margin positions, or acquired through margin trading, are subject to margin calls and liquidation without prior notice if applicable margin requirements are not met. Liquidation may involve the sale of xStocks or other assets in your account, and you may incur losses that exceed rewards earned through Opt-In Rewards, or trading gains.

Notwithstanding anything in Annex A (Margin Trading) to the contrary, where an eligible client has only xStocks margin positions open under this Annex J at the time of a liquidation event, such eligible client shall not be liable to PDSL for any resulting negative balance arising from such liquidation. PDSL will, following review of the relevant account and liquidation event, not seek recovery of any such qualifying deficit. This protection applies solely in respect of margin trading provided by PDSL under this Annex J and shall not apply to margin trading or other services provided by any other Kraken entity.

xStocks IPO Access

From time to time, PDSL may offer eligible clients the opportunity to submit a conditional indication of interest ("Interest Submission") in connection with certain newly issued xStocks linked to an initial public offering of the underlying equity ("IPO xStocks"), subject to eligibility requirements and applicable geographic restrictions.

Interest Submission Window. For each IPO xStock made available through this feature, there will be a window of a fixed duration during which eligible clients may submit an Interest Submission specifying a notional dollar amount they wish to invest (the "IOI Window"). An Interest Submission: (a) is non-binding and does not constitute a purchase order or guarantee of allocation; (b) is conditional on the final share price of the underlying IPO; and (c) will be for the dollar amount submitted, calculated regardless of the final share price within the indicated price range.

Fund Reservation. When you submit an Interest Submission, the notional amount you specify will be reserved from your available balance. Reserved funds remain yours at all times and continue to be held in accordance with these Terms. Reserved funds will not be available for other transactions until your Interest Submission is cancelled, the IOI Window closes, or your allocation is confirmed or rejected.

Cancellability. You may cancel your Interest Submission at any time before the IOI Window closes. Interest Submissions cannot be cancelled once the IOI Window has closed.

Binding Conversion. At the close of the IOI Window, your Interest Submission will automatically convert into a binding order for the notional amount submitted, subject to allocation. We will notify you prior to the close of the IOI Window when the xStock-specific Final Terms and Key Information

Document ("KID") are available for your review. You should review those documents before the IOI Window closes. If you no longer wish to proceed after reviewing the disclosure documents, you must cancel your Interest Submission before the IOI Window closes.

Allocation. Allocation of IPO xStocks is determined by the underwriters of the underlying IPO and is not within our control. Allocation methodologies may include pro-rata distribution, random lottery, or minimum/maximum allocation per user, as directed by the underwriter and communicated to you on IPO day. There is no assurance that your Interest Submission will receive any allocation, or the full requested allocation.

Settlement. On the IPO listing day, if you receive an allocation, the allocated IPO xStocks will be delivered to your account and the corresponding reserved funds applied to settle the transaction at the final IPO price. Any reserved funds in excess of your allocation value will be released back to your available balance.

Disclosure Documents. The xStock-specific Base Prospectus, Final Terms, and KID for each IPO xStock will be made available prior to the close of the IOI Window. By allowing your Interest Submission to become binding, you acknowledge that you have had the opportunity to review those documents.

Risks. In addition to the risks described in Section 7 (Risks) of this Annex J, participation in xStocks IPO Access involves additional risks including: (i) no guarantee of any allocation; (ii) price uncertainty prior to the final IPO price being set; (iii) the underlying IPO may be cancelled, delayed, or significantly oversubscribed; and (iv) the value of IPO xStocks may decline following listing.

Cancellation

All xStocks transactions are final and non-refundable. All transactions are non-cancellable, including before or after we execute an xStocks transaction, unless otherwise provided in these terms. Notwithstanding the foregoing, Interest Submissions submitted through the xStocks IPO Access feature are cancellable at any time before the close of the applicable IOI Window, as set out in the "xStocks IPO Access" section of this Annex J. In some circumstances, you may have the opportunity to request cancellation of a transaction before we execute it, but we may refuse any cancellation request at our sole discretion. If we fulfill such a cancellation request, that doesn't mean we'll cancel future orders in the same or similar circumstances. If your xStocks transaction is not successful or your payment method does not have sufficient amount of Fiat Balance or Digital Assets to complete the transaction, you further authorize us, in our sole discretion, to cancel the transaction or to use alternate Digital Assets and Fiat Currency in your account as necessary to complete the transaction or resolve any resulting shortfall or negative balance, including to exchange Digital Assets or Fiat Currency in your account for alternative types of Digital Assets or Fiat Currency and deduct any applicable Fees and taxes.

Errors

In the event of an error we reserve the right, and you authorize us, to correct such error, including by revising the transaction (including charging the correct price), canceling the transaction, or taking any other action to resolve the error (including exchange Fiat Currency or Digital Assets in your account for alternative types of Fiat Currency or Digital Assets and deducting any applicable Fees and taxes to correct the error).

Insufficient Assets

If you have an insufficient amount of Fiat Balance or Digital Assets in your account to complete an xStocks transaction, we may choose to cancel the entire transaction or fulfill a partial transaction using the amount of Fiat Balance or Digital Assets currently available in your account, less any fees and taxes.

Restrictions

We can, at any time and without notice (1) refuse to execute any xStocks transaction at our sole discretion, including if you don't have sufficient Digital Assets or Fiat Balance held or reflected, as applicable, in your account and (2) impose limits on xStocks transaction (for example, limiting the number of open bids, offers, or orders or restricting xStocks transactions from certain locations).

5. Liability

You are solely responsible for your use of the xStocks Services, and we make no representations, warranties, or guarantees that the xStocks Services will function or perform in accordance with your expectations. You hereby acknowledge and agree that we disclaim and have no responsibility for any loss, liability, or damage you may incur, directly or indirectly, in connection with the xStocks Services. You further agree that we shall not be liable for any delays in effectuating an xStocks transaction, regardless of the reason for that delay, or if we are unable to complete an xStocks transaction for any reason, including but not limited to, because of: (i) any direct or indirect actions taken by you, including providing inaccurate, or insufficient instructions, that result in a mistaken or accidental transfer; (ii) insufficient Digital Assets in your account to complete the transaction; (iii) any malfunction of the xStocks Services due to circumstances beyond our control; or (iv) any suspension or discontinuance of the xStocks Services.

6. Conflict of Interest Disclosure

Kraken's interests and the interests of others trading with Kraken may diverge from yours. By investing in xStocks, you agree and understand that PDSL provides all xStocks Services (or outsources the same to affiliates) and that the affiliation between PDSL and any other Kraken affiliates may give rise to certain potential or actual conflicts of interest. If Kraken acts in circumstances where it – or any of its affiliates – has a material interest or conflict of interest, it will take reasonable steps to ensure that you are treated fairly. Kraken, in its discretion, may also decline to act in such circumstances. The following are examples (without limitation) of such potential conflicts of interest: (i) that PDSL (or any of its affiliates) may make a profit in respect of a transaction on which you do not; (ii) that PDSL may transmit orders to, or seek liquidity from, Payward Oceanic Ltd., an affiliate that is regulated by the British Virgin Islands Financial Services Commission, that may help facilitate eligible client executions in xStocks; and/or (iii) that PDSL may share various resources with other Kraken affiliates, including, but not limited to, office space, personnel, and systems. Kraken may not have an obligation to disclose that it has a material interest in a particular transaction with or for you or that in a particular circumstance a conflict of interest or duty may exist, where Kraken has, in its sole discretion, managed such conflicts to ensure, with reasonable confidence, that risks of damage to your interests will be prevented. Kraken may also not have an obligation to account to you for any profit, commission or remuneration made or received from or by reason of transactions or circumstances in which it has a material interest or where in particular circumstances a conflict of interest may exist.

7. Risks

Investing in xStocks involves an element of risk and may not be suitable for everyone. You represent, warrant, and agree that prior to investing in xStocks, you will have read our xStocks Risk Disclosure at kraken.com/legal/xstocks, as well as the Base Prospectus and related Final Terms for xStocks at

<https://assets.backed.fi/legal-documentation>, you understand the risks involved with investing in xStocks, and you have determined that investing in xStocks is appropriate for you and your risk tolerance. You are solely responsible for your investment in xStocks, and we make no representations, warranties, or guarantees that the xStocks in which you invest will perform in accordance with your expectations or the underlying stocks. You are solely responsible for, and you hereby acknowledge and agree that we disclaim and have no responsibility for, any loss, liability, or damage you may incur, directly or indirectly, as a result of your investment in xStocks.

8. Compliance with Laws; Sanctions

In connection with investing in xStocks, you hereby agree and represent and warrant that you will not (i) use xStocks in violation of any applicable laws or regulations; or (ii) use xStocks in any transaction involving the proceeds of crime or terrorist financing or otherwise in violation of any applicable anti-money laundering or sanctions laws or regulations. We reserve the right to monitor for the foregoing and to reject, deter, suspend, freeze and report, or otherwise prevent transactions we believe to be in violation thereof or to involve one or more transactions with any person that is the subject or target of any sanctions. We are not responsible for determining which laws or regulations may apply to your transactions involving xStocks, and we have no responsibility for any loss, liability, or damage you may incur as result of any violation of such laws or regulations by you or any third party.

Annex K

OTC and Prime

This Annex K (the "**OTC and Prime Terms**") governs the use of over-the-counter trading services, prime trading, and over-the-counter options (collectively, "**Execution Services**"), available to users that meet the applicable eligibility requirements. The OTC and Prime Terms incorporate by reference and supplement the Terms. You acknowledge and agree that, except as expressly modified by the OTC and Prime Terms, the Terms remain entirely binding and applicable to the Execution Services. Capitalized terms used but not defined in the OTC and Prime Terms shall have the meanings given to them in the Terms. In the event of a conflict between the main body of the Terms and the OTC and Prime Terms with respect to the Execution Services, the terms in these OTC and Prime Terms will control solely to the extent of the conflict and solely with respect to the subject matter of these OTC and Prime Terms.

Part 1 – OTC and Prime Trading Services

The following terms (this "**Part 1**") govern your use of over-the-counter trading and prime trading services under this Annex K (the "**Trading Services**"). Provisions that apply equally to the Trading Services and to Option Services (as defined below) are set out in Part 3 (General Provisions) below.

- 1) **Services.** We provide Trading Services to eligible users for the trading of certain Digital Assets. Certain Trading Services may be governed by additional terms and conditions as mutually agreed to between the parties. If such agreements conflict with these OTC and Prime

Terms, the agreements shall govern with respect to the conflicts. Additionally, transacting in certain Digital Assets may be subject to additional Annexes to these Terms and/or separate terms and conditions or agreements mutually agreed upon by Kraken and you; for example, if you use the Trading Services to transact in xStocks, then Annex J shall also apply.

- 2) **Recurring and Custom Trades.** You may have the option to make Trades on a recurring or custom basis using the Trading Services. To the extent that you give us instructions to make trades on a recurring or custom basis, you authorize us to initiate recurring or custom electronic purchases or sales using Digital Assets and Fiat Balances in accordance with your initial instructions and based on your time period selection, if applicable. You acknowledge that the amount of any Digital Asset or Fiat Balances you purchase or sell in each recurring Trade will depend on the market price at the time of the Trade and will only be determined once the Trade is executed. We may, at any time and without liability, reject, cancel, suspend or delay a recurring or custom Trade (in whole or in part) for any reason. We are not liable for any recurring or custom Trade or any failure to make a recurring or custom Trade (including any rejection, cancellation, suspension or delay of a recurring or custom Trade in whole or in part).
- 3) **Quoting Services.** You may have the option to submit electronic messages to us for the purpose of soliciting a quote for a Trade (a "Request for Quote" or "RFQ") and to receive quotes for a Trade from us (a "Quote") via (i) our online RFQ Service or (ii) via direct communication with our traders (together, the "Quoting Services"). By accepting a Quote obtained via either of the Quoting Services, you place an order with us to execute the Trade in accordance with your instructions. Accepted Quotes are final, binding, and cannot be modified. Proceeds from a successfully executed Trade will be credited to you, less any applicable fees.

Part 2 – OTC Options

The following terms (this "**Part 2**") govern your use of over-the-counter options services under this Annex K (the "**Option Services**"). Each over-the-counter option transaction entered into between you and us is an "**Option Transaction**," and each such option is an "**Option**." Provisions that apply equally to the Option Services and to the Trading Services are set out in Part 3 (General Provisions) below. To the extent of any conflict between Part 1 and Part 2, Part 2 shall control with respect to Option Transactions.

- 1) **Services.** We provide Option Services to eligible users to enter into over-the-counter Options with us as your counterparty referencing certain Digital Assets. The Option Services will be governed by additional terms and conditions as mutually agreed to between the parties, including the OTC Option Documentation described below. If such additional terms and conditions conflict with these OTC and Prime Terms, such additional terms and conditions shall govern solely to the extent of the conflicts.
- 2) **Counterparty.** The Kraken entity that will be your counterparty to any Option Transaction is Payward Oceanic, Ltd. ("**Payward Oceanic**") Payward Oceanic is not registered with the Commodity Futures Trading Commission as a swap dealer, major swap participant, futures commission merchant, introducing broker, commodity pool operator or commodity trading advisor, nor is it registered with the Securities and Exchange Commission as a broker-dealer, security-based swap dealer or special purpose broker-dealer, and is not a member of any designated contract market, derivatives clearing organization, swap execution facility, security-based swap execution facility, alternative trading system or national securities

exchange. You should not rely on any regulatory protections or compensation schemes that would otherwise be available to you when transacting with a registered or regulated entity as counterparty or intermediary, or on a registered exchange or trading system.

- 3) **OTC Option Documentation.** Each Option Transaction constitutes a “Transaction” as defined in the OTC Option Documentation specified below and will be governed by a “Confirmation” that will supplement, form a part of, and be subject to, such OTC Option Documentation. If you have entered into an ISDA Master Agreement with us, your Options shall be governed by such ISDA Master Agreement (together with the applicable Schedule, Credit Support Annex, and any applicable ISDA definitions, annexes, supplements and Confirmations, collectively, the “Bilateral OTC Option Documentation”). If you have not entered into Bilateral OTC Option Documentation on or prior to the trade date of an Option, such Option shall instead be governed by a 2002 ISDA Master Agreement, a Schedule thereto, and a 1994 NY Law Credit Support Annex with a Paragraph 13 containing certain elections and variables (together, the “Deemed OTC Option Documentation,” and together with the Bilateral OTC Option Documentation, the “OTC Option Documentation”). The Deemed OTC Option Documentation shall be deemed executed by both parties, with Payward Oceanic Ltd. as Party A and you as Client and Party B, on the trade date of the first Option Transaction between us, if no Bilateral OTC Option Documentation has been previously entered into between us. All Option Transactions entered into prior to the execution of Bilateral OTC Option Documentation shall be subject to the Deemed OTC Option Documentation. If you enter into Bilateral OTC Option Documentation, all Option Transactions (whether entered into before or after the Bilateral OTC Option Documentation) shall be governed by such Bilateral OTC Option Documentation. In the event of a conflict between the OTC Option Documentation and these OTC and Prime Terms, the OTC Option Documentation will control solely to the extent of the conflict.

The form of the Deemed OTC Option Documentation, which will be deemed executed by the parties as of the trade date of the first Option Transaction between us if no Bilateral OTC Option Documentation has been executed, can be found [here](#).

- 4) **Quoting Services.** You may have the option to submit electronic messages to us for the purpose of soliciting a quote for an Option (a “Request for Quote” or “RFQ”) and to receive quotes for an Option from us (a “Quote”) via (i) our online RFQ Service or (ii) via direct communication with our traders (together, the “Quoting Services”). By accepting a Quote obtained via either of the Quoting Services prior to the applicable expiry thereof, you will be deemed to agree to enter into the Option Transaction upon and in accordance with the terms therein. Accepted Quotes are final and binding. Upon entry into such Option Transaction, we will generate and make available to you a Confirmation specifying the key terms thereof in accordance with the OTC Option Documentation, provided that failure to send, respond to, or execute such Confirmation in written form shall not affect the binding nature thereof.
- 5) **Collateral.** Generally, unless you and we agree otherwise, we will be the “Secured Party” and you will be the “Pledgor” under the OTC Option Documentation. Accordingly, you will be required in most instances to deliver to us, or our Custodian (as defined in the OTC Option Documentation), the full amount of Digital Assets underlying each Option you sell to us. The OTC Option Documentation will grant us the right to use, pledge, sell or otherwise rehypothecate any such Digital Assets posted as collateral to us, and we will have no obligation to pay to you any interest or staking rewards on any such collateral. When you purchase an Option from us, we will not be required to post Digital Assets or any other collateral to you. All posting of Digital Assets and other collateral will be governed by the OTC Option Documentation, which you should carefully read.

- 6) **Risk Disclosure.** Option Transactions referencing Digital Assets involve a high degree of risk and may not be suitable for you. You should seek advice from your own financial and legal advisors to ensure that you have the risk appetite, relevant experience and knowledge before entering into any Option Transaction. The Options are privately negotiated contracts between us that are not traded or cleared on any exchange, centralized clearing organization or other regulated trading venue, and accordingly there is no central marketplace or standardized terms governing such transactions. You will bear credit exposure to Kraken as your bilateral counterparty under an over-the-counter transaction, rather than having the exposure intermediated by a centralized clearing organization. By entering into an Option Transaction, you can lose up to the entire premium paid to us, but if you sell (write) an Option, your risk of loss may be unlimited. You also bear credit exposure to Kraken (or any Custodian holding posted collateral on its behalf) with respect to any Digital Assets posted as collateral to us. You should not commit funds that you cannot afford to lose and should not build positions beyond your financial capacity to maintain. You should not enter into any Option Transaction unless you understand the nature of the transaction, the extent of your exposure to risk, and have independently determined that it is appropriate for you in light of your personal objectives, financial situation and needs.

Part 3 – General Provisions

The following terms (this "**Part 3**") apply to both the Trading Services (as defined in Part 1) and the Option Services (as defined in Part 2), unless the context otherwise requires or a provision expressly states that it applies only to one of them.

- 1) **Conflict of Interest Disclosure.** You understand that in all Trades and Option Transactions, we (or our affiliates) are your counterparty. Our interests, our affiliates' interests, and the interests of others trading with us may diverge from yours. By using the Execution Services, you agree and understand that we (or one of our affiliates) are the exclusive counterparty for all Trades and Option Transactions and that the affiliation between us and any other of our affiliates may give rise to certain potential or actual conflicts of interest. If we act in circumstances where we – or any of our affiliates – have a material interest or conflict of interests, we will take reasonable steps to ensure that you are treated fairly. We, in our discretion, may also decline to act in such circumstances. The following are examples (without limitation) of such potential conflicts of interest: (i) that certain of our affiliates have not established, and do not intend to establish, relationships with unaffiliated liquidity providers or market makers for purposes of the Execution Services, regardless of whether the terms and fees offered by such unaffiliated parties are more favorable than those offered by us; (ii) that we (or any of our affiliates) may make a profit in respect of a transaction or Option Transaction on which you do not; and/or (iii) that we may share various resources with other of our affiliates, including, but not limited to, office space, personnel, and systems. We may not have an obligation to disclose that we, or any of our affiliates, have a material interest in a particular transaction or Option Transaction with or for you or that in a particular circumstance a conflict of interest or duty may exist, where we have, in our sole discretion, managed such conflicts to ensure, with reasonable confidence, that risks of damage to your interests will be prevented. We also may not have an obligation to account to you for any profit, commission or remuneration made or received from or by reason of transactions or Option Transactions or circumstances in which we or one of our affiliates have a material interest or where in particular circumstances a conflict of interest may exist.

- 2) **Termination.** You may terminate your use of the Trading Services with us at any time by providing written notice (email sufficient) if there are no outstanding transactions. Should you give notice while a transaction is outstanding, your engagement will not be terminated until such transaction is complete. Any outstanding Option Transaction may only be terminated as set forth in the OTC Option Documentation. We reserve the right to temporarily or permanently suspend the Execution Services, including terminating any outstanding or completed transactions, at our sole and absolute discretion at any time.
- 3) **Errors.** In the event of an error, whether via the Execution Services or our platform, in a purchase order confirmation or Confirmation, in processing your purchase or transaction request, in funding your account, in transferring Fiat Currency or Digital Assets to a Financial Account or to us or our Custodian as collateral, or any other transaction, we reserve the right, and you authorize us, to correct such error, including by revising the transaction or Option Transaction and the related Confirmation (including charging the correct price), canceling the transaction or Option Transaction, or taking any other action to resolve the error (including exchanging Fiat Currency or Digital Assets in your account for alternative types of Fiat Currency or Digital Assets and deducting any applicable Fees and taxes to correct the error).
- 4) **Ownership.** At the time you make use of the Trading Services, you acknowledge and agree that you have the legal right to control and manage funds held on our platform or in a third-party wallet, and such funds may not necessarily be owned by you but are free and clear of any liens and encumbrances. Because Options are bilateral contractual arrangements between us, in the context of the Option Services you will either have an asset owed from us, or a liability owed to us, and accordingly you will be subject to the risk of our insolvency or other credit deterioration. We intend to treat any Fiat Currency and Digital Assets posted as collateral to us as your assets, owned by you (but subject to our right to pledge, sell or otherwise rehypothecate such collateral); however, there can be no assurance that a court (including a court applying any insolvency regime) will agree with our characterization and you will bear credit exposure to Kraken or any Custodian holding posted collateral on its behalf, and the risk of Kraken's inability to obtain a return of any such posted collateral from a transferee or transaction counterparty to which it has been pledged, sold or rehypothecated from time to time.
- 5) **Fees and Spreads.** You understand and agree that any fee or spread may be in addition to the quoted price, or the quoted price may be inclusive of all fees and spreads. Any applicable fee or spread, including the basis on which they are charged, may be communicated to you separately from time to time.
- 6) **Exit Fees.** There are no exit fees associated with the Trading Services.
- 7) **Execution Services Availability.** While we employ measures to ensure that the Execution Services are available 24 hours a day and 7 days a week, we cannot guarantee uninterrupted or error-free operation of the Execution Services or that we will correct all defects or prevent third-party disruptions or unauthorized third-party access.

Annex L

Kraken Launch Terms

This Annex L (the "Kraken Launch Terms") governs the use of Kraken Launch services, available to users that meet the applicable eligibility requirements. The Kraken Launch Terms incorporate by reference and supplement the Terms. You acknowledge and agree that, except as expressly modified by the Kraken Launch Terms, the Terms remain entirely binding and applicable to the Kraken Launch

Services. Capitalized terms used but not defined in the Kraken Launch Terms shall have the meanings given to them in the Terms. In the event of a conflict between the main body of the Terms and the Kraken Launch Terms with respect to the Kraken Launch services, the terms in these Kraken Launch Terms will apply.

1. Kraken Launch

- a) **Kraken Launch Overview.** We offer eligible Kraken users the opportunity to participate in early token sales conducted by emerging crypto projects before their token generation event (“TGE”).

Kraken Launch relates to Digital Assets, which involve special risks related to the specific features of the Digital Asset. The price of Digital Assets depends on fluctuations in the financial and digital asset markets that are outside of our control. Past performance or future forecasts do not constitute reliable indicators of future performance. We have set out some of the main risks associated with using Kraken Launch in section 4 below. You should read these in full before you decide to use Kraken Launch.

- b) **Eligibility.** Participation in Kraken Launch is subject to satisfaction of all eligibility criteria, including any Kraken Launch specific eligibility requirements determined by Kraken and the applicable project, which are notified to you through the Platform or our website. We reserve the right to restrict or deny access to Kraken Launch to any user at our sole discretion.
- c) **Additional terms.** Participation in Kraken Launch may be subject to additional terms set by the crypto project organising the early token sale – we’ll notify you where these apply. These additional terms apply in addition to this Annex L, and will take precedence to the extent of any conflict.

2. Pledging for Tokens

- a) For each token offered through Kraken Launch, there will be an allocation window of a fixed duration during which you may pledge certain of your Digital Assets (“**Pledged Assets**”) to be used as payment to purchase tokens subject to an eventual TGE (the “**Launch Tokens**”).
- b) These Pledged Assets will be locked until the results of the token sale are announced, which will be around the time of TGE. Pledged Assets remain yours at all times and continue to be held in custody in accordance with Section 2 of these Terms, pending the completion of the sale.
- c) At the end of the allocation window, Kraken will assess all customers who have Pledged Assets against a number of factors to ensure a “merit-based” allocation, as outlined on the Kraken Launch platform for each relevant sale.
- d) If you are successful, your pledge converts to a purchase from the minimum allocation up to your total pledged allocation depending on demand and supply, and you will receive the relevant Launch Tokens in your Account. The minimum allocation for each token sale will be specified in the relevant sale terms.
- e) If you are not successful, your Pledged Assets will be unlocked, and you will be free to use them.
- f) **Kraken Launch fees.** We charge a percentage fee on each order you submit to participate in a Kraken Launch early token sale. Details of the applicable percentage are available on our Site.
- g) Delivery of the Launch Tokens to you is conditional on the project completing its TGE and providing us with the ordered Launch Tokens in accordance with its obligations. We do not guarantee or warrant that any token sale will be completed or that Launch Tokens will be issued or delivered on time, or at all.

h) In the event a project's TGE is not completed, we will unlock your Pledged Assets, and they will become available to use as normal in your Account.

3. **Right to Withdraw - available to retail customers resident in the United Kingdom only.**

- a) **Eligibility.** If you are a retail customer and are resident in the United Kingdom, this section 3 applies to you, notwithstanding section 15 of these Terms (Suspension; Termination; Discontinuance). If you do not meet both of those criteria, this section does not apply to you.
- b) **Right to withdraw.** You have the right to withdraw from your agreement to participate in any Kraken Launch early token sale without incurring any fees or costs and without being required to give reasons, providing that the Digital Asset in question has not already been listed on any platform for secondary trading. This right to withdraw begins on the date that you pledge your assets to participate in a Kraken Launch early token sale, and expires 14 calendar days from that date, or if earlier, the point at which your Pledged Assets are converted and the Launch Tokens are credited to your Account. To exercise this right to withdraw, please contact us via Kraken Support using one of the methods set out in Annex I, section 15 of these Terms (How to contact us).
- c) **Unlock and Reimbursement.** We will unlock your Pledged Assets and reimburse you any fees you have paid in relation to your participation in a Kraken Launch sale without undue delay, and in any event no later than 14 calendar days from the date that we receive notice from you that you are exercising your right to withdraw.

4. **Risk Disclosure**

- a) By participating in Kraken Launch, you agree to and accept the following risks:
- Kraken Launch facilitates access to token sales but does not issue or create the tokens, nor does it provide any guarantee as to their value, utility, legality, or performance.
 - The sale of these Launch Tokens does not constitute an offer of securities or investment advice. Purchasers are solely responsible for evaluating the risks and merits of participation.
 - Launch Tokens do not represent shares, equity, or ownership in the issuer or exchange, and confer no rights to dividends, governance, or participation beyond their intended utility within the relevant protocol.
 - Participation in Kraken Launch involves significant risks, including the potential loss of all funds, regulatory uncertainty, and lack of liquidity. Tokens may have no value and there is no guarantee of listing or secondary market availability.
 - The timing, structure, and success of TGEs are not guaranteed and may be subject to change or cancellation.

Annex M

UK Krak Card Terms:

1. **Krak Card Overview**

- a) **Krak Card Terms Overview.** This Annex M (the "**Krak Card Terms**") governs the provision of Card services provided by Payward Services Limited ("**PSL**"). As set out elsewhere in the [Kraken.com Terms of Service](#) (the "**Terms**"), the e-money services in relation to Krak Card are provided to you by PSL and the cryptoasset services in relation to Krak Card are provided to you by Payward Limited ("**PWL**").

Before using our Card services, you should ensure you have read and understood the risk warnings set out in Section 10 of the Terms. We have outlined some of the other substantial risks associated with using our services on our [Legal Disclosures page](#), which is incorporated into the Terms by reference. You should carefully review these risks to determine if our services are suitable for you, considering your circumstances, knowledge, and financial resources.

- b) **Connection with the Terms.** You acknowledge and agree that, except as expressly modified by the Krak Card Terms, the terms and conditions in this Annex are supplemental to, and form part of the Terms (including Annex I - Kraken UK E-Money Wallet Terms - but excluding all other Annexes thereto). To the extent of any conflict, the terms of this Annex M will take precedence. We have used definitions in these Krak Card Terms wherever we think it will be helpful, and capitalised terms used but not defined in these Krak Card Terms shall have the meanings given to them in the Terms.
- c) **The Card.** We may offer you the ability to obtain a payment card ("**Card**"), which is issued to you by Monavate Limited ("**Monavate**"). The Card is governed by separate [terms and conditions](#) you enter into with Monavate ("**Monavate Terms**"), which should be read alongside these Krak Card Terms. The Card will be linked to your Kraken E-Money Wallet and will allow you to spend your Krak 'Everyday' balance in the Krak app to buy goods and services or withdraw cash in fiat currencies from merchants or cashpoints that accept the Card. You agree that you will also use the Card in accordance with the Monavate Terms.
- d) **About Monavate.** Monavate Limited is a company incorporated under the laws of England and Wales with registered company number 12472532. Its registered address is The Officers Mess Business Centre, Royston Road, Duxford, Cambridge, CB22 4QH. Monavate Limited is authorised by the Financial Conduct Authority ("**FCA**") (registration number 901097) to issue electronic money and provide payment services.
- e) **About the Card services.** When you make a Card transaction, you will be using your Card to instruct us to make a payment for you. We will do so by transferring the fiat currency amount required by us to send to Monavate so that Monavate can onward transfer the correct amount to the merchant via the relevant card scheme ("**Card Scheme**"). The amount that will be due from you in total to cover this will be the amount of the Card transaction, plus any accompanying fees, converted at the applicable exchange rate (together the "**Total Transaction Price**"). The funds that you will use to make a payment will be taken from:
- the e-money balance of your Kraken E-Money Wallet, in which case the necessary amount of e-money which will be redeemed and the proceeds of which will be used to settle the Total Transaction Price; or
 - your available cryptocurrency balance, in which case PWL will sell Digital Assets (a "**Digital Asset Transaction**") and the proceeds of which will be used to settle the Total Transaction Price; or
 - a combination of these two.

All Digital Asset Transactions are governed by the relevant sections of the Terms that set out your trading of Digital Assets, and the same considerations and restrictions apply. This means

that, among other things, there are a number of situations in which a Digital Asset Transaction may be rejected, declined or fail, as explained in the Terms.

If the Total Transaction Price is not deducted immediately, we reserve the right to deduct this amount at a later point in time. If, as a result of this, a transaction is completed by us for where the Total Transaction Price is greater than both the total balance of your Kraken E-Money Wallet and/or your sale price of the Digital Assets you hold at the point at which we go to settle this amount, then you will owe this to us as a debt and you must put your Kraken E-Money Wallet into a positive balance as soon as possible so that you may continue to use your Kraken E-Money Wallet and Card without interruption.

- f) **Your authorisation.** By taking out a Card, you expressly authorise us to use any e-money balance(s) and/or Digital Assets in your account in order to settle Card transactions. You may give instructions at any time through the Krak app if there are any e-money balances and/or Digital Assets that you do not want to be available to settle Card transactions. You can find details of any restrictions on the way in which we will use your e-money balance(s) and/or Digital Assets in the Krak app. If, at the point of the transaction, there are insufficient funds to settle the Card transaction, then we reserve the right to decline the transaction as set out in more detail at Section 5 (a) of this Annex M.
- g) **Availability of Digital Assets.** Not all Digital Assets that you hold in your account are supported for Card transactions and the Digital Assets that are available may change from time to time. You will be notified when any additional Digital Assets become available to be used to settle Card transactions. From time to time, there may also be restrictions on the availability of the Digital Assets that you hold to be used to settle Card transactions (for example, if at the time of the Card transaction, there is a shortage of a particular Digital Asset in the market).

2. Krak Card Transactions

- a) **Using the Card.** You will need to authorise each Card transaction by following the procedures required for the type of payment you are making. You may need to take steps to authorise a transaction at the time you are paying, for example, by entering your Card details on a merchant's online payment page, tapping your Card at the point of sale in-store or entering your PIN on the key pad. Depending on the circumstances, you may be required to undergo some further security checks at the time such as providing biometric data (e.g. a fingerprint).
- b) **Authorisation.** If the Card, card number and PIN, biometric data or other of your Security Credentials have been used, we will assume you have authorised the transaction. You must therefore tell us immediately if you do not recognise a transaction based on the information we provide to you. Please see Section 4(e) below for information on how best to contact us.
- c) **Cancelling.** You cannot cancel a Card transaction after it has been authorised. You can, however, cancel payments that you have authorised to be made on a future date, for example, if you have set up a recurring payment. To cancel a recurring payment relating to your Card, please contact Monavate at <https://www.monavate.com/contact>.
- d) **Timing.** Below are the timings that apply to transactions under this Annex M:

- i. Where you are settling the transaction with Digital Assets, any required Digital Asset Transaction will be executed by PWL following your authorisation/pre-authorisation of the relevant Card transaction in line with the Terms; and
- ii. Where you are settling the transaction with your e-money balance, we will transfer the Card transaction monies to Monavate in response to the merchant's settlement processes and in accordance both with the Card Scheme's corresponding request and the Card Scheme's settlement timing requirements.

The maximum execution time of the Card transaction itself is not wholly within our or Monavate's control and is dependent on actions being taken by the merchant and the Card Scheme. Monavate will comply with and adhere to the Card Scheme's and our settlement timing requirements.

- e) **Chargebacks.** We accept no responsibility for the goods or services purchased by you with your Card. All such disputes must be addressed directly with the merchant providing the relevant goods or services. Once you have authorised your Card to make a purchase, we cannot stop that Card transaction. However, where you have used your Card to buy goods or services, you may have a claim against the merchant if the goods or services are unsatisfactory, not supplied, supplied only in part or do not match the supplier's description. You must notify us of any dispute and the chargeback will only be applied to your Kraken E-Money Wallet in the currency your card is denominated in if successfully secured from the merchant. If you wrongly make a chargeback claim, we will be entitled to charge you any fees we reasonably incur in pursuing the chargeback claim and we will be entitled to debit your Kraken E-Money Wallet with the amount of any such fees.
- f) **Refund rights where you've been charged more than you expected.** You may claim a refund for a Card transaction that you authorised provided that the following three conditions apply:
 - i. your authorisation did not specify the exact amount when you consented to the transaction;
 - ii. the amount of the transaction exceeded the amount that you could reasonably have expected it to be (taking into account your previous spending pattern, these Krak Card Terms and the circumstances of this case); and
 - iii. you requested a refund from us within 8 weeks of the date the transaction took place.

When you request a refund under this section, we may require you to provide us with evidence to substantiate your claim. We will refund you within 10 business days of receiving your claim for a refund or, where applicable, within 10 business days of receiving any further information we requested - or we will provide you with reasons for refusing the refund. The refund shall be equal to the amount of the relevant transaction. If the transaction in question was funded by a Digital Asset Transaction or e-money in a currency that is not in your Card's primary currency ("**Settlement Currency**"), you will only receive any refund as the equivalent amount of e-money issued to your account in your Card's Settlement Currency; we will not credit the original Digital Asset(s) used to fund the payment transaction.

- g) **Unauthorised Card transactions.** If it is established a Card transaction has been executed without your consent, we will provide you with a refund. Any such refund will only be made if you comply with your obligations set out herein and will be subject to Section 10 of the Kraken UK E-Money Wallet Terms at Annex I of the Terms ("**E-Money Wallet Terms**"). If a refund is granted, we will credit your Kraken E-Money Wallet in your Card's Settlement Currency. We will not credit the original Digital Asset(s) used to fund the payment transaction.
- h) **Errors.** If we have made an error with respect to any Digital Asset Transaction to settle a Card transaction (for example, we've accidentally used a Digital Asset to settle a Card transaction that you have told us should not be available for Card transactions), then we reserve the right, and you authorise us, to correct such error as reasonably considered to be appropriate, including - at our discretion - by revising the Digital Asset Transaction (including charging the correct price), cancelling the Digital Asset Transaction, or taking any other action to resolve the error (including exchanging e-money or Digital Assets in your Krak 'Everyday' balance for alternative types of e-money or Digital Assets and deducting any applicable fees and taxes to correct the error). Our Terms set out further details of any liability potentially owed to you.
- i) **Limits.** Our limits on your Card use are set out in the Krak app.

3. Charges and Currency Conversion

- a) **Settlement of transactions.** When Monavate issues your Card, it will be denominated in pounds sterling. If you attempt to make a payment using your Card in a currency that is different to the currency in which the Card is denominated (even if you hold that currency in your Kraken E-Money Wallet), the payment will be automatically processed using a currency conversion rate to pounds sterling.
- b) **Charges.** When we sell Digital Assets in the context of a Card transaction, we will include a spread in the price quoted. You can find information on charges [here](#); the Krak app and our website will show details of the spread applied.
- c) **Exchange Rates.** Currency conversions between a transaction you attempt to make and the currency that denominates your Card, as well as on Digital Asset Transactions, will be subject to the exchange rate at the time of the given Card transaction. You can find information on the exchange rates we use [here](#); the Krak app and our website will show details of the exchange rate applied. Any conversion is final at the point at which we authorise the transaction.
- d) **Changes to Charges and Exchange Rates.** We may make changes to the applicable charges and exchange rates from time to time in accordance with Section 13 of the E-Money Wallet Terms.
- e) **Tax.** You are responsible for determining and fulfilling any tax obligations that may arise in connection with your use of the Krak Card and/or any Cashback you may receive, including but not limited to rewards related to Digital Assets such as bitcoin. You can find more information on taxes [here](#).

4. Communications

- a) **General information.** You may request a copy of these Krak Card Terms at any time.
- b) **Communications from Monavate.** As set out in the Monavate Terms, if Monavate needs to communicate with you in relation to the Card that they have issued you, such communications will be made through us (Kraken) using the methods set out in the Monavate Terms.
- c) **Information about Card transactions.** We will provide you with regular information about your Card transactions in accordance with Section 2 of the E-Money Wallet Terms.
- d) **Keeping your Card and its details safe.** You must:
- keep your Card, Card number, 3-digit security code and PIN safe;
 - not give your Card or its details (including the PIN) to anyone else;
 - not permit any other person to use your Card;
 - inform yourself about common scams, such as phishing; and
 - take all reasonable precautions to prevent the misuse of your Card and/or its details.
- e) **Telling us if your Card is lost, stolen or misused.** If you believe that:
- (1) your Card has been lost, stolen or misused (whether for the making of unauthorised Card transactions or in any other way); and/or
- (2) Card transactions in respect of your Card have either not been executed or have been defectively-executed; then
- you must inform us immediately through the Krak app.
- f) **Amending these Krak Card Terms.** Subject to Section 6 (k) of this Annex M (Krak Card Rewards), we may make changes to these Krak Card Terms at any time in accordance with Section 13 of the E-Money Wallet Terms.
- g) **Your right to object to changes.** You have the right to object to any proposed changes and, in doing so, terminate the Krak Card Terms and the Monavate Terms immediately and without charge by providing written notice to us, provided that you do so before such changes come into effect. If you exercise this right, then your Card and any pending transactions will be cancelled. If we do not hear from you before such changes come into effect, you will be deemed to have accepted the changes and the amended terms will apply from the date included in the notice.

5. Suspension, Cancellation and Termination

- a) **Refusal and Suspension.** We may refuse or decline a Card transaction you attempt with immediate effect where:
- 1) we are, in our reasonable opinion, required to do so by applicable law or any court or other authority to which we are subject in any jurisdiction;
 - 2) we have concerns that a Card transaction is erroneous or about the security of your Card, your Kraken E-Money Wallet or we suspect our services are being used in a fraudulent or unauthorised manner;
 - 3) we suspect money laundering, terrorist financing, fraud, or any other financial crime;

- 4) you have insufficient e-money and/or Digital Assets in your account to cover the Total Transaction Price of a relevant Card transaction;
- 5) you have not provided us with information that we need to make the payment or we need to carry out further checks;
- 6) the payment exceeds any limits we tell you about when you try to make it;
- 7) a third party prevents us from making the payment (for example, a card scheme); and/or
- 8) we have suspended your Account.

We may also suspend your use of the Card (and associated Security Credentials) if we reasonably:

- 9) suspect there has been unauthorised or fraudulent use of your Card;
- 10) have concerns about the security of your Card; or
- 11) believe that it is required in order to meet a legal or regulatory obligation that applies to us.

If we refuse to approve a Card transaction and/or suspend your use of the Card and any related services in this way, we will (unless it would be unlawful for us to do so) provide you with notice of our actions and the reasons for the refusal or suspension where appropriate, with the procedure for correcting any factual errors that led to us taking that action. In the event that we decline a Card transaction and/or suspend your use of the Card and any related service, we will lift the suspension as soon as reasonably practicable once the reasons for declining and/or suspension no longer exist. Monavate has additional rights to refuse Card transactions and suspend the use of the Card, as set out in the Monavate Terms.

- b) **Cancellation and termination of these Krak Card Terms by you.** You may cancel these Krak Card Terms within 14 days of accepting them and you may terminate these Krak Card Terms at any time by giving notice of such termination to us. You will not be charged by us for such cancellation or termination, although you will be required to pay any amounts owed to us under any outstanding Card transactions and from the date of cancellation will no longer be able to use the Card. If you cancel or terminate these Krak Card Terms you will also simultaneously cancel or terminate the Monavate Terms and we will notify Monavate on your behalf to confirm this.
- c) **Termination of these Krak Card Terms by us.** In addition to our rights to terminate for cause under Section 14 of the E-Money Wallet Terms, we may terminate this Annex M immediately and without prior notice to you if:
 - 1) we are, in our reasonable opinion, required to do so by applicable law or any court or other authority to which we are subject in any jurisdiction;
 - 2) we reasonably suspect you of acting in breach of these Krak Card Terms, the E-Money Wallet Terms or the Monavate Terms;
 - 3) we reasonably suspect our services are being used by you in a fraudulent or unauthorised manner; or
 - 4) we reasonably suspect you of being engaged in money laundering, terrorist financing, fraud, or any other financial crime.

- d) **Termination of the E-Money Wallet Terms and the Monavate Terms.** These Krak Card Terms will terminate automatically upon termination of the E-Money Wallet Terms and/or the Monavate Terms. In the event of such termination, we may notify you that any pending Card transactions are suspended or declined. In any event, you will be required to pay any outstanding amounts owed to us.

6. Krak Card Rewards

- a) **Eligible Cashback.** Every time you make a Card transaction which is an eligible purchase, we will reward you with “**Cashback**” and give you back a percentage of the amount of the Card transaction. We explain what eligible purchases are in the Krak App and [here](#). Cashback is a reward by us (and not Monavate, as issuer of your Card, nor any other party) for making a Card transaction, so it does not impact any offers merchants may also give you.
- b) **Ineligible transactions.** The following transactions will not be eligible for Cashback:
- i) taking out cash (including withdrawing cash from a cash machine)
 - ii) transactions under 0.49 in your Card’s Settlement Currency.

We reserve the right to change this list of ineligible transactions at any time.

- c) **How Cashback is calculated.** The amount of any Cashback we will reward you with for any Card transaction is a percentage of the value of the Card transaction. The percentage that any Cashback is calculated on will be explained in the Krak App. We reserve the right to change the percentages of Cashback awarded at any time. We may set out multiple possible percentages in the Krak App and impose eligibility requirements that will determine which percentage is used to calculate Cashback on your Card transactions at that point in time. If you do not qualify for any possible percentages, none of your Card transactions will be an eligible purchase and you will not receive any Cashback for making a Card transaction.
- d) **Timing of Cashback.** Any Cashback that arises from a Card transaction will be calculated in accordance with these Krak Card Terms and made available to you shortly after settlement of that specific Card transaction in line with Section 2 (d) of this Annex M.
- e) **Form of Cashback.** Any Cashback due to you by us will be paid either in:
- i) your Card's Settlement Currency. Here any Cashback will be credited by PSL to your Kraken E-Money Wallet in the form of e-money as part of the settlement of your Card transaction; or
 - ii) in bitcoin. Here, we will instruct PWL to transfer the required value of bitcoin (calculated at the point of settlement of the transaction) to your account.

You can tell us that you wish to change the form your Cashback is paid to you in using the Krak App. The form in which Cashback is paid is subject to availability and we reserve the right to restrict or change the available and/or any default forms at any time.

- f) **Refunded Card Transactions.** If a Card transaction is refunded then it immediately ceases to become an eligible purchase and you agree that:
- i) you are no longer eligible to receive Cashback for that Card transaction; and

- ii) you will immediately return any Cashback that we have rewarded you with in relation to that Card transaction. Where you are required to return any Cashback, you authorise us to take any steps required to do so in relation to your Kraken E-Money Wallet and account including but not limited to redeeming any e-money held in your Kraken E-Money Wallet, transferring any Digital Assets out of your account, and/or setting off any amounts that we may otherwise owe you.
- g) **Disputed Card Transactions.** You are also required to return Cashback that we have paid to you in error as well as for transactions where you acted fraudulently and/or misused or 'gamed' Krak Card Rewards. Where you are required to return any Cashback, you authorise us to take any steps required to do so in relation to your Kraken E-Money Wallet and account including but not limited to redeeming any e-money held in your Kraken E-Money Wallet, transferring any Digital Assets out of your account, and/or setting off any amounts that we may otherwise owe you.
- h) **Missing Cashback:** If you think you are missing Cashback, you need to tell us through the Krak App within 60 days of you making the relevant Card transaction. If, following consideration, we decide you should have earned Cashback, we will pay it to you.
- i) **Reward Disclaimer.** All rewards are offered solely by us and not by Monavate (the issuer of your Card). Monavate is not responsible for, nor involved in, the provision or administration of any rewards associated with your Card.
- j) **Abuse of Krak Card Rewards.** If we reasonably suspect any fraud or misuse by you relating to Krak Card Rewards, or if you breach the Krak Card Terms, we may disqualify you from earning Cashback.
- k) **Changes to Krak Card Rewards.** We may make changes to the terms applying to Krak Card Rewards, as well as withdraw it, at any time. You can check the Krak App at any time to find the latest Krak Card Rewards available to you.

Annex N

Wallet Access Terms

This Annex N incorporates by reference and supplements the Kraken.com Terms of Service (excluding all Annexes thereto, the "Terms") as if the entirety of the Terms were set forth in this Annex. This Annex describes an optional, non-custodial technology service provided by Payward Wallet LLC ("**PWLLC**", "**we**", "**us**"). This service does not constitute an investment service or any other regulated activity. Nothing in this Part is, or should be treated as, an invitation or inducement to engage in any investment activity. This Annex supplements the Terms and applies where you choose to use the Wallet Access Service or any connected features. If there is any conflict between the Terms and this Annex, this Annex prevails to the extent of the conflict for the Wallet Access Service only.

1. The Wallet Access Service.

- a. The Wallet Access Service is a software which provides a user interface for you to: create a self-custodied on-chain wallet that you set up and control ("**Wallet**"); view and initiate transactions using that Wallet (including moving Digital Assets from your Account to your Wallet and from your Wallet to your Account); and view, through the Wallet interface, certain blockchain data or information relating to Digital Assets and

your interactions with automated, non-custodial smart-contract systems on a blockchain into which you may elect to move your Digital Assets (“**Protocols**”), as sourced directly from on-chain records or any person or entity that builds or operates a Protocol, blockchain network, wallet infrastructure component, trusted execution environment provider, relay, paymaster, data source, or other service accessible through the Wallet Access Service (any of them, “**Third-Party Providers**”).

- b. In providing the Wallet Access Service to you, we do not: take possession of, exercise control over, or have access to, your Wallet, or the means of access to it; store, control, or have access to, your private keys; provide investment, legal, tax or financial advice; recommend, endorse, operate, or manage any Protocol; guarantee any yield, return or airdrop; or intermediate, batch or net your transactions as agent or principal. All Protocols accessible via the Wallet Access Service are operated by independent Third-Party Providers. They are not controlled or operated by us.

2. Use of the Wallet

- a. **On-Chain Interactions.** You may use your Wallet to initiate and sign on-chain transactions that interact directly with Protocols. Each transaction is executed on-chain under your sole control using your private keys and we have no ability to initiate, or exercise control over, any such transactions or your private keys.
- b. **Transfers to Protocols.** As a result of such transactions, you may transfer Digital Assets from your Wallet to a Protocol to access that Protocol’s functionality, such as lending, staking, liquidity provision, or other decentralised activities. Any Digital Assets transferred in this way are no longer held in your Wallet and become subject solely to the relevant Protocol’s terms and smart contract logic. The timeliness or availability of such transfers may vary depending on on-chain conditions or the Protocol’s own terms or smart contract logic. We have no control over any such Protocols, their functionalities or transactions interacting with such Protocols and we are not liable for any delays, restrictions, errors, or failures related to transfers of Digital Assets from your Wallet to a Protocol.
- c. **Asset Conversions (to Protocols).** Following a transfer to a Protocol, you acknowledge that the selected Protocol or its associated smart contracts may automatically convert, wrap, or otherwise transform the transferred Digital Assets into another type of Digital Asset required by the Protocol to perform its functions. Such conversions occur on-chain, under the control of the relevant smart contracts or Protocol, and outside PWLLC’s control or responsibility.
- d. **Downstream Protocols.** Following a transfer of Digital Assets from your Wallet to a Protocol, that Protocol may, in accordance with its own smart contract logic, terms, or governance, deploy, lend, stake, or otherwise transfer those Digital Assets to or through one or more additional Protocols (“**Downstream Protocols**”). You acknowledge and agree that:
 - i. Such further transfers or deployments occur automatically on-chain under the control of the relevant Protocol or its smart contracts, and we have no control over such further transfers or deployments;
 - ii. We do not select, approve, recommend, endorse, or monitor any Downstream Protocols and we have no control over how your Digital Assets are used once they leave your Account;

- iii. Each Downstream Protocol is operated by independent Third-Party Providers, and the performance, security, or redemption of assets within them are solely governed by their respective terms and code and we have no control over such Downstream Protocols; and
 - iv. We are not responsible or liable for any act, omission, malfunction, failure, loss, or unavailability of any Protocol to which you transfer your Digital Assets, or any Downstream Protocols to which those Digital Assets may subsequently be deployed.
- e. **Protocol and Downstream Protocol Risks.** Where a Protocol or any Downstream Protocol lends, stakes, transfers, or otherwise deals with Digital Assets in accordance with its own terms, governance, code, or smart contract logic, there is a risk that those Digital Assets may be lost, become inaccessible, or depreciate in value. Such risks may arise, for example, where:
- i. Digital Assets are deployed into liquidity pools, lending pools, or similar mechanisms that are subsequently liquidated, under-collateralised, exploited, or otherwise fail;
 - ii. The Protocol or Downstream Protocol incurs bad debt, experiences a shortfall in collateral, experiences liquidity constraints, or socialises losses among participants; or
 - iii. Market conditions, oracle failures, or governance actions cause adverse changes to pool parameters, redemption values, or reward structures.

You acknowledge that these events may reduce or eliminate the number or value of Digital Assets ultimately returned to you when you instruct a withdrawal or redemption from a Protocol. We are not liable for, nor do we guarantee, insure, or make you whole for any loss of Digital Assets or reduction in value resulting from the operation, performance, or failure of any Protocol or Downstream Protocol.

- f. **Receipt Tokens and Evidence of Position.** Following a transfer to a Protocol, your Wallet may receive receipt tokens, derivative tokens, or other digital representations evidencing your on-chain position or claim to Digital Assets deposited with, or managed by, that Protocol. These tokens are created, managed, and governed by the relevant Protocol or its community. We do not issue, custody, select, approve, recommend, or endorse any such tokens, or guarantee the value or redeemability of any such tokens.
- g. **Transfers from Protocols.** You may initiate a transfer of Digital Assets from a Protocol to your Wallet in accordance with that Protocol's functionality and terms. The timeliness or availability of such transfers may vary depending on Protocol liquidity, on-chain conditions, or the Protocol's own terms or smart contract logic. We have no control over, and are not liable for, any delays, restrictions, errors, or failures related to transfers of Digital Assets from a Protocol to your Wallet.
- h. **Asset Conversions (from Protocols).** When you transfer Digital Assets from a Protocol to your Wallet, the Protocol's terms and smart contract logic may dictate that the same type of Digital Assets you originally transferred to the Protocol are returned to you. This means that Digital Assets you initially transferred—if automatically converted, wrapped, or otherwise transformed by the Protocol or its associated smart contracts

for compatibility—may be re-converted or un-wrapped to the original Digital Asset type when you initiate a withdrawal or transfer from the Protocol to your Wallet.

- i. **Display of Information.** The Wallet Access Service may display aggregated or summarized information about Digital Assets transferred to or from Protocols, including balances, yields, or receipt tokens associated with your Wallet. Such information is displayed for convenience and informational purposes only, on an as-is basis from blockchain or third party sources. We do not verify, audit, or guarantee data obtained from third-party sources, and displayed information may not accurately reflect your actual on-chain positions or entitlements.
- j. **Protocol Returns and Performance.** You acknowledge that any returns, yields, or rewards stated to be generated or distributed by a Protocol are estimates only and are subject to the Protocol's own terms, governance decisions, and prevailing on-chain conditions. The actual returns you may receive from a Protocol may differ from any stated or estimated rate and may be zero. We do not guarantee any such returns and we are not liable for any failure by a Protocol to achieve or distribute any particular return or outcome.
- k. **Third Parties.** The creation, signing, and broadcasting of on-chain transactions may occur through Third-Party Providers, including blockchain networks, relays, and trusted execution environment infrastructure operators. We are not responsible for any failure, breach or downtime affecting such providers.

3. TEE Functionality and User Control. The Wallet is non-custodial. This means:

- a. Your private keys are generated and stored within a trusted execution environment (“**TEE**”) either locally (e.g. on your device) or within a cloud-based TEE maintained by an independent TEE Provider. A TEE Provider forms part of the broader category of Third-Party Providers.
- b. We do not control, or have access to, your private keys, seed phrases, or Authentication Methods at any time. All cryptographic signing occurs locally within the TEE using the hardware of your device or a TEE environment controlled by a Third-Party Provider.
- c. Transactions are signed within the TEE and broadcast to the blockchain by you and we have no ability to initiate or execute any transactions from your Wallet on your behalf.
- d. You are solely responsible for:
 - i. maintaining control of the devices, accounts (including e-mail), credentials, and authenticator(s) used to access your Wallet (together, “**Authentication Methods**”);
 - ii. ensuring that your device software, firmware, and security settings are current; and
 - iii. safeguarding any available encrypted backups or recovery materials.
- e. We may be unable to restore, recover, or recreate your private keys, cached data, or Wallet access, including if your Authentication Methods or the TEE environment are lost, corrupted, disabled, or otherwise unavailable.

- f. Loss of access to your Authentication Methods, or the corruption, disablement, or failure of the TEE, may result in permanent loss of your access to the Wallet and any Digital Assets associated with it.
- g. The ongoing operation of the Wallet depends on the availability and performance of the relevant TEE Provider, including its hardware, firmware, or other infrastructure. These are operated independently and are outside our control. Your use of these services may be subject to separate terms and privacy policies. We do not warrant or guarantee the functionality, integrity, or continuity of any TEE Provider, device manufacturer, or related Third-Party Provider.
- h. Vulnerabilities, firmware revocations, manufacturer updates, or actions taken by a TEE Provider or device manufacturer may affect your ability to access or use the Wallet, and may result in the permanent loss of access to your Wallet and any Digital Assets associated with it. We are not responsible or liable for any delay, malfunction, outage, or data loss arising from such events.

By using the Wallet Access Service, you acknowledge and accept all risks associated with the TEE, including potential compromise, service disruption, manufacturer or provider failure, and the permanent loss of access to your Digital Assets.

4. Eligibility

- a. You must meet the eligibility criteria set out in Section 1 of these Terms (Eligibility). We may decline, restrict or withdraw access to the Wallet Access Service for legal, regulatory, or operational reasons.
- b. You must not:
 - i. use the Wallet or any connected Protocol for any activity prohibited or restricted under Section 9 of the Terms (Restrictions), or otherwise in any manner which breaches these Terms;
 - ii. circumvent geographic or sanctions controls; or
 - iii. engage in activity that is illegal in your jurisdiction.
- c. You are solely responsible for: safeguarding and recovering your Authentication Methods; ensuring the legality of your Protocol interactions; and maintaining appropriate security and backups of your Wallet and Authentication Methods.
- d. The Wallet Access Service and any displayed Protocol options may be added, changed, suspended, or removed at any time without notice. Removal of an option from our interface does not affect your on-chain positions.

5. Fees and Taxes

- a. You are responsible for all blockchain network (gas) fees and any Protocol-level fees incurred in connection with your transactions.
- b. A total fee of 25% of the rewards earned is deducted by the Protocols from the protocol rewards earned before they are credited to your Wallet.
- c. We may in the future introduce service fees for the Wallet Access Service. Any such fees will be disclosed before they apply.

- d. You are solely responsible for all taxes, including, but not limited to, income, capital gains, wealth, and any filing/reporting arising from your on-chain activity and Protocol interactions. We do not provide investment or tax advice, including in connection with your use of the services set forth herein. You agree not to rely upon any statement or content on our services or Platforms, or that is otherwise attributed to us, as a recommendation, advice, or guidance regarding trades, investments, tax, or any other similar issues. We also are not acting as your bank, broker, intermediary, agent, advisor, or as your fiduciary in any capacity, including with respect to the services described herein.
- e. Notwithstanding anything herein to the contrary, you acknowledge and accept that Kraken may have a legal obligation to make reports, and will make such reports as required, to the relevant tax authorities regarding any services hereunder.

6. Third Party Protocols and Content

- a. Protocols (including any vaults or strategies) surfaced through the Wallet Access Service interface are automated, non-custodial smart contract functionality operated by independent Third-Party Providers. They are not financial instruments or investment services (including portfolio management or the operation of a collective investment undertaking) or any other regulated activity, and nothing shown in the Wallet interface is an invitation or inducement to invest. Neither PWLLC nor any Third-Party Provider guarantees performance, yield or outcomes, assumes any fiduciary, advisory or custodial duties, or should be relied upon for any financial decision or expectation of return.
- b. Display of a Protocol, vault, strategy, APY or similar data is for information only and does not constitute an endorsement, recommendation, or verification.
- c. When you interact with a Protocol, you enter into a direct relationship with its operators, DAO, or smart contracts. We are not a party to such relationships and we are not responsible for Protocol performance, code security, redemptions, or governance.

7. Controls and Compliance

- a. We may block interface access to certain Protocols, Digital Assets, or addresses to comply with legal or sanctions requirements. These measures do not enable us to seize or freeze Digital Assets in your Wallet or initiate any transactions from your Wallet.
- b. You must maintain reasonable security on your devices and install updates to any Wallet components surfaced in our interface. We do not warrant the security of any Third-Party Provider or TEE environment.

- 8. Support** We may provide general information on setting up and using the Wallet Access Service. We will not be obliged to Protocol-level support, troubleshooting, or recovery for Wallets, third-party smart contracts, DAOs, or TEE environments.

9. Termination

- a. You may elect to terminate your access to the Wallet Access Service at any time and for whatever reason by contacting us through <https://support.kraken.com/hc/en-us/forms>. Where you do so, you may have the opportunity to port your Wallet. If you choose not to take up this opportunity, your Wallet and any associated Digital Assets contained within it, or transferred to any Protocols from it and in respect of which you

may have rights, may be lost permanently. We may not be able to recover, restore, or recreate your Wallet or any associated Digital Assets once access is terminated, and we shall not be responsible for any resulting loss of access or value.

- b. We may suspend or terminate your access to the Wallet Access Service at any time and for whatever reason upon giving you two months' written notice via the contact details provided on your Account. You will need to ensure that you port your Wallet as soon as possible following your receipt of a notification of termination, and in any event by no later than two months following the date of that notification. If you do not do so, your Wallet and any associated Digital Assets contained within it, or transferred to any Protocols from it and in respect of which you may have rights, may be lost permanently. We may not be able to recover, restore, or recreate your Wallet or any associated Digital Assets once access is terminated, and we shall not be responsible for any resulting loss of access or value.
- c. In addition to our termination rights under the section above, and without prejudice to any of our other rights or remedies under this Agreement or at law, we may immediately and without prior notice, suspend, cancel or terminate the provision of the Wallet Access Service to you: in any of the events set forth in section 4(b) of this Annex (Eligibility); If we are required by applicable law, regulation, sanction, or directive issued by a governmental, judicial or regulatory authority to do so; or If we otherwise feel it is necessary, in our reasonable opinion, in order to protect us, the Site or the Platform.
- d. Where we elect to terminate your access in accordance with section 9(b) of this Annex, we may give you the opportunity to port your Wallet, provided that doing so would not: breach, or risk breaching, any applicable law, regulation, sanction, or directive issued by a governmental, judicial or regulatory authority; or contravene any applicable security, anti-money-laundering, counter-terrorist-financing, or sanctions controls.
- e. If you choose not to take up this opportunity, your Wallet and any associated Digital Assets contained within it, or transferred to any Protocols from it and in respect of which you may have rights, may be lost permanently. We may not be able to recover, restore, or recreate your Wallet or any associated Digital Assets once access is terminated, and we shall not be responsible for any resulting loss of access or value.
- f. Termination of your access to the Wallet Access Service does not affect your ability to access your Wallet using compatible third-party tools where available, provided you have successfully ported your Wallet. Following termination, we will have no further visibility or control over, or responsibility for, your Wallet or any transactions executed through it.

10. Liability

- a. With respect to liability in contract, tort (including negligence), breach of statutory duty, breach of warranty or otherwise arising out of, or in connection with, this Agreement, you are solely responsible for your on-chain activity, wallet security, and risk assessment. We are not liable for any losses, delays, or outcomes resulting from your use of Protocols or Third-Party Providers.
- b. Our total aggregate liability to you in contract, in tort (including negligence), breach of statutory duty, breach of warranty or otherwise arising out of, or in connection with this Agreement or the Wallet Access Service shall not exceed the total service fees (if any) paid by you in the twelve (12) months preceding your first claim against us in

connection with the Wallet Access Service. We shall not be liable for any indirect, special, incidental, or consequential damages, or any direct or indirect loss of profits, data, or access.

- c. You agree to indemnify, and hold harmless, us, our affiliates, and our and their directors, officers, employees, and agents against any claim or loss arising from your breach of these terms or misuse of the Wallet Access Service.

11. Risks Use of the Wallet Access Service and interaction with Protocols involves significant risks, including potential loss of Digital Assets. You should not use the Wallet Access Service or interact with Protocols unless you understand and accept these risks. By using the Wallet Access Service, you acknowledge the potential risks associated with Protocols, and Digital Assets and the use of or participation in Protocols and related activities, which include, but are not limited to:

- a. **Risk Associated with Protocols and Downstream Protocols.** As Digital Assets are based on blockchain protocols, any malfunction, breakdown or abandonment of the Protocol or Downstream Protocol or other technological difficulties may have a material adverse effect on or prevent access to or use of Digital Assets. These include, but are not limited, to the non-exhaustive list set out below:
 - i. ineffectiveness of the informal groups of developers contributing to the protocols;
 - ii. ineffectiveness of the network validators, miners, block producers, and/or of the consensus mechanisms to secure a blockchain network against confirmation of invalid transactions;
 - iii. disputes among the developers or validators;
 - iv. changes in the consensus or validation schemes that underlie a blockchain network, including, but not limited to, shifts between so-called “proof of work” and “proof of stake” schemes which negatively affect the blockchain network;
 - v. the failure of cybersecurity controls or security breaches of a blockchain network;
 - vi. undiscovered technical flaws in a blockchain network;
 - vii. the development of new or existing hardware or software tools or mechanisms that could negatively impact the functionality of the systems;
 - viii. decrease in value of Digital Assets associated with a blockchain network; and
 - ix. infringement of intellectual property rights by a blockchain network’s participants.
 - x. any malfunction, breakdown, abandonment, unintended function, unexpected functioning of or attack on the Protocol or Downstream Protocol may have an adverse effect on Digital Assets transferred to it, including causing the smart contracts to malfunction or function in an unexpected or unintended manner.
- b. **Regulatory Risks.** Regulatory actions could negatively impact the Protocol, Downstream Protocol or the development or deployment of decentralized finance

(“DeFi”) strategies or smart contracts in various ways. In such a case, there is a risk that you and PWLLC may need to pause or restructure the collaboration.

- c. **Weaknesses or Exploitable Breakthroughs in the Field of Cryptography.** Advances in cryptography, or technical advances such as the development of quantum computing, could present risks to cryptocurrencies, Protocols and Downstream Protocols by rendering ineffective the consensus mechanism that underpins the protocol, which could result in the theft, loss or decreased utility of DeFi strategies or smart contracts. Smart contracts, blockchain application software and blockchain platform protocols are still in an early development stage and relatively unproven.
- d. **Unanticipated Risks.** Cryptographic tokens and smart contracts are a relatively new and comparatively untested technology. There are risks that we cannot anticipate. Further risks may materialize as unanticipated combinations or variations of the discussed risks or the emergence of new risks.
- e. **Smart Contracts Risks.** A smart contract is an open-source autonomous computerized algorithm capable of executing code to implement the terms of an agreement. Smart contracts create a variety of new risks to you with no legal recourse, including, but not limited to, coding errors (where an error in the implementation of the smart contract causes financial loss to the you), rug pulls (where the smart contract developers intentionally create backdoors in the code to withdraw funds or cause other losses), governance issues (where the holders of the governance Digital Assets vote to take a decision which negatively affects the value of the funds in the smart contract), high “gas” fees (where the transaction fees to execute the smart contract climb to high levels due to demand), etc.
- f. **Bridging and Wrapping Risks.** Use of wrapped, bridged, or otherwise synthetic representations of Digital Assets - including assets such as Wrapped Bitcoin (WBTC) or similar custodian-dependent tokens - may result in loss of peg or parity with the underlying asset, non-redeemability, or inability to unwrap or convert due to bridge failure, custodian insolvency or misconduct, changes in custodian ownership or control, smart contract failure, regulatory action, or changes in the custodian's operations or reserves. Any such divergence or failure may cause partial or total loss of value.

Additionally, Strategies may involve the conversion, deployment, or exchange of your deposited Digital Assets into other Digital Assets, including stablecoins, wrapped tokens, liquid staking tokens, or other derivative or synthetic instruments. The assets held within a Strategy at any given time may therefore differ from the asset you originally deposited. These downstream assets carry their own independent risks, including but not limited to issuer or custodian default, loss of peg, redemption restrictions, liquidity constraints, and regulatory action. Any of the foregoing could result in a Strategy returning less value than the amount originally deposited, up to and including total loss.

- g. **Redemption Controls and Delays.** Access to, redemption from, or withdrawal of Digital Assets from Protocols or Downstream Protocols may be delayed, limited, or prevented by protocol-level controls, including cooldown periods, queues, redemption gates, rate limits, pauses, or similar mechanisms. These controls are outside our control and may apply without notice.

- h. **Consequences of Loss.** If a Protocol, Downstream Protocol, or associated smart contract fails, or if assets are lost due to liquidity shortfall, bad debt, exploit, or other technical or governance events, you may not recover your Digital Assets. We do not guarantee or insure the return of any Digital Assets or the performance of any Protocol or Downstream Protocol.
- i. **Price and Display Divergence.** Displayed prices, yields, notional balances, or other informational outputs may be indicative, stale, or sourced from third parties and may not reflect on-chain execution or settlement outcomes. Amounts ultimately returned from Protocols or Downstream Protocols may differ materially from displayed or notional values.
- j. **DeFi Application Risks.** Each Downstream Protocol holds specific risks, which include:
 - i. Liquidity risks.
 - ii. Risks related to the malfunctioning of algorithms.
 - iii. Other technical risks: the smart contracts not behaving as intended by the developers. It is very difficult to code error-free, so there is always some level of technical risk that exists, even after the code has been audited.
 - iv. Risk related to external information influencing how the smart contracts operate to the detriment of other users: for example, an oracle could provide malicious data, and an administrator could change a system parameter or governance procedures could be co-opted.
 - v. Economic incentive failure risk: Many Downstream Protocols, especially in the DeFi space, rely on economic incentives to encourage network participants to perform certain actions. These incentives could fail to encourage the right behavior or not be adequate enough, leading to other users being adversely impacted.
- k. **Liquid Staking.** Staking Tokens are receipt tokens that allow users to directly participate in staking while also maintaining the ability to use their Staking Tokens elsewhere in DeFi ecosystems or transfer ownership of their original staked tokens. Staking Tokens provide increased liquidity and capital efficiency to the DeFi markets, but they are a new product with an uncertain legal and regulatory regime. The primary risk of liquid staking is that the value of any Staking Tokens may de-peg from the value of the original or underlying tokens. Staking Tokens are not automatically pegged to the original or underlying staked tokens through algorithmic means and may trade freely on the market, where prices are determined by market forces. This means that Staking Tokens may start selling for much lower than their original or underlying tokens during a bear market or a liquidity crunch. For example, in June 2022, the stETH token, based on Ethereum (ETH), also depegged about 7% from ETH because of market pressures.
 - i. Staking Tokens have an uncertain legal and regulatory regime in some jurisdictions and there may be significant changes and developments in the future.
 - ii. Finally, Staking Tokens have lower liquidity compared to the regular or underlying tokens. While the Staking Token market has grown significantly,

Staking Tokens do not benefit from the same liquidity as the underlying staked tokens.

- l. Immutable Transaction Risks.** Blockchain is a chronologically ordered ledger of all validated transactions across certain digital asset networks. It is shared among users for each applicable digital asset network. Each “block” in the “chain” contains a confirmed transaction. Just as the blockchain creates a public record of certain digital asset network transactions, it also creates an immutable one. Transactions that have been verified, and thus recorded as a block on the blockchain, generally cannot be undone. Even if the transaction turns out to have been in error, or due to theft of your Digital Assets, the transaction is not reversible. The blockchain may be susceptible to hacking or other attacks that seek to manipulate the ledger. Blockchains that are less established or not as widely used are typically more susceptible to these types of attacks.
- m. Failure of Blockchain Projects.** Blockchain technologies, Digital Assets, and digital asset sales are rapidly evolving areas from a regulatory, technology and utility perspective. Due to the technically complex nature of the blockchain networks and platforms created by new projects and companies, they may from time to time face unforeseeable and/or unresolvable difficulties. Accordingly, the development of the blockchain networks or platforms could fail, terminate or be delayed at any time for any reason (including, but not limited to, the lack of funds). Such development failure or termination may render the Digital Asset-assets untransferable, reduced, with no utility or obsolete.
- n. Open-Source Networks Risks.** Open-source blockchain networks use a cryptographic protocol to govern the peer-to-peer interactions between computers. The code that sets forth the protocol is typically informally managed by a development team known as the core developers. Some of the inherent risks include:

 - i. core developers may propose amendments to a network’s source code through software upgrades that alter the protocols and software of the network and the properties of the underlying Digital Asset-assets. To the extent that a significant majority of the users on a network install such software upgrade, the network would be subject to new protocols and software that may adversely affect its value;
 - ii. core developers and contributors are generally not directly compensated for their contributions in maintaining and developing the network protocol. Consequently, there is a lack of financial incentive for developers to maintain or develop the blockchain network and the core developers may lack the resources to adequately address emerging issues with the protocol. Even if a protocol is currently supported by core developers, there can be no guarantee that such support will continue or be sufficient in the future;
 - iii. the source codes may contain bugs, defects, inconsistencies, flaws or errors, which may disable some functionality, create vulnerabilities or cause instability in the network.
- o. Price Manipulation Risks.** The number of Digital Assets traded for a given network and the number of venues available for trading may be very low, making the market price of

the Digital Assets more easily manipulated. While the risk of market manipulation exists in connection with any markets, the risk may be greater for Digital Assets.

- p. **Fluctuation in Prices.** The price of Digital Assets has fluctuated widely over the past few years and is likely to continue to experience significant price fluctuations. Digital asset markets have historically experienced extended periods of flat or declining prices, in addition to sharp fluctuations. The global market for Digital Assets is characterized by supply and demand constraints that generally are not present in the markets for commodities or other assets such as gold and silver. There is no assurance that Digital Assets will maintain their long-term value in terms of future purchasing power or that the acceptance of digital asset payments by mainstream retail merchants and commercial businesses will continue to grow.
- q. **Loss of Private Keys.** A private key, or a combination of private keys, is necessary to control and dispose of Digital Assets stored in digital wallets or vaults. Accordingly, loss of requisite private keys associated with these digital wallets or vaults will result in the loss of such Digital Assets, and the private keys will not be capable of being restored by the network.
- r. **Malicious Actors.** If a malicious actor or botnet obtains control of more than fifty percent (50%) of the processing power on a network, such actor or botnet could manipulate the network. If a malicious actor or botnet (a volunteer or hacked collection of computers controlled by networked software coordinating the actions of the computers) obtains a majority of the processing power dedicated to mining on a network, it may be able to alter the blockchain on which the network and most transactions rely by constructing fraudulent blocks or preventing certain transactions from completing in a timely manner, or at all. The malicious actor or botnet could control, exclude or modify the ordering of transactions. The malicious actor could “double-spend” its own Digital Assets and prevent the confirmation of other users’ transactions. To the extent that such a malicious actor or botnet did not yield its control of the processing power on the network or the community did not reject the fraudulent blocks as malicious, reversing any changes made to the blockchain may not be possible.
- s. **Cryptographic Protection.** Cryptography is evolving, and security, in general, cannot be guaranteed to exist at all times. Advancement in cryptography technologies and techniques, including, but not limited to, code-cracking, hacking and the development of artificial intelligence or quantum computers, could be identified as risks to all cryptography-based systems, including Digital Assets themselves. When such technologies or techniques are applied, adverse outcomes such as theft, loss, disappearance, destruction, devaluation or other compromises of Digital Assets may result. Hackers or other malicious groups or organizations may attempt to interfere with the Digital Assets in a variety of ways, including, but not limited to, malware attacks, denial of service attacks, consensus-based attacks, Sybil attacks, smurfing and spoofing. Further, many networks rely on open-source software and un-permissioned distributed ledgers. Accordingly, anyone may intentionally or unintentionally compromise the core infrastructural elements of a network and its underlying technologies. Consequently, such compromise may result in the loss of Digital Assets. Therefore, the security of Digital Assets cannot be guaranteed, due to the unpredictability of cryptography or security innovations or interference by hackers or other malicious groups or organizations.

- t. **Risks of Participation in DeFi Protocols and Related Activities.** Participation in DeFi protocols, applications, or activities involves additional and distinct risks from those associated with holding or transacting in Digital Assets. DeFi systems are often experimental, open-source, and highly composable, meaning that the functioning of one protocol can depend on the reliability or integrity of others. Failures or vulnerabilities in any component protocol, liquidity pool, or integration partner may have cascading effects on your' positions or Digital Assets.

You should be aware of the following non-exhaustive risks specific to DeFi participation:

- iv. **Protocol Interdependence and Composability Risk:** DeFi protocols frequently interact with other smart contracts or liquidity sources. A malfunction, exploit, or change in one linked protocol may adversely affect the performance or security of another.
- v. **Governance and Administrative Risks:** DeFi protocols may rely on decentralised or community-based governance mechanisms. Decisions by governance token holders or administrators, such as contract upgrades, parameter changes, or fee adjustments, may negatively impact you or result in loss of value.
- vi. **Liquidity and Market Depth Risks:** Liquidity in DeFi protocols can be volatile and dependent on market incentives. Sharp withdrawal activity or the removal of liquidity providers can lead to slippage, loss of access, or inability to unwind positions at expected values.
- vii. **Third-Party Integration Risks:** Interfaces, wallets, data oracles, and analytic tools used to access DeFi protocols may be operated by unaffiliated third parties. Any security failure, data inaccuracy, or interruption in these tools may result in financial loss or transaction failure.
- viii. **Automated Liquidation and Slashing Risks:** Certain DeFi mechanisms employ automatic liquidation or slashing logic triggered by on-chain conditions or oracle data. You may lose part or all of their contributed assets due to automated actions without prior notice or recourse.
- ix. **Regulatory and Jurisdictional Risks:** DeFi protocols may operate without a defined legal entity or clear regulatory framework. Regulatory developments could impact the ability to access, use, or continue supporting DeFi activities, and may require changes to participation models or user interfaces.

You should evaluate your technical understanding and risk tolerance before engaging with Protocols. Participation is entirely at your discretion and responsibility, and there is no assurance that any DeFi system will function as intended or maintain continued availability.

Annex O

Kraken Flexline Terms

Our provision of Crypto Borrowing Products is not regulated.

1. Introduction

- a. This Annex (“**Crypto Borrowing Annex**”) governs your access to and use of one or more crypto-asset borrowing services made available to you by us, including but not limited to Kraken Flexline and Kraken Borrow (together, “**Crypto Borrowing Products**”). Crypto Borrowing Products allow you to borrow supported Digital Assets and, where available, Fiat Currency, from us on a collateralised basis, against the provision of eligible collateral assets (each such loan, a “**Loan**”, and such collateral, “**Collateral Assets**”) through your account (your “**Borrowing Enabled Account**”).
- b. Terms defined in this Crypto Borrowing Annex shall have the meanings ascribed to them in this Crypto Borrowing Annex and shall apply solely for the purposes of interpreting this Crypto Borrowing Annex. To the extent that the same or similar terms are defined elsewhere in the Terms, the definitions in this Crypto Borrowing Annex shall prevail in respect of this Crypto Borrowing Annex, and the definitions in such other parts shall prevail in respect of those other parts.
- c. Crypto Borrowing Products are provided by Payward Trading Ltd, a British Virgin Islands company (“**Payward Trading**”). If you reside in the United States of America, Crypto Borrowing Products are instead provided by Payward Accredited LLC (“**Payward Accredited**”). Payward Trading and Payward Accredited are our affiliates and are deemed included in the terms “we”, “us”, “our”, “Kraken” or “Payward” throughout the Terms.
- d. This Crypto Borrowing Annex incorporates by reference and supplements the Kraken.com Terms of Service (excluding all Annexes thereto, the “Terms”) as if the entirety of the Terms were set forth in this Crypto Borrowing Annex. Capitalized terms used but not defined in this Crypto Borrowing Annex have the meanings given to them elsewhere in the Terms. In the event of a conflict between the Terms and this Crypto Borrowing Annex, the terms of this Crypto Borrowing Annex will control solely to the extent of the conflict and solely with respect to the subject matter of this Crypto Borrowing Annex.

2. Important Information

- a. **Risk acknowledgement.** Crypto Borrowing Products involve significant risks and the potential for substantial financial loss. By using Crypto Borrowing Products, you represent and warrant that you have read and fully understood the associated risk in Section 10 of this Crypto Borrowing Annex, and any supplementary disclosures in the Terms, before entering into any Loan.
- b. **Geographic availability.** Crypto Borrowing Products are only available to clients located in certain countries and Loans denominated in Fiat Currency are only available to clients located in the United States of America. We may vary the list of such countries from time to time to comply with any applicable legal or regulatory obligations and/or our internal policies and requirements. You must not access or use Crypto Borrowing Products if you are located in, are a national or resident of, or are otherwise subject to the laws of any jurisdiction in which we do not offer Crypto Borrowing Products, or any jurisdiction where your use of Crypto Borrowing Products would be unlawful or otherwise violate any applicable law of that jurisdiction.
- c. **Eligibility.** Different Crypto Borrowing Products may have different eligibility requirements, as notified to you via the Platforms. By using Crypto Borrowing Products you represent and warrant that.
 - i. you are acting wholly for the purposes of commercial, business, or professional purposes, specifically for profit generation, and not wholly or partly for personal, family, or household purposes;

- ii. you understand, acknowledge, and agree that, as a result of the foregoing, certain statutory protections, remedies, and rights that might otherwise be available to you will not apply to you in connection with your use of Crypto Borrowing Products;
- iii. you acknowledge that you have had the opportunity to obtain independent legal, tax, and financial advice prior to using Crypto Borrowing Products and entering into any Loan, and that you fully understand and accept the legal and financial implications and risks described in this Crypto Borrowing Annex;
- iv. you acknowledge and confirm that you independently initiated your use of Crypto Borrowing Products, for the express purpose of entering into Loans based on your own assessment of your financial position, objectives, and risk tolerance; and
- v. you will not use Crypto Borrowing Products if doing so would cause the us to violate any applicable law or policy, including prohibited or high-risk use cases or industries identified by us from time to time;
- vi. you have full power and authority to enter into Loans and this Crypto Borrowing Annex, and if you are acting on behalf of another person or entity, (a) all references to “you” throughout these Terms (other than in this Section 2) will include that person or entity, (b) you represent that you are authorized to accept this Crypto Borrowing Annex on that person’s or entity’s behalf, and (c) in the event you or that person or entity violates this Crypto Borrowing Annex, that person or entity also agrees to be responsible to us.
- vii. if you are in the United States, you meet the conditions for certification as an Eligible Contract Participant (ECP) as defined under Section 1a(18) of the Commodity Exchange Act, will continue to do so on an ongoing basis, and will provide us with such information as we reasonably request to be able to verify that you meet such conditions.

3. Using Crypto Borrowing Products

- a. **Submitting a Loan Request.** You may submit a request to enter into a Loan via the Platforms (each, an “**Order**”). The types of Digital Assets and (where available) Fiat Currency that may be borrowed pursuant to a Loan are determined by us at our discretion, may be updated from time to time, and will be made available to you via the Platforms. When submitting an Order, you must specify and confirm the parameters applicable to your requested Loan, including:
 - i. the type and amount of Digital Asset or Fiat Currency you wish to borrow (being the principal amount of the Loan, or “**Borrowed Asset**”);
 - ii. the Interest (as defined in Section 9) or annual percentage rate of the Loan;
 - iii. the duration of the Loan, which may be fixed or open-ended (the “**Term**”); and
 - iv. any other parameters displayed via the Platforms from time to time, including collateral type, and applicable leverage or margin levels;

(together, the “**Parameters**”).
- b. **Our Discretion.** Submission of an Order does not oblige us to enter into a Loan with you. We may, at our sole discretion, accept, reject, limit, or cancel any Order, including based on eligibility criteria, collateral sufficiency, risk limits, market conditions, or legal or regulatory considerations.

- c. **Formation of a Loan.** A Loan is formed only when Kraken accepts your Order and makes the Borrowed Asset available to you by crediting it to your Borrowing Enabled Account. At that point, a binding bilateral loan agreement is formed between you and us on the terms set out in this Crypto Borrowing Annex and the applicable Parameters, including the applicable Fees.
- d. **No Advice; Self-Directed Use.** Any information displayed on the Platforms in connection with Crypto Borrowing Products, including indicative rates, collateral ratios, or loan terms, is provided for informational purposes only and does not constitute investment advice, credit advice, or a recommendation to enter into any Loan. You are solely responsible for determining whether to submit an Order and for selecting the Parameters.
- e. **Account and Platform Requirements.** To use Crypto Borrowing Products, you must maintain an active Account in good standing and comply at all times with this Crypto Borrowing Annex and the Terms and any operational or technical requirements applicable to the Platforms. Kraken may impose limits on usage, functionality, or availability of Crypto Borrowing Product in respect of your Borrowing Enabled Account at any time.
- f. **Borrowing Limits.** Our ability to submit an Order and to select the Parameters applicable to a Loan is subject to limits and restrictions determined by Kraken from time to time (the “**Borrowing Limits**”). Without limitation, Kraken may impose maximum or minimum borrow amounts, maximum or minimum Term lengths, or other restrictions on the Parameters that may be selected or applied to an Order. Applicable Borrowing Limits will be displayed to you via the Platforms. Borrowing Limits and other Parameter restrictions may be based on factors including, without limitation, the type and value of Collateral Assets, the type and value of the Borrowed Asset, applicable leverage or margin ratios, market conditions, Kraken’s internal risk management criteria, and Kraken’s legal or regulatory obligations. Borrowing Limits are monitored on an ongoing basis and may be amended, reduced, suspended, or removed by Kraken at any time where Kraken reasonably considers it appropriate. Where an applicable Borrowing Limit is reached, exceeded, or otherwise not satisfied, Kraken may prevent you from placing an Order, refuse to accept an Order, restrict your ability to increase or decrease an existing Loan, or otherwise restrict or suspend your use of Crypto Borrowing Products.

4. Collateral Requirement

- a. **Obligation to Provide Collateral.** As a condition to entering into and maintaining any Loan, you must post and maintain eligible Collateral Assets in your Borrowing Enabled Account in the form and amounts determined by Kraken from time to time (the “**Collateral Requirement**”). The Collateral Requirement represents the amount and type of Collateral Assets required to open and support a Loan, taking into account any applicable Borrowing Limits, and will be shown to you via the Platforms in connection with your Order.
- b. **Eligible Collateral Assets.** Collateral Assets may include such Digital Assets or Fiat Currency designated by us as eligible collateral from time to time. We may add, remove, suspend, or apply asset-specific haircuts or limits to Collateral Assets at our sole discretion.
- c. **Valuation of Collateral.** Collateral Assets will be valued on a continuous basis at their fair market value as determined by us, including by reference to one or more internal or external pricing sources, and subject to applicable discounts, haircuts, liquidity adjustments, and conversion costs. Kraken may apply different valuation methodologies or adjustments to different types of Collateral Assets.
- d. **Maintenance; Monitoring.** After a Loan has been opened, you must ensure that the value of your Collateral Assets remains at or above the minimum collateral threshold specified by

Kraken to support that Loan on an ongoing basis (the “**Maintenance Margin Requirement**”). The Maintenance Margin Requirement represents the minimum value of Collateral Assets that must be maintained at all times in order to avoid an Event of Default or liquidation. You are solely responsible for monitoring your Collateral Assets and margin level and for taking any action necessary to maintain compliance with the Maintenance Margin Requirement.

- e. **Margin Calls.** If the value of your Collateral Assets falls below the Maintenance Margin Requirement, Kraken may (but is not obliged to) notify you that you are required to post additional Collateral Assets or otherwise reduce your exposure (a “Margin Call”). You acknowledge and agree that Kraken is under no obligation to issue a Margin Call, to provide you with any minimum notice period to satisfy a Margin Call, or otherwise to notify you before exercising its rights under this Crypto Borrowing Annex, including the right to liquidate or realize Collateral Assets. Margin Calls and liquidations may occur at any time, including outside normal business hours. This is because the value of Collateral Assets may fall sharply and rapidly relative to the value of the Borrowed Asset, including outside normal business hours and over very short periods of time, such that any delay in exercising our rights to issue a Margin Call or to liquidate Collateral Assets could result in the value of the Collateral Assets being insufficient to satisfy your Obligations.
- f. **Restrictions.** You may request to transfer, withdraw, or otherwise deal with your Collateral Assets (including any assets constituting Secured Assets for the purposes of this Crypto Borrowing Annex). However, where doing so would, or is reasonably likely to, result in an Event of Default, a breach of the Collateral Requirement, a breach of the Maintenance Margin Requirement, or a breach of any applicable Borrowing Limits in respect of any Loan, you may be required to repay or terminate the relevant Loan (in whole or in part) before such transfer, withdrawal, or other disposition.
- g. **Collateral Requirement Framework.** Kraken may modify the Collateral Requirement, Maintenance Margin Requirement, eligible Collateral Assets, valuation methodology, or applicable haircuts at any time, including with immediate effect, where Kraken reasonably considers such modification necessary due to market conditions, risk management considerations, or legal or regulatory requirements.

5. Security

- a. **No Third-Party Security Interests.** You must not create or permit any security interest, lien, charge, or other encumbrance over any Collateral Assets provided in connection with any Crypto Borrowing Product without Kraken’s prior written consent. You represent and warrant that all such Collateral Assets are free and clear of all liens and encumbrances other than those arising hereunder, and that you have full power and authority to grant the Security Interest described in this Crypto Borrowing Annex.
- b. **Secured Assets.** Any and all Collateral Assets provided by you in connection with any Loan (the “**Secured Assets**”) are held as security on a continuing basis and are subject to a general lien and right of set-off in favour of us for the due performance and discharge of all present and future obligations, liabilities, and amounts owing by you to Kraken in connection with Crypto Borrowing Products, whether actual or contingent, including but not limited to the repayment of any Borrowed Assets, and payment of any Fees, interest, or other charges applicable to any loan or its repayment, Liquidation, or termination, whether by you or by us (the “**Obligations**”).
- c. **Grant of Security Interest.** As continuing security for the Obligations, you hereby pledge, assign and grant to Kraken a first priority security interest over all of your right, title, and

interest in and to the Secured Assets (the “**Security Interest**”). The Security Interest attaches upon the provision of the relevant Loan and continues until all Obligations have been irrevocably satisfied in full. You acknowledge and agree that, where an affiliate of ours holds, custodies, or otherwise controls any Secured Assets on your behalf, that entity is entitled to exercise any of our rights set out in this Section 5 to enforce the Security Interest or to give effect to any of our other rights under, and in accordance with, this Crypto Borrowing Annex and the Terms.

- d. **Nature of Security.** The Security Interest is a continuing security and is not affected by any intermediate payment, settlement, compromise, or release of any Obligation, nor by any amendment, variation, extension, or renewal of any Loan.
- e. **Maintenance and Perfection.** You must take all actions reasonably required by us to maintain the validity, enforceability, perfection, and priority of the Security Interest and to enable us to exercise or protect its rights in respect of the Secured Assets, including, but not limited to, (i) promptly discharging all liens on the Secured Assets other than our security interest or any other liens permitted herein and (ii) executing and delivering financing statements, control agreements, instruments of pledge, notices and assignments, in each case, in form and substance reasonably satisfactory to us, relating to the creation, validity, perfection, maintenance or continuation of our security interest in and lien on the Secured Assets under the UCC or other applicable law. We may take any action we reasonably consider necessary to perfect, maintain, or enforce the Security Interest, including through control, segregation, or internal book-entry arrangements. You hereby authorize us to file against you one or more financing, continuation or amendment statements pursuant to the UCC or other applicable law in form and substance reasonably satisfactory to us, provided that the description of the collateral in any such statement is limited to only the Secured Assets.
- f. **Enforcement of Security Interest.** Kraken may enforce the Security Interest without prior notice or demand if:
 - i. an Event of Default occurs;
 - ii. the value of the Secured Assets falls below the Maintenance Margin Requirement; or
 - iii. enforcement is otherwise permitted under this Crypto Borrowing Annex or the Terms.
- g. **Exercise of Rights.** In enforcing the Security Interest, Kraken may, without limitation and without prior notice:
 - i. demand and receive all amounts due in respect of any Obligation;
 - ii. exercise any rights you would otherwise have in respect of the Secured Assets; and
 - iii. apply, set off, convert, appropriate, or transfer any Secured Assets in or towards satisfaction of the Obligations, in such order and manner as Kraken reasonably determines.
- h. **Authorization.** You irrevocably authorize Kraken to sell, appropriate, realize, or otherwise dispose of any Secured Assets and to apply the proceeds in satisfaction of the Obligations, including costs and expenses incurred in connection with enforcement. Where Kraken exercises a right of appropriation, Kraken may determine the value of the Secured Assets in good faith and in a commercially reasonable manner.
- i. **Set-Off.** Without limiting any other rights, Kraken may set off any Obligations against any balances, assets, or proceeds held by us for your benefit, whether related to Crypto Borrowing

Products or otherwise, and may convert assets as reasonably necessary to effect such set-off.

6. Liquidation

- a. **Trigger.** Kraken may liquidate, sell, convert, or otherwise realize any Secured Assets (a “**Liquidation**”) if:
- i. the value of your Collateral Assets falls below the Maintenance Margin Requirement, or you attempt to take any action that would be reasonably likely to result in the value of your Collateral Assets falling below the Maintenance Margin Requirement;
 - ii. an Event of Default occurs; or
 - iii. a Loan reaches its Term and remains outstanding.

Such Liquidation may result in the partial or full termination of one or more Loans.

- b. **Notice.** You acknowledge and agree that Kraken is under no obligation to provide you with prior notice of any Liquidation, Margin Call, or enforcement action. Liquidations may occur automatically, without notice, and at any time, including outside normal business hours.
- c. **Liquidation Process and Discretion.** In carrying out a Liquidation, we may, at our sole discretion and without limitation:
- i. determine the timing, method, order, and extent of any sale, conversion, or realization of Secured Assets;
 - ii. sell, convert, or otherwise dispose of Secured Assets at a price which we consider appropriate in the circumstances, including where market conditions are volatile, illiquid, or dislocated, and apply any proceeds of Liquidation in or towards satisfaction of the Obligations.

You acknowledge and agree that we have no obligation to obtain any particular price, minimize losses, or optimize outcomes for you when carrying out a Liquidation. Market conditions, liquidity constraints, and execution timing may result in Liquidation at adverse prices. You will be responsible for any shortfall in your account after such Liquidation.

7. Default

- a. **Default; Consequences.** Where the value of your Collateral Assets falls below the applicable Maintenance Margin Requirement for one or more Loans, or you otherwise are, or in our reasonable determination are likely to be, unable to meet your Obligations in respect of one or more Loans, including your obligations to repay the Loan, maintain required Collateral Assets, or pay Fees, interest, or other charges when due (an “**Event of Default**”), Kraken may, without prior notice and without prejudice to any other rights or remedies:
- i. declare any or all Obligations immediately due and payable;
 - ii. suspend, restrict, or terminate your access to any Crypto Borrowing Product;
 - iii. enforce the Security Interest in accordance with Section 5;
 - iv. liquidate or realize Secured Assets in accordance with Section 6; and/or
 - v. exercise any rights of set-off or netting available under this Crypto Borrowing Annex or

the Terms.

- b. **No Waiver.** Kraken's failure or delay in exercising any right or remedy upon an Event of Default does not constitute a waiver of that Event of Default or of any subsequent Event of Default.
- c. **Payment to Kraken.** If the value of your Collateral Assets ever becomes less than the value of your Borrowed Assets (i.e., "negative equity"), as determined by us, whether as a result of liquidation, market conditions, or otherwise, you agree to pay the full amount of funds owed to Kraken within 48 hours of demand. You may not trade or withdraw on a negative equity account. Your obligation to repay any negative balance or deficiency shall survive the termination of any Loan and this Crypto Borrowing Annex.

8. Repayment, Termination, and Maturity

- a. **Term and Maturity.** Each Loan is entered into for the Term specified in the applicable Order. Unless terminated earlier in accordance with this Crypto Borrowing Annex, a Loan will mature automatically at the end of its Term (the "**Maturity Date**"). Where the Term selected by you is open-ended and not fixed, the Loan shall have no Maturity Date and shall continue until closed by you or terminated by us in accordance with this Crypto Borrowing Annex.
- b. **Repayment at Maturity.** On the Maturity Date, you must repay the Loan together with any accrued but unpaid Fees, interest, and other charges applicable to the Loan.
- c. **Early Repayment.** You may, subject to any restrictions shown on the Platforms, repay a Loan in whole or in part prior to the Maturity Date. Any early repayment shall not relieve you of the obligation to pay any Fees (including Early Repayment Fees) or interest that have accrued or are otherwise payable in accordance with this Crypto Borrowing Annex. Where the Term of a Loan is open-ended and not fixed, you may close the Loan at any time, whether before or after notice of a change to the Interest rate under Section 9, without incurring an Early Repayment Fee.
- d. **Method of Repayment.** Repayment of the Loan is required to be made in the same type of Digital Asset or Fiat Currency as the Borrowed Asset. Where you do not hold sufficient balances of the Borrowed Asset in your Borrowing Enabled Account to satisfy any Obligations when due, you irrevocably authorize Kraken to apply, convert, or realize other Collateral Assets in order to satisfy such obligations, which may incur conversion fees as detailed in Section 9 of this Crypto Borrowing Annex.
- e. **Termination by Us.** Without prejudice to Kraken's rights under Sections 5 (Security), 6 (Liquidation), and 7 (Default), we may terminate and accelerate repayment of a Loan, in whole or in part, prior to the Maturity Date (where specified), where:
 - i. such repayment or termination is required in order for Kraken or any Kraken Affiliate to comply with applicable law, regulation, sanctions, or regulatory guidance;
 - ii. we have notified you of a material change to, or discontinuation of, a Crypto Borrowing Product, either generally or in relation to you specifically, which requires you to repay, terminate, or otherwise close one or more outstanding Loans, and you have failed to do so within the applicable notice period (if any); or
 - iii. we have made reasonable but unsuccessful attempts to contact you in connection with your Loan, your Account has been inactive for a period that we consider significant in the circumstances, and we have made a reasonable determination that allowing the

Loan to continue would materially and adversely affect the value of your Collateral Assets.

- f. **Effect of Termination or Repayment.** Upon the termination or repayment in full of a Loan:
 - i. all outstanding Obligations in respect of that Loan become immediately due and payable;
 - ii. Kraken may exercise its rights under Sections 5 (Security) and 6 (Liquidation) to enforce the Security Interest and liquidate Secured Assets as necessary.
- g. **No Obligation to Renew or Extend.** We have no obligation to renew, roll over, or extend any Loan beyond its Term.
- h. **Suspension of Liquidation, Interest.** We may suspend any Loan, including the Liquidation or charging of Interest in respect of a Loan, in order for us or any of our Affiliates to comply with applicable law, regulation, sanctions, or regulatory guidance.

9. Fees, Interest, and Charges

- a. **General.** We may impose fees, interest, or other charges in connection with any Crypto Borrowing Product and any Loan, including Interest, Origination Fees, Early Repayment Fees, Liquidation Fees, and Currency Conversion Fees (together, “**Fees**”). Fees shall be imposed or charged at the applicable rates and methods of computation specified in the Fee Schedule, and form part of, and be binding terms of, the relevant Loan once your Order is accepted. Certain Fees may be determined by reference to the Parameters selected by you at the time the Order is placed. Payment of any Fees by you forms part of the Obligations and may be debited from your Borrowing Enabled Account.
- b. **Interest.** Each Loan bears interest at the rate displayed to you via the Platform at the time your Loan Request is submitted, which accrues on the outstanding principal amount of the Loan, and is charged and payable by you periodically every four (4) hours during the Term (“**Interest**”). Once your Order is accepted by us, such Interest rate shall form part of and be binding terms of the relevant Loan. We may display to you via the platform the annualised Interest rate for convenience, however the binding Interest rate shall be that rate which accrues, and is charged and payable by you periodically every four (4) hours during the Term. Interest is payable in-kind, in the same type of Digital Asset as the Borrowed Asset.
- c. **Interest Changes.** Where the Term of a Loan is open-ended and not fixed, Kraken may change the applicable Interest rate by giving you not less than thirty (30) days’ prior written notice of the modified rate and the date and time from which it shall take effect (a “**Rate Change Notice**”). Upon expiry of the notice period specified in the Rate Change Notice, the modified Interest rate shall become binding on you and your Loan shall, from the date and time specified in the Rate Change Notice, accrue Interest at the modified rate. The effect of the foregoing is to vary the existing terms of your Loan, such that the modified rate forms part of and becomes a binding term of the Loan.

We may modify the Interest rate for commercial reasons, including: (a) changes to our cost of capital, or to the cost to us of obtaining, holding, or maintaining the assets we lend to you, including changes in market reference rates or wholesale funding costs in the relevant Digital Asset (for example, where it costs us more to lend you assets, that may result in an increase to the Interest rate, and vice versa); and (b) changes in demand for loans (for example, where there is higher demand for assets, that may result in an increase to the Interest rate, and vice versa); and (c) changes in the availability of the Borrowed Asset to us (for example, where the

Borrowed Asset becomes scarcer or less liquid in the market, that may result in an increase to the Interest rate, and vice versa); or (d) other reasons not listed here, provided that this is a reasonable and proportionate response to the relevant event that has prompted the Interest rate change.

We shall not issue Rate Change Notices increasing the Interest rate applicable to Loans denominated in a given Borrowed Asset more frequently than once in any thirty (30) day period, measured from the effective date of the most recent Rate Change Notice that increased the Interest rate applicable to Loans denominated in that Borrowed Asset. For the avoidance of doubt, this restriction does not apply to Rate Change Notices that decrease the Interest rate, which may be issued at any time.

Where, after we have issued a Rate Change Notice in respect of Loans denominated in a Borrowed Asset but before the modified Interest rate has taken effect, you (i) enter into a new Loan with an open-ended Term in respect of that Borrowed Asset, or (ii) increase the principal amount of an existing Loan with an open-ended Term in respect of that Borrowed Asset, then provided that information about the modified Interest rate and the date and time from which it shall take effect is displayed to you via the Platforms at the time you submit the relevant Order or request to increase the Loan: (a) the Rate Change Notice shall be deemed to have been given to you at that time in respect of, as applicable, the new Loan or the increased principal amount of the existing Loan; and (b) the modified Interest rate shall, on the date and time specified in the Rate Change Notice, form part of and become a binding term of, as applicable, the new Loan or the increased Loan.

- d. **Origination.** We may charge a one-time origination fee in connection with the opening of a Loan (“**Origination Fee**”). Any Origination Fee will be disclosed to you via the Platforms prior to submission of your Order.
- e. **Early Repayment.** Where you repay a Loan prior to its Maturity Date, Kraken may charge an early repayment fee as displayed to you via the Platform and/or Site from time to time (“Early Repayment Fee”). Any such Early Repayment Fee is payable in-kind, in the same type of Digital Asset as the Borrowed Asset. For the avoidance of doubt, no Early Repayment Fee shall be payable in respect of the closure or repayment of a Loan with an open-ended Term.
- f. **Liquidation.** We may charge a fee in connection with the realization of Secured Assets in connection with any Liquidation (“**Liquidation Fee**”). Liquidation Fees are payable in-kind, in the same Digital Asset as the Borrowed Asset, form part of the Obligations, and may be deducted from the proceeds of any Liquidation or otherwise debited from your Borrowing Enabled Account.
- g. **Currency Conversion.** Where you do not hold sufficient balances of the Borrowed Asset in your Borrowing Enabled Account to satisfy any Obligations when due, you authorize us to convert other assets in your Borrowing Enabled Account, including Collateral Assets, into the Borrowed Asset. In circumstances where multiple asset types are available for conversion, Kraken may apply a conversion priority framework determined by us and disclosed to you via the Platforms, as amended from time to time. This framework may give preference to the conversion of certain asset types over others (for example, converting available Fiat Currency before converting Digital Assets). Where we convert other assets to satisfy Obligations, such conversion shall not constitute a discharge of those obligations unless and until we have applied the relevant amounts in accordance with this Crypto Borrowing Annex. Conversions may occur at prices and rates determined by Kraken in good faith and in a commercially reasonable manner. You acknowledge and agree that Kraken has no obligation to obtain any

particular price, minimize losses, or optimize outcomes for you in connection with any such conversion, and that market conditions, liquidity constraints, and execution timing may result in adverse pricing. We may charge you a fee in connection with such conversions (“**Currency Conversion Fee**”), which may be deducted from the proceeds of any sale of Collateral Assets or otherwise debited from your Borrowing Enabled Account.

- h. **Tax treatment.** For US tax purposes, in the case of a Loan, it is intended that, absent a change in law or administrative practice to the contrary, the transfer and delivery of the Digital Assets or Fiat Currency shall be treated as a loan and not be treated as an exchange of property for other property differing materially in kind or extent (within the meaning of Section 1001 of the Internal Revenue Code of 1986, as amended, as well as the corresponding Treasury Regulations). You are solely responsible for determining the tax treatment and paying any taxes arising from your use of Crypto Borrowing Products. You remain responsible for any taxes required by applicable law in connection with payments you make under a Loan. Any Fees (including Interest) imposed by us are determined net of all taxes.

10. Risks

- a. **General Risk Acknowledgement.** You acknowledge and agree that using Crypto Borrowing Products and entering into Loans involves significant risk and may result in substantial or total loss of your Collateral Assets. Crypto Borrowing Products are suitable only for users who understand and are able to bear these risks.
- b. **Market Risk.** Digital Asset markets are highly volatile and prices may fluctuate rapidly and unpredictably. Movements in the value of the Borrowed Asset or Collateral Assets may occur over very short periods of time and may materially and adversely affect your position. Past performance or historical data does not constitute a reliable indicator of future performance.
- c. **Liquidation Risk.** If the value of your Collateral Assets falls below the applicable Maintenance Margin Requirement, or if Kraken otherwise exercises its rights under this Crypto Borrowing Annex, your Collateral Assets may be liquidated without prior notice. Liquidation may occur automatically, at any time, including outside normal business hours, and may result in the loss of some or all of your Collateral Assets.
- d. **Variable Interest Rate Risk.** Where the Term of your Loan is open-ended, the Interest rate applicable to your Loan is variable and may be increased by Kraken on not less than thirty (30) days’ prior notice in accordance with Section 9. Increases to the Interest rate may materially increase the cost to you of the Loan over time. If you do not wish to accept a modified Interest rate, your remedy is to close your Loan in accordance with Section 8, which will require you to repay the Borrowed Asset together with any accrued but unpaid Interest, Fees, and other charges. Closing your Loan may require you to convert or realise Collateral Assets, which may result in losses, including as a result of adverse market conditions, illiquidity, volatility, or conversion fees.
- e. **No Obligation to Optimize Outcomes.** You acknowledge and agree that Kraken has no obligation to obtain any particular price, minimize losses, or optimize outcomes for you when carrying out any liquidation, conversion, or enforcement action. Market conditions, liquidity constraints, and execution timing may result in adverse pricing.
- f. **Conversion and Liquidity Risk.** Where assets are converted in order to satisfy any Obligations, such conversions may occur at prices determined by Kraken in good faith and in a commercially reasonable manner. Due to market conditions, illiquidity, or volatility, conversions may result in losses or adverse pricing outcomes.

- g. **Technology, Protocol, and Operational Risks.** Digital Assets and related networks are subject to technological risks, including protocol changes, forks, airdrops, network congestion, smart-contract vulnerabilities (where applicable), cyber-attacks, and operational failures. Such events may affect the value, transferability, or availability of the Borrowed Asset or Collateral Assets and may impair Kraken's ability to perform actions under this Crypto Borrowing Annex.
 - h. **Regulatory and Legal Risk.** The regulatory treatment of Digital Asset and Fiat Currency lending, Digital Assets, and related activities is evolving and uncertain. Changes in law, regulation, or regulatory interpretation may adversely affect the Crypto Borrowing Products, your ability to use the service, or the value or treatment of Loans or Collateral Assets, including by requiring modification, suspension, or termination of the service.
 - i. **No Advice.** Kraken does not provide investment, legal, tax, or accounting advice in connection with any Crypto Borrowing Product. You are solely responsible for determining whether entering into a Loan is appropriate for you, including evaluating your financial situation, objectives, and risk tolerance.
 - j. **Correlation Risk.** You acknowledge that the value of the Borrowed Asset and the Collateral Assets may be correlated and may decline simultaneously, which may increase the likelihood of liquidation and result in rapid loss of Collateral Assets.
- a.

Annex P

MoneyGram Payout Terms

This Annex P - MoneyGram Payout Terms (the "MoneyGram Payout Annex") incorporates by reference and supplements the Kraken.com Terms of Service (excluding all Annexes thereto, the "Terms") as if the entirety of the Terms were set forth in this MoneyGram Payout Annex. Capitalized terms used but not defined in this MoneyGram Payout Annex have the meanings given to them elsewhere in the Terms. In the event of a conflict between the Terms and this MoneyGram Payout Annex, the terms of this MoneyGram Payout Annex will control solely to the extent of the conflict and solely with respect to MoneyGram Payouts.

By initiating a MoneyGram Payout (defined below), you acknowledge and agree that (i) MoneyGram Payment Systems, Inc. and/or its licensed affiliates and agents (collectively, "MoneyGram") provide the money transfer, foreign exchange and cash pickup services; (ii) Kraken acts as a technology service provider for the limited purpose of facilitating initiation of such services through the Kraken interface; and (iii) your MoneyGram Payout is governed by this MoneyGram Payout Terms Annex and the MoneyGram Terms and Conditions (the "MoneyGram Terms"), including any state-, provincial-, or country-specific regulatory disclosures and privacy notices referenced therein.

1. Definitions

- a. Disbursement Partner means a third party with which Kraken integrates to deliver fiat funds to you or your designated recipient, including bank deposit and cash pickup services. MoneyGram is a Disbursement Partner.
- b. Payout or MoneyGram Payout means a fiat disbursement executed by MoneyGram following your instruction through Kraken, including bank deposit and cash pickup at MoneyGram or MoneyGram-authorized locations.

- c. FX Quote has the meaning set out in Section 4(a) of this Annex and is shown prior to your confirmation.
- d. Transfer Amount means the amount you instruct to be delivered to the recipient in the payout currency.
- e. Sender Fee(s) means the fee(s) presented to you for a MoneyGram Payout, as calculated by MoneyGram and collected by Kraken at checkout.

2. Service Scope and Roles

- a. **Provider.** Money transfer, foreign exchange and cash pickup services are provided by MoneyGram. Kraken is not a money transmitter or foreign exchange provider for MoneyGram Payouts and does not guarantee delivery times or availability of payout locations.
- b. **Interface Role.** Kraken provides a technology interface that allows you to submit requests directly to MoneyGram. Kraken does not provide money transmission or foreign exchange services. The Kraken interface is solely intended to (a) collect and relay your instructions and relevant information to MoneyGram; (b) display MoneyGram-provided disclosures (including FX Quotes and fees); and (c) securely relay request metadata to MoneyGram. Kraken's obligations for a MoneyGram Payout end when Kraken successfully debits your applicable Kraken balance and submits the transaction to MoneyGram.
- c. **Third-Party Terms.** Your use of MoneyGram Payouts is subject to the MoneyGram Terms, the MoneyGram Multi-State Regulatory Disclosures (U.S.) and any other applicable local disclosures (collectively, the "MoneyGram Disclosures"). By confirming a MoneyGram Payout, you agree to the MoneyGram Terms and MoneyGram Disclosures. Certain in-flow disclosures (including fraud/telemarketing warnings) are approved by MoneyGram and may be updated from time to time; you will see updated terms/disclosures in-app prior to confirmation. MoneyGram Terms, Multi-State Regulatory Disclosures, MoneyGram Privacy Notice.

3. Eligibility and Availability

- a. **Territorial Availability.** MoneyGram Payouts are not available in all jurisdictions, currencies, or for all users. Location, agent hours, recipient bank capabilities, holidays and other factors may affect availability. Certain destinations or counterparties may be prohibited by law or MoneyGram policy (e.g., sanctions-restricted countries).
- b. **Identity and Compliance.** You may be required to complete additional identity, address, source-of-funds and sanctions/AML screening and to present valid government identification at pickup. MoneyGram or its agents may refuse service, delay, or cancel a payout to comply with law or policy.
- c. **Use Restrictions.** You may not use MoneyGram Payouts for unlawful purposes, including fraud, scams (e.g., telemarketing or romance scams), gambling where prohibited, or payments to sanctioned persons.

4. Fees, FX and Taxes

- a. **Quotes.** Prior to confirmation, we will present you with the FX Quote, Transfer Amount, Sender Fee(s), taxes and total cost as provided by MoneyGram. Quotes may change

until you confirm.

- b. **No Additional Kraken Fees.** Kraken does not charge any fees for MoneyGram Payouts.
- c. **Taxes and Local Charges.** If applicable, Kraken collects the Sender Fee(s) and any applicable taxes, as provided by MoneyGram and shown at checkout. Local agent or recipient bank charges, government duties or taxes may also apply and are not controlled by Kraken.

5. Transaction Flow, Finality and Cancellations

- a. **Submission to MoneyGram.** After you confirm a MoneyGram Payout, your payment is processed directly by MoneyGram (or its payment processor), and MoneyGram executes the payout. At that time, your instruction is ordinarily final and non-revocable, except as required by applicable law or under the MoneyGram Terms.
- b. **Cancellations and Refunds.** Requests to cancel or modify a MoneyGram Payout after submission are handled under the MoneyGram Terms and applicable law (including, where applicable, U.S. remittance transfer rules). Kraken may assist with status information but is not responsible for delivery once submitted to MoneyGram.
- c. **Uncollected Cash Pickup.** If a cash pickup is not collected within MoneyGram's permitted period, MoneyGram may cancel and return funds in accordance with the MoneyGram Terms. Timing and method of any refund are determined by MoneyGram.

6. Error Resolution and Complaints (Regulated Transfers)

- a. **Primary Responsibility.** For regulated remittance transfers, error-resolution, disclosures, cancellation rights and refunds are administered by MoneyGram as the provider. Follow the procedures and timelines in the MoneyGram Terms.
- b. **Contact Information.** If you believe an error occurred with a MoneyGram Payout, contact MoneyGram using the details in the MoneyGram Terms. You may also contact Kraken Support for assistance in obtaining transaction details.

7. Limits and Risk Controls

- a. **Limits.** MoneyGram or Kraken may impose per-transaction, daily, weekly or monthly limits, currency limits, geolocation restrictions, or velocity controls. Current limits will be displayed in-product or communicated at checkout.
- b. **Fraud and Security.** Kraken and MoneyGram may delay, suspend or cancel a MoneyGram Payout for fraud prevention, AML/sanctions screening, security reasons or to comply with law or policy.

8. Data Sharing and Privacy

- a. **Data Sharing.** To provide MoneyGram Payouts, Kraken will share personal data (e.g., identity, contact, KYC/AML, transaction and device data) with MoneyGram and its affiliates/agents, who will process such data for service delivery, compliance (including sanctions/AML screening), customer support and fraud prevention.
- b. **Roles.** For MoneyGram Payouts, MoneyGram acts as the independent controller of personal data it processes to provide its services. Kraken also acts as an independent controller for personal data it processes for its own purposes (e.g., account servicing,

AML, fraud prevention). This Section 8 supplements Terms Section 18 (Personal Data). Please review the MoneyGram [Privacy Notice](#).

- c. **International Transfers.** Your data may be transferred internationally (including to the United States and other countries) where data-protection laws may differ. Kraken and MoneyGram rely on appropriate transfer mechanisms where required.
- d. **Kraken Privacy Notice.** Kraken's collection and use of your data is described in Kraken's Privacy Notice, which is incorporated by reference into the Agreement.

9. Dispute Resolution

- a. **Carve-Out for MoneyGram Payouts.** To the extent permitted by law, disputes, claims or requests for error resolution relating to a MoneyGram Payout (including delivery, FX, fees, cancellations or refunds) are governed by the MoneyGram Terms and handled with MoneyGram.
- b. **All Other Disputes.** All other disputes between you and Kraken remain subject to the dispute-resolution terms in the Terms.

10. Communications and Notices

- a. We and/or MoneyGram may contact you using the contact details associated with your Kraken account regarding MoneyGram Payouts. Notices may be provided in-app, by email or via updates to the MoneyGram Terms or this Annex. Certain disclosures presented during checkout are approved by MoneyGram and may be updated; updated versions will be displayed prior to confirmation.

11. Modifications; Precedence

- a. **Updates.** MoneyGram may update the MoneyGram Terms and MoneyGram Disclosures from time to time. Kraken may update this Annex by posting a revised version with an updated Effective Date. Your continued use of MoneyGram Payouts after any update constitutes acceptance of the changes.
- b. **Precedence.** If there is a conflict between this Annex and the Agreement with respect to MoneyGram Payouts, this Annex controls. If there is a conflict between this Annex and the MoneyGram Terms regarding the provision of money transfer, FX or cash pickup services, the MoneyGram Terms control as between you and MoneyGram.

12. Suspension; Termination

- a. Kraken or MoneyGram may suspend or terminate access to MoneyGram Payouts at any time for any reason, including compliance, risk, operational or commercial reasons. Suspension or termination does not affect rights or obligations that have already accrued.

13. Country/State-Specific Disclosures

- a. This Section supplements Terms Section 17 (Legal Disclosures). MoneyGram's country-/state-specific disclosures and consumer rights (including U.S. Multi-State Regulatory Disclosures and Reg E rights for remittance transfers) are incorporated by reference. MoneyGram may update these regulatory disclosures from time to time, and Kraken will display updated versions in-product or by link. Where required by law,

localized disclosures provided by MoneyGram will be displayed in-product prior to confirmation.

14. Contact Details

MoneyGram (primary for MoneyGram Payout issues):

<https://www.moneygram.com/intl/contact-us-language-selector>

customerservice@moneygram.com

1-800-926-9400

Kraken Support (auxiliary assistance):

<https://support.kraken.com> or in-app support

15. Representations

- a. You represent that you are the lawful owner of the funds, are not using the service on behalf of a sanctioned person or for a prohibited purpose, and that all information you provide is true, complete and accurate.

Annex Q

Kraken Prop Terms

1. What is Kraken Prop and Kraken Funded?

- a. Kraken Prop is a feature that enables access to a proprietary trading programme operated by third parties. Kraken acts solely as the platform interface. The evaluation service is provided by Breakout Trading Group, LLC ("Breakout") and the funded trading arrangement, if you pass the evaluation, is operated by Payward Oceanic Ltd., a company incorporated in the British Virgin Islands ("Payward Oceanic"). Kraken is not a party to either arrangement.

2. Third-Party Agreements

- a. Before purchasing an evaluation, you must accept Breakout's Evaluation Terms of Service, which govern the evaluation process, fees, and outcomes. If you pass, you will be required to sign a Funded Trader Agreement ("FTA") directly with Payward Oceanic before any funded trading arrangement is activated.
- b. Those agreements, not these terms, set out the full details of how the programme works, the risks involved, your profit entitlement, and the obligations of each party.
- c. All trading signals submitted during the evaluation or funded stage are simulated and funds used are virtual. These signals are used for evaluation purposes or by Payward Oceanic to assess whether to act on a given signal.

3. Eligibility

- a. To access Kraken Prop you must:

- be at least 18 years of age;
- hold a valid, verified Kraken Pro account in good standing; and
- be located in a jurisdiction where Kraken Prop is made available (see Section 4).

4. Availability

- Kraken Prop is available only in jurisdictions where Kraken determines it is permissible to offer access to the programme. Availability may be restricted or withdrawn at any time without prior notice, including following regulatory guidance. By accessing Kraken Prop you confirm you are not in a restricted jurisdiction.

5. Kraken's Role and Liability

- Kraken provides the platform interface only. Kraken does not operate the evaluation, make execution decisions, or hold funds on your behalf in connection with Kraken Prop. Kraken is not responsible for the acts or omissions of Breakout or Payward Oceanic, for the outcome of any evaluation, or for any payment due to you under the FTA.

6. Suspension and Amendments

- Kraken may suspend or remove your access to Kraken Prop at any time, including where you breach this Agreement or where Kraken decides to discontinue the feature. Kraken may amend these terms by providing notice in accordance with Part A. Continued use following the effective date of any amendment constitutes acceptance of the revised terms.

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Send Money
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Complaints
Breakout Prop Trading

Litecoin Price
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